Project North

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Financial due diligence

—

August 8, 2024

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Private and confidential

Mr Mark Ripplinger, Chief Executive Officer
Everlink Payment Services Inc.
125 Commerce Valley Drive West
Markham, ON
L3T 7W4

August 8, 2024

Project North

We have completed our procedures to assist Everlink Payment Services Inc. ("Client", "Company", or "you") in performing financial due diligence in accordance with the terms of our engagement letter dated May 20, 2024, including its Terms and Conditions for Advisory and Tax Services.

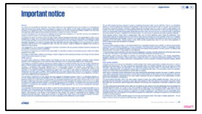
Objective

The objective of our engagement was to assist you as you evaluate potential strategic alternatives for the business. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with the Company's VP Finance and Controller.

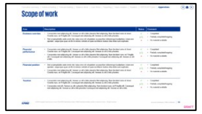
The scope of our work is to provide information to you and any prospective investor or purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective investor or purchaser party as to whether to proceed with the transaction. Each prospective purchaser should complete additional due diligence procedures to the extent it considers necessary.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed:

Important notice



Scope of work



Basis of Information

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was received from May 15, 2024 to August 8, 2024. Since many aspects of the prospective transaction have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring after August 8, 2024. We have reviewed this report with Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of the business and, as such and as agreed in the Engagement Agreement, this report may be provided to any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether to proceed with a transaction. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours sincerely,

KPMG LLP

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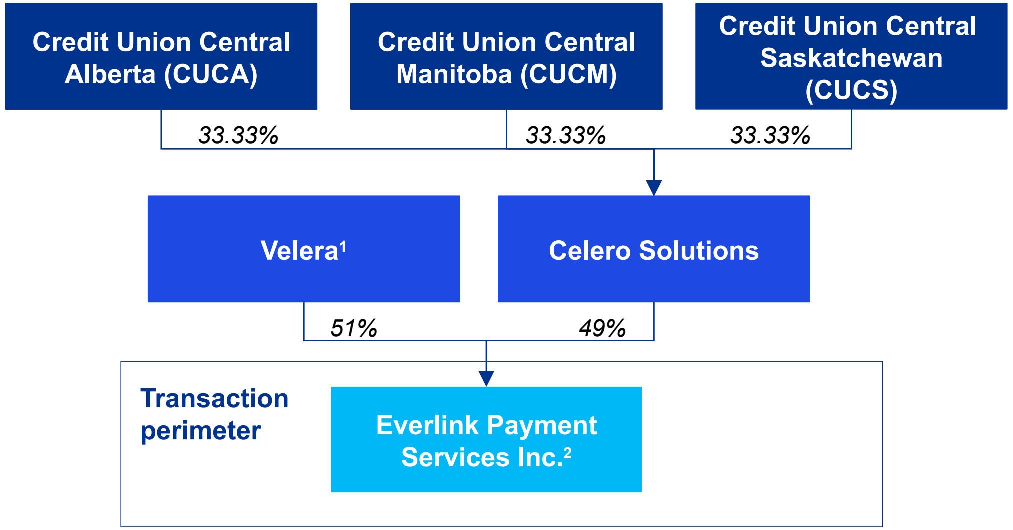
01

Executive summary

Business overview

Legal chart

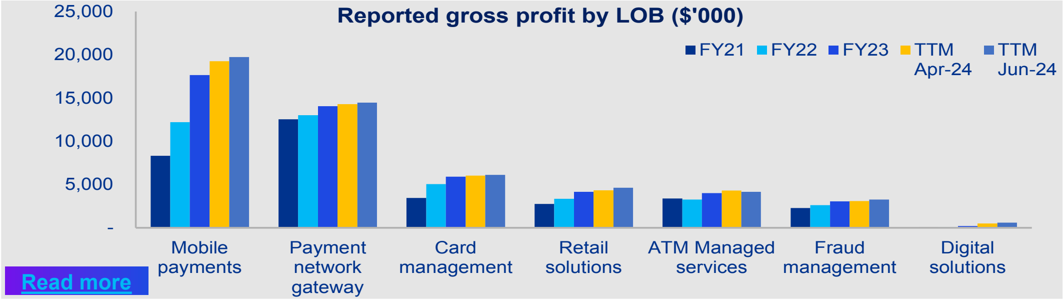


Note 1: Payment Systems for Credit Unions ("PSCU") and Co-op Solutions merged in January 2024 and rebranded to Velera in May 2024.
Note 2: Everlink is a member of Interac network and holds 759,049 shares in Interac Corp, which it has elected to recognize as fair value through other comprehensive income (FVTOCI) with no reclassification to net income. The Company has a revenue contract with Interac for mobile transaction processing expiring on July 31, 2025.
Source: FY23 Audited financial statements

Company overview

Everlink Payment Services Inc. ("Everlink" or "the Company") provides payment solutions and services to credit unions, banks, merchant acquirers and other financial institutions in Canada. The Company's service offerings include the following:

- **Mobile payments:** Provides management and infrastructure to support mobile wallet and transaction flow.
- **Payment network gateway:** Provider of technology infrastructure and payment network connectivity, transaction processing, settlement, reporting and compliance services.
- **Card issuance and management:** Offers end-to-end solutions with personalization and manufacturing technology for Europay, Mastercard and Visa (EMV) chip debit card distribution.
- **ATM managed services:** Offers traditional Automated teller machine (ATM), Driving & Monitoring Services plus enhanced features, functions, white label ATM and turnkey managed services.
- **Fraud management:** Offers real-time fraud detecting, preventing, and resolution solutions.
- **Retail solutions:** Facilitates point-of-sale (POS) transactions, including Interac eCommerce, through dedicated Host-to-Host payment gateways.
- **Digital solutions:** Enables real-time payments for retail Peer-to-Peer (P2P), Business-to-Business (B2B), Business-to-People (B2P), ISO 20022 payment gateways, and Application Programming Interface (API) integrations, as an exclusive provider of the full suite of Interac e-Transfer products.



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Summary financials

The tables below present the income statement, balance sheet, and derived cash flow statement of the Company on a reported basis.

Income statement

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Mobile payments	8,361	12,225	17,694	19,288	19,785
Payment network gateway	14,435	15,532	16,844	17,063	17,260
Card management	7,621	11,163	14,552	16,060	16,023
ATM Managed services	4,452	4,863	5,328	5,859	5,940
Retail solutions	3,066	3,738	4,475	4,779	5,154
Fraud management	2,352	2,705	3,208	3,267	3,460
Digital solutions	112	73	253	712	932
Revenue	40,398	50,299	62,355	67,028	68,554
Variable expense	(7,599)	(10,703)	(13,351)	(15,251)	(15,593)
Gross profit	**32,799**	**39,596**	**49,004**	**51,777**	**52,961**
Compensation	(13,312)	(15,131)	(16,943)	(17,074)	(17,132)
Equipment, data processing, infrastructure expense	(5,720)	(7,747)	(8,137)	(8,343)	(8,499)
Contract services	(2,148)	(2,699)	(3,766)	(4,337)	(4,771)
Depreciation and amortization expense	(3,377)	(3,265)	(3,014)	(3,073)	(3,052)
Occupancy and office expense	(617)	(542)	(638)	(652)	(637)
Other expense	658	470	247	260	347
Operating costs	(24,516)	(28,914)	(32,252)	(33,219)	(33,744)
Operating profit	**8,284**	**10,682**	**16,752**	**18,558**	**19,218**
Interest income	23	353	1,125	1,381	1,582
Interest expense	(108)	(133)	(103)	(93)	(87)
Income tax expense (recovery)	(2,150)	(3,224)	(4,143)	(4,632)	(4,727)
Profit after tax	6,048	7,679	13,632	15,214	15,985
Other comprehensive income	155	-	-	-	-
Net Income	**6,204**	**7,679**	**13,632**	**15,214**	**15,985**
Depreciation and amortization expense	3,377	3,265	3,014	3,073	3,052
Income tax	2,150	3,224	4,143	4,632	4,727
Interest	85	(220)	(1,023)	(1,288)	(1,495)
Other comprehensive income	(155)	-	-	-	-
EBITDA, reported	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**

Balance sheet

$'000	As at 31-Dec-21	31-Dec-22	31-Dec-23	30-Apr-24	30-Jun-24
Assets					
Cash and cash equivalents	10,743	12,332	12,515	8,924	12,443
Items in transit	12,326	16,296	25,288	35,787	42,891
Accounts receivable and other receivables	8,044	9,296	14,750	13,000	12,209
Inventory	511	708	811	932	768
Prepaid expenses	3,142	4,129	3,657	2,871	2,404
Unbilled revenue	934	1,114	609	407	321
Current assets	35,700	43,876	57,631	61,921	71,037
Property & equipment	3,596	3,749	3,217	2,985	2,865
Capitalized development	2,680	2,804	3,242	3,662	3,967
Purchased software assets	6,033	5,264	5,191	4,854	4,684
Goodwill	7,695	7,695	7,695	7,695	7,695
Investment in interac	941	941	941	941	941
Deferred implementation costs - non-current	980	441	530	701	756
Prepaid contractual payments - non-current	2,211	989	605	517	435
Non current assets	24,135	21,883	21,421	21,354	21,343
Assets	**59,836**	**65,759**	**79,052**	**83,275**	**92,380**
Liabilities and equity					
Accounts payable and accrued liabilities	(2,636)	(3,471)	(3,851)	(4,822)	(4,969)
Payments held for third party remittance	(12,260)	(16,257)	(25,168)	(35,681)	(42,820)
Revenue contract liabilities - current year	(1,578)	(2,757)	(2,211)	(1,611)	(950)
Deferred revenue	(605)	(867)	(1,057)	(1,596)	(1,312)
Payroll benefits taxes payable & accrued	(1,645)	(2,498)	(2,644)	(1,399)	(1,359)
Income tax payable	(359)	(824)	(1,912)	(1,081)	(461)
Finance lease obligation - property lease	(312)	(325)	(339)	(228)	(172)
Finance lease obligation - leased equipment	(852)	(625)	(642)	(593)	(596)
Shareholder return of capital payable	-	(8,500)	(10,000)	-	-
Current liabilities	(20,246)	(36,125)	(47,823)	(47,012)	(52,637)
Contract liabilities - non-current	(4,037)	(3,319)	(2,011)	(2,208)	(2,789)
Deferred compensation	(328)	(343)	(622)	(773)	(849)
Deferred tax liabilities	(1,694)	(1,795)	(1,770)	(1,787)	(1,842)
Long-term finance lease - leased equipment	(2,390)	(1,684)	(1,042)	(879)	(769)
Long term - property lease	(1,205)	(880)	(540)	(540)	(540)
Non-current liabilities	(9,655)	(8,021)	(5,984)	(6,186)	(6,790)
Liabilities	(29,901)	(44,146)	(53,808)	(53,198)	(59,427)
Equity	(29,934)	(21,613)	(25,244)	(30,077)	(32,953)
Liabilities and equity	**(59,836)**	**(65,759)**	**(79,052)**	**(83,275)**	**(92,380)**

Cash flow

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Operating					
Net income	6,204	7,679	13,632	15,214	15,985
Non cash items	3,318	3,366	2,989	3,002	2,390
Change in working capital	(4)	2,064	(4,140)	(2,106)	(2,936)
Cash flow from operations	9,518	13,109	12,480	16,110	15,440
Investing					
Acquisition of intangible assets	(3,158)	(545)	(1,102)	(800)	(552)
Acquisition of property, plant and equipment	(1,621)	(1,293)	(461)	(393)	(334)
Capitalized development costs	(1,056)	(936)	(1,284)	(1,516)	(1,719)
Purchase of interac shares	(254)	-	-	-	0
Cash flow from investing activities	(6,089)	(2,773)	(2,847)	(2,709)	(2,605)
Financing					
Finance lease obligation - property lease	(293)	(312)	(325)	(330)	(332)
Finance lease obligation - leased equipment	1,811	(934)	(625)	(630)	(633)
Shareholder return of capital payable	-	8,500	1,500	-	-
Change in capital	(1,351)	-	-	-	-
Dividend paid	(5,649)	(16,000)	(10,000)	(10,000)	(10,000)
Cash flow from financing activities	(5,481)	(8,746)	(9,450)	(10,960)	(10,965)
Increase in cash and cash equivalents	(2,053)	1,589	183	2,441	1,869
Beginning balance of cash and cash equivalents	12,796	10,743	12,332	6,484	10,573
Ending balance of cash and cash equivalents	**10,743**	**12,332**	**12,515**	**8,924**	**12,443**

Source (All): Internal financial statements

Key findings (1/2) – Financial

Quality of earnings

Read more

Quality of earnings					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported	**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments	1,067	752	(1,470)	(1,249)	(655)
Pro forma adjustments	7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted	**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate		*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments	941	1,332	(1,669)	(1,298)	(566)
Pro forma adjustments	1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted	*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements, KPMG analysis
Note: See Appendices for a bridge denoting the changes from FY21 to TTM Apr-24

- Select due diligence adjustments to TTM Jun-24 include the following:
  - **Mobile POS IFRS 15 (-$2.4 million Adjusted EBITDA):** The Company records a monthly IFRS 15 adjustment for mobile point-of-sale (POS) transactions under tier-based pricing arrangements to reflect most recent anticipated pricing. Reported IFRS 15 adjustments are revised using a fiscal year average price calculated from the actual total contract billings and volume to eliminate revenue fluctuations over the life of the contract (i.e., April 2020 to March 2024) from accounting entries. The total impact over the applicable term of the contract is nil.
  - **Settlement interest income (+$1.1 million Adjusted EBITDA):** Add back of interest income earned on overnight settlement cash balances, as it is considered a part of normal business operations.
- Select pro forma adjustments to TTM Jun-24 relate to the following:
  - **Net New/lost customers (+$750,000 Adjusted EBITDA):** To reflect the YTD Jun-24 run-rate of new customers net of lost/terminated customers, over the historical period.
  - **Credit union MSA (+$950,000 Adjusted EBITDA):** Represents the pro forma impact of the revised credit union master service agreement (MSA) contract pricing, effective May 2024, over the historical period.

Net working capital

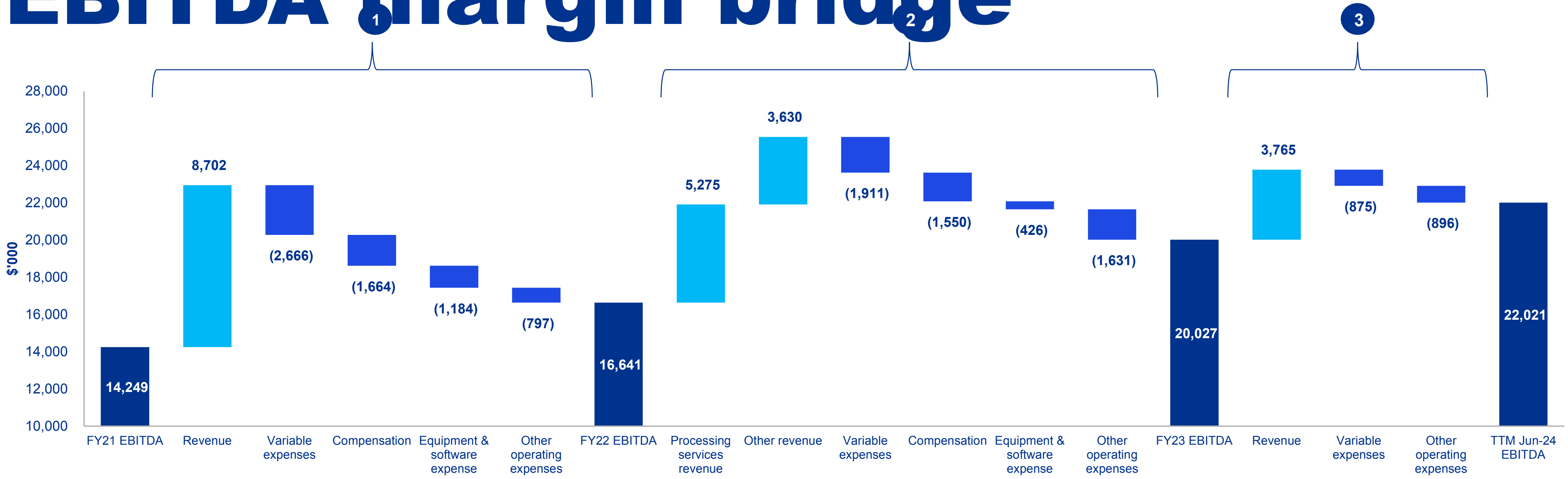
Read more

Net working capital									
	As at				Average				
$'000	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Net working capital, reported	**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
Due diligence adjustments	2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Pro forma adjustments	612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, adjusted	**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
Adjusted WC, as a % of net sales	*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source: Internal financial statements, KPMG analysis

- Select due diligence adjustments to TTM Jun-24 include the following:
  - **IFRS 15 contract liability (+$1.3 million):** Removes the impact of IFRS 15 on contract assets and liabilities as they are related to the progressive revenue recognition of the underlying services, but do not represent the operational liquidity of the business from a working capital perspective.
  - **LTIP reclassification (-$600,000):** The Company accrues long term incentive plan expense on a monthly basis for its executive employees, payable three years post-earning. As the LTIP accrual expense is reflected in EBITDA, the corresponding liability is incorporated in NWC.
- Select pro forma adjustments to TTM Jun-24 relate to the following:
  - **Interac DSO Normalization (-$1.6 million):** The Company's days sales outstanding from September 2023 to June 2024 were inflated as a result of payments withheld in part of the pricing dispute with Interac. This adjustment normalizes inflated days sales outstanding from September 2023 to June 2024, to 45 days, in alignment with the historical period.

Key findings (2/2) – Adjusted EBITDA margin bridge



1

FY21 to FY22, Adjusted EBITDA:
An increase in revenue from FY21 to FY22 of $8.7 million is attributed to the post Covid-19 consumer and tourism spend, resulting in an increase in transaction volume. Variable expenses increase proportionally with revenue, maintaining a consistent adjusted gross margin of ~76%. Salaries and benefits expense increases with higher base compensation (i.e., ~7.4% increase per full-time equivalent[1]) and larger discretionary bonuses (increases from 9.7% to 12.8% of the total compensation). Equipment and software expense, relating to the usage of ACI software for payment solutions, increases along with higher transaction volume.

2

FY22 to FY23, Adjusted EBITDA:
An increase in processing services revenue is driven by the increase in switching services volume, the rise in professional service projects, and the introduction of new services, including VISA and Mastercard debit card-related transactions, card and fraud management services. Professional services revenue growth is attributed to projects in ATM managed services and card issuance line of businesses (LOBs). Significant projects include: (a) development of anti money laundering (AML) and compliance reporting website for Ficanex (b) implementation projects for new credits unions, and Stripe. An increase in other operating expenses is attributed to the increased use of contracted call center staff to handle increased transaction volume.

3

FY23 to TTM Jun-24, Adjusted EBITDA:
Mobile point-of-sale transactions revenue increased by $1.8 million due to increased volume. The increase in merchant acquiring processing transaction volume resulted in higher settlement cash balances, thereby increasing the Company's interest income from overnight settlement cash balances. Remaining revenue growth is due to increased volume in new revenue streams (i.e., E-Hub money transfers – recent implementation, see Quality of Earnings Other Considerations #C).

[1]Calculated based on an average of the ending FTEs for each of the 12 months in the fiscal period.
Source (All): Management information, internal financial statements, FY23 audit working papers

02 Historical trading

Profit & loss overview

Quality of Earnings

Profit & loss overview (1/2)

Increase in revenue from $40.4 million in FY21 to $68.6 million in TTM Jun-24 is primarily driven by higher transaction volume.

Income statement					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue	40,398	50,299	62,355	67,028	68,554
Variable expense	(7,599)	(10,703)	(13,351)	(15,251)	(15,593)
Gross profit	**32,799**	**39,596**	**49,004**	**51,777**	**52,961**
Compensation	(13,312)	(15,131)	(16,943)	(17,074)	(17,132)
Equipment, data processing, infrastructure expense	(5,720)	(7,747)	(8,137)	(8,343)	(8,499)
Contract services	(2,148)	(2,699)	(3,766)	(4,337)	(4,771)
Depreciation and amortization expense	(3,377)	(3,265)	(3,014)	(3,073)	(3,052)
Occupancy and office expense	(617)	(542)	(638)	(652)	(637)
Other expense	658	470	247	260	347
Operating costs	(24,516)	(28,914)	(32,252)	(33,219)	(33,744)
Operating profit	**8,284**	**10,682**	**16,752**	**18,558**	**19,218**
Interest income	23	353	1,125	1,381	1,582
Interest expense	(108)	(133)	(103)	(93)	(87)
Income tax expense (recovery)	(2,150)	(3,224)	(4,143)	(4,632)	(4,727)
Profit after tax	6,048	7,679	13,632	15,214	15,985
Other comprehensive income	155	-	-	-	-
Net Income	**6,204**	**7,679**	**13,632**	**15,214**	**15,985**
Depreciation and amortization expense	3,377	3,265	3,014	3,073	3,052
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Interest	85	(220)	(1,023)	(1,288)	(1,495)
Other comprehensive income	(155)	-	-	-	-
EBITDA, reported	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**

Source: Internal financial statements

Overview

- **Revenue:** The Company primarily earns revenue through transaction processing services ($37.8 million) and card issuance fees ($8.3 million). Pass through revenue of $6.8 million is netted against $5.7 million of pass through expenses (included in variable expenses). Refer to Gross margin by LOB section for additional details.
- **Variable expense**: Variable expenses mainly consist of cost of goods sold (“COGS”) of $9.7 million relating to card manufacturing and personalization and $5.7 million in pass through expenses, relating to payment network fees and card delivery. The Company generated a gross margin of 77.3% in TTM Jun-24.
- **Compensation**: TTM Jun-24 compensation includes salaries ($12.5 million), bonus ($2.3 million), employer taxes ($916,000), and employee benefits ($882,000). In FY21, the Company received $219,000 in Covid-19 wage subsidies. Please refer to the appendices for further details.
- **Equipment, data processing, infrastructure expense**: Primarily consists of equipment & software expense and data processing facility expense. The increase from $5.7 million in FY21 to $8.5 million in TTM Jun-24 is mainly driven by increased ACI software costs from higher transaction volume, HP equipment write-offs and one-time data center relocation costs. Refer to Quality of Earnings (“QofE”) due diligence adjustment #8 & #9 for details.
- **Contract services:** Represents the cost of contract call-center staff, software developers, quality assurance analysts and project managers (~$3.8 million). The remaining amount of ~$0.9 million represents third-party accounting and legal services, as well as internal network administrative fees paid to Celero. Contract staff costs represents the amortization of capitalized contract labour costs related to internally developed in-house software, as part of enabling enhanced transaction processing, reporting and security.
- **Depreciation and amortization expense**: Consists of $1.0 million in depreciation for property, equipment and the corporate office. Amortization of $2.0 million relates to internally and externally developed software. This entire balance is definitionally adjusted from EBITDA.
- **Occupancy and office expense:** Consists of $325,000 in rent occupancy operating costs for the corporate office location and $266,000 in office telecom, cellular, and email costs. Refer to the appendices for a lease summary and reconciliation of lease expense incurred, compared to lease agreement terms. As the Company adopted IFRS 16, the rent related to the office lease is excluded from reported EBITDA and is recognized in depreciation expense.

Profit & loss overview (2/2)

Increase in revenue from $40.4 million in FY21 to $68.6 million in TTM Jun-24 is primarily driven by higher transaction volume.

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Depreciation and amortization expense	3,377	3,265	3,014	3,073	3,052
Income tax	2,150	3,224	4,143	4,632	4,727
Interest	85	(220)	(1,023)	(1,288)	(1,495)
Other comprehensive income	(155)	-	-	-	-
EBITDA, reported	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**

Source: Internal financial statements

Overview (continued)

- **Other expense:**
  - **Other expense**: Consists of $774,000 in insurance expense, which increased from $261,000 in FY21. This increase is primarily attributable to the Cyber and E&O insurance policies. The remaining amount of $185,000 relates to HST/GST sales tax.
  - **Discretionary expense**: Consists of marketing ($183,000), employee training ($128,000), and business travel expenses ($42,000). Remaining balances relate to industry association membership dues, employee recruitment, and employee engagement and welfare expenses.
  - **Capitalized development costs**: Relates to internally capitalized costs for internally developed software assets. A majority of this balance comprises of labour costs, which are calculated based on an employee's capitalization rate (determined by the VP Finance based on the employee's salary and position) and hours tracked. Once a project is complete, capitalized costs are amortized over the expected useful life (typically three to five years).
- **Interest income:** Includes interest income earned on overnight settlement cash balances as well as interest income earned on cash within the Company's bank accounts. Refer to QofE due diligence adjustment #2 for further details.
- **Interest expense:** Primarily comprises of interest expense incurred on the Company's finance leases. Refer to QofE other considerations A for the quantified cash rent impact on EBITDA.
- **Other comprehensive income:** $155,000 in FY21 relates to the unrealized fair value adjustment, net of tax, in Interac Corp. The Company elected to recognize this investment at FVTOCI.

DRAFT

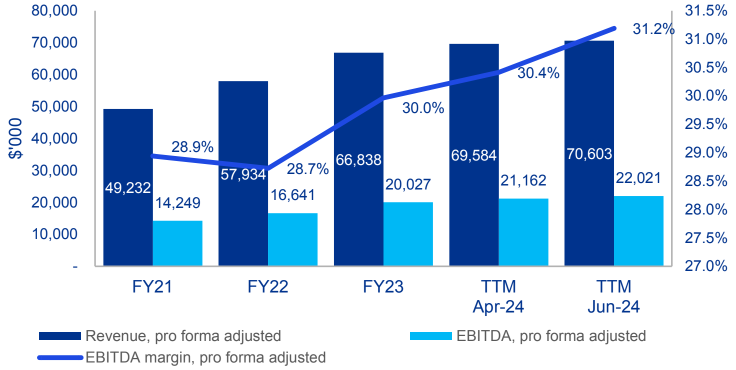
Quality of earnings (1/16) – Overview

TTM Jun-24 reported EBITDA of $22.3 million decreases to $22.0 million after due diligence and pro forma adjustments.

Quality of earnings

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported	**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments	1,067	752	(1,470)	(1,249)	(655)
Pro forma adjustments	7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted	**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Net income, reported	**6,204**	**7,679**	**13,632**	**15,214**	**15,985**
Add/(deduct)					
Interest, net	85	(220)	(1,023)	(1,288)	(1,495)
Depreciation & amortization	3,377	3,265	3,014	3,073	3,052
Other comprehensive income	(155)	-	-	-	-
Income taxes	2,150	3,224	4,143	4,632	4,727
EBITDA, reported	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments	941	1,332	(1,669)	(1,298)	(566)
Pro forma adjustments	1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted	*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Pro forma adjusted revenue and EBITDA



Source: Internal financial statements
Note: Refer to the Appendix for a bridge from TTM Apr-24 to TTM Jun-24 pro forma adjusted EBITDA

Overview

Basis of presentation

The adjacent Quality of Earnings schedule illustrates due diligence and pro forma adjustments and other factors to be considered which are identified for the fiscal year ended December 31, 2021, December 31, 2022, December 31, 2023 and TTM period ended June 30, 2024.

The proposed adjustments are not necessarily all-inclusive and are based on Management provided information. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Adjustments

- The nature of the adjustments included in the quality of earnings analysis are listed below:
  - **EBITDA, reported**: Represents the reported net income adjusted for the definitional adjustments of interest, income taxes, depreciation and amortization and other comprehensive income;
  - **Due diligence adjustments:** Incremental adjustments identified through due diligence to normalize earnings for non-recurring and non-operating items; and
  - **Pro forma adjustments:** Indicative run rate adjustments to consider changes in the business operations that may impact revenue and EBITDA accordingly.
- Certain other items which may impact historical and future EBITDA are also identified during the due diligence process. See 'other considerations' for further details.

Quality of earnings (2/16) – Due diligence adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Out of period entries	4	30	78	(244)	(241)	(240)
Severance	5	-	20	104	236	236
Professional fees	6	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Due diligence adjustments

1. **Mobile POS IFRS15:** Pursuant to IFRS 15, Revenue from Contracts with Customers, transaction processing contracts with variable tier-based pricing recognize revenue based on estimates of the number of mobile point-of-sale (POS) transactions expected to be completed in a period relative to the total expected transaction volume in a fiscal year. As these estimates evolve over the contract period, monthly (IFRS 15) revenue adjustments are recorded to reflect the most recent assumptions.

   Utilizing actual fiscal year average tiered pricing for the non-cancellable contract period (i.e., April 2020 to March 2024) and applying this to the actual volume, revenue expected to be recognized is recalculated and adjusted accordingly. The total revenue impact over the contract term is nil.

Mobile POS IFRS 15

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
IFRS 15 adj to processing, reported	(1,067)	(559)	2,272	2,762	2,765
Mobile tsp transactions pos, billings	7,746	10,557	13,897	14,924	12,415
EndtoEnd (ACQ), quantity (#'000)	*542,441*	*850,363*	*1,250,906*	*1,370,072*	*1,156,965*
EndtoEnd (ACQ), average price ($)	*0.01428*	*0.01241*	*0.01111*		
Mobile tsp transactions pos- revenue, adjusted	7,746	10,557	13,897	13,772	11,405
IFRS 15 adj to processing, adjusted	-	0	(0)	229	370
Adjustment	**1,067**	**559**	**(2,272)**	**(2,533)**	**(2,395)**

Source: Interac TSP volume and billing summary

2. **Settlement interest income:** The Company facilitates the settlement process for automated teller machine (ATM) and point-of-sale (POS) devices. Interest income is earned on settlement cash balances. Although interest income earned on cash held in the Company's bank accounts is excluded from EBITDA, the interest income earned on items in transit related to settlement funds is considered operational and is included within the operating results. The higher interest income reflects the higher transaction volume.

Settlement interest income

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Interest income, cash on hand	(23)	(161)	(423)	(468)	(483)
Interest income, settlement funds	-	(193)	(702)	(913)	(1,099)
Interest income, definitionally adjusted	(23)	(353)	(1,125)	(1,381)	(1,582)
Less: interest income from cash on hand	(23)	(161)	(423)	(468)	(483)
Adjustment	**-**	**193**	**702**	**913**	**1,099**

Source: Interest income, general ledger

Quality of earnings (3/16) – Due diligence adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
FY23 out of period entries	a	30	-	(234)	(234)	(234)
Bonus accrual	b	-	78	(10)	(7)	(6)
Out of period entries	4	30	78	(244)	(241)	(240)
Severance	5	-	20	104	236	236
Professional fees	6	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Due diligence adjustments (continued)

3. **Settlement services dispute:** In FY23, the Company had a pricing dispute with Interac for settlement services provided. Management increased its allowance for doubtful accounts in August, November, and December 2023, anticipating that Interac may not fulfill its payment obligation. A draft resolution was proposed in July 2024, allowing for the collection of a portion of the outstanding amount (i.e., billings related to the period June to July 2023). As part of the resolution, the Company agreed to issue $158,272 + HST (total of $178,847) in credits to Interac for services in FY23 and agreed to revise pricing for billings from August 2023 to July 2024. Management expects to collect the remainder of FY23 billings at the revised pricing rates. This adjustment modifies the allowance to reflect the credits and revised billing rates established in the mutually agreed settlement, for outstanding balances. The go-forward pricing which began in January 2024, of $18,000 per month is reflected in QofE pro forma adjustment #18.

Settlement services dispute

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Settlement services (Interac), reported	-	669	(34)	(115)	(358)
Settlement services (Interac), adjusted	-	669	66	256	282
Adjustment	**-**	**-**	**100**	**371**	**640**

Source: Letter agreement

4. **Out of period entries:** The Company records expense accruals using the latest information, subject to potential reversals upon new circumstances. Management reversed accruals in December 2022 and December 2023 pertaining to prior periods. This adjustment re-allocates these reversals to their respective recognition periods.
   a) *FY23 out of period entries:* In December 2023, expense accruals of $234,000, primarily related to the discontinued Chase partnership are reversed. $30,000 relates to ATM managed services cost of goods sold and is reallocated to December 2021, its original recording period. The remaining amount relates to periods prior to FY21.

FY23 out of period entries

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
2017 accrual for Chase Bank	-	-	86	86	86
Pre-FY22 accrual	(30)	-	103	103	103
Pre-FY21 accrual for Chase Bank	-	-	45	45	45
FY23 post-close journal entries, reported	(30)	-	234	234	234
FY23 post-close journal entries, adjusted	-	-	-	-	-
Adjustment	**30**	**-**	**(234)**	**(234)**	**(234)**

Source: 2023 and 2022 YE adjusting entries

Quality of earnings (4/16) – Due diligence adjustments

Quality of earnings						
$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
FY23 out of period entries	a	30	-	(234)	(234)	(234)
Bonus accrual	b	-	78	(10)	(7)	(6)
Out of period entries	4	30	78	(244)	(241)	(240)
Severance	5	-	20	104	236	236
Professional fees	6	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Due diligence adjustments (continued)

4. **Out of period entries (continued):**
   b) *Bonus accrual:* In FY22, bonus expense is over accrued by $78,000, and in FY23, it is under accrued by $10,000. Adjustments are applied to FY22 and FY23 bonus expense to reflect the actual payout for each respective year, and is allocated based on the pro rata monthly reported bonus expense.

Bonus accrual					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
FY22 bonus expense, overaccrual adjustment	-	78	-	-	-
FY23 bonus expense, underaccrual adjustment	-	-	(10)	(7)	(6)
Adjustment	**-**	**78**	**(10)**	**(7)**	**(6)**

Source: 2023 and 2022 YE adjusting entries

5. **Severance:** Represents severance expense to key/senior management employees and is removed from EBITDA as it is considered non-recurring based on the Company's historic turnover. These roles include a Vice President (VP) of Operations and Client Services, Director of IT Operations, and Senior Compliance Manager. Severance for non-executive employees remains in adjusted EBITDA.

   In addition, Management represents that a $20,000 severance expense accrual recorded in August 2022 for a business analyst is reversed in November 2023. The reversal is reallocated to the period of recognition.

Severance					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Vice President Operations and Client Services	-	-	-	(118)	(118)
Director, IT Operations	-	-	(38)	(52)	(52)
Senior Compliance Manager	-	-	(86)	(86)	(86)
Executive positions severance, reported	-	-	(124)	(256)	(256)
Executive positions severance, adjustment	-	-	124	256	256
Business analyst severance, adjustment	-	20	(20)	(20)	(20)
Adjustment	**-**	**20**	**104**	**236**	**236**

Source: Turnover reports

6. **Professional fees:** In June 2024, the Company accrued $150,000 in advisory fees in relation to the contemplated transaction. As this is non-operational in nature, this expense is removed from EBITDA. The corresponding accrual is adjusted in NWC adjustment #12.

Quality of earnings (5/16) – Due diligence adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
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Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
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Out of period entries	4	30	78	(244)	(241)	(240)
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Professional fees	6	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
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Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Due diligence adjustments (continued)

7. **Vacant positions:** Several key employee positions are vacant in FY22 and FY23. Significant positions and their vacancy period include:
   - Senior Manager, Settlement Services from May to December 2022
   - Vice President, Corporate Governance & General Counsel from May to October 2022
   - Senior Project Manager from February to July 2023
   - Senior Full Stack Developer from September to December 2023

   The total compensation for vacant positions during the vacancy period is included in EBITDA to reflect personnel expense at the full operating level. Benefits, taxes, and bonuses are estimated based on the current compensation structure, calculated as a percentage of salaries. Bonus expense is tiered as a percentage of salaries based on the position and level of seniority (i.e., non-manager: 5%; Manager: 10%; Director: 15%; General Manager: 20%; Vice President: 25%).

8. **Data center relocation:** The Company's hardware equipment was previously housed in Celero's data centers in Calgary, AB and Winnipeg, MB. In June 2021, Celero announced its plan to close these locations, requiring the Company to relocate to data centers in Barrie, ON and Markham, ON which are managed by Kyndryl; the move was not fully completed until October 2023. As a result, the Company incurred: (i) one-time expenses associated with the relocation, and (ii) redundant operating costs as they were required to operate the four facilities concurrently, during the transition period. One-time expenses encompass labour costs for reconfiguring network connections, installation and setup costs. This adjustment eliminates the one-time and redundant costs as they are non-recurring.

   Note: Additional costs pertaining to HP leases related to the data center relocation are adjusted in QofE adjustment #9. Furthermore, the go-forward pricing for the Kyndryl-operated data centers is reflected in QofE adjustment #16.

9. **HP lease:** In December 2022, the Company recognized a $198,000 write-off related to lease costs for HP equipment at the former data center locations in Winnipeg, MB, and Calgary, AB. Due to the data center relocation, the Company upgraded its equipment when procuring replacements for the new locations, resulting in a write-off of old equipment. Additionally, since each piece of equipment in these data centers operates continuously to process transactions, an overlap period between old and new equipment was necessary to avoid potential downtime. Management represents the expected run-rate lease cost of $21,000 per month for assets within the new data center location, reflected in TTM Jun-24 reported monthly expenses. HP lease costs in FY22 and FY23 are adjusted to reflect the go-forward run-rate, removing any impacts from one-time write-offs of old equipment and redundant equipment maintenance costs. See the summary table on the following page.

Quality of earnings (6/16) – Due diligence adjustments

Quality of earnings						
$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
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Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
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Due diligence adjustments						
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Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Loss on fixed asset disposal	a	1	1	8	8	8
Foreign exchange expense	b	28	(4)	(2)	6	4
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source (All): Internal financial statements, General ledger details

Due diligence adjustments (continued)

9. **HP lease (continued):**

HP lease					
oca	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Hp leased maintenance-hw and sw, reported	-	(630)	(295)	(256)	(256)
Hp leased maintenance-hw and sw, adjusted	-	(213)	(256)	(256)	(256)
Adjustment	**-**	**417**	**39**	**(0)**	**-**

10. **Bad debt expense:** The Company accrued $36,000 in December 2023 as a general provision for certain point-of-sale providers. However, this amount is subsequently collected in FY24. The proposed adjustment removes the bad debt expense in December 2023. Management represents that a majority of the Company's customers are creditworthy financial institutions, and there is minimal collection risk on outstanding accounts receivable balances.

11. **Non-operating expenses:** Gains and losses related to fixed asset disposals and foreign exchange movements are removed from EBITDA as they are unrelated to the Company's core business operations.

    a) *Loss on fixed asset disposal:* Relates to losses from the sale of non-functioning hardware, primarily associated with the relocation of the data centers.

    b) *Foreign exchange expense:* Represents the non-cash unrealized portion of foreign exchange gains and losses.

Non-operating expenses					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Loss on fixed asset disposal	1	1	8	8	8
Foreign exchange expense	28	(4)	(2)	6	4
Adjustment	**29**	**(3)**	**6**	**13**	**12**

Quality of earnings (7/16) – Due diligence adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments						
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913	1,099
Settlement services dispute	3	-	-	100	371	640
Out of period entries	4	30	78	(244)	(241)	(240)
Severance	5	-	20	104	236	236
Professional fees	6	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64	19
HP lease	9	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)	(11)
Canada emergency wage subsidy	a	(219)	-	-	-	-
Canada emergency rent subsidy	b	(19)	-	-	-	-
Covid-19 related income/expenses	13	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source (All): Internal financial statements, General ledger details

Due diligence adjustments (continued)

12. **Legal fees:** From May 20, 2022 to October 10, 2022, the Company's General Counsel position remained vacant, necessitating the engagement of external legal services for contract review and amendments. These one-time third-party legal fees are excluded from EBITDA. Note: A sample of supporting third party invoices were provided by Management, representing approximately 83% of the total.

    Concurrently, QofE due diligence adjustment #6 accounts for the compensation of the vacant in-house General Counsel position during this period. See the following for breakdown of legal expenses.

Legal fees

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Non-recurring legal fees	(28)	(167)	3	12	11
Accruals legal	(17)	(29)	(33)	(47)	(44)
Gowling wlg (Canada) LLP	(1)	-	(10)	(10)	(12)
Fasken Martineau Dumoulin LLP	(45)	(14)	(6)	(4)	(8)
McMillan LLP	-	-	-	(4)	(7)
Abdul-basit Khan	-	-	-	(1)	(1)
Kramer Simaan Dhillon LLP	(4)	(3)	-	-	-
Bruce Tattrie Law Corporation	-	-	-	-	(8)
Lenczner Slaght Royce Smith Griffin LLP	(3)	(1)	-	-	-
Legal fees, reported	(100)	(215)	(47)	(54)	(69)
Legal fees, adjusted	(71)	(48)	(49)	(66)	(79)
Adjustment	**28**	**167**	**(3)**	**(12)**	**(11)**

13. **Covid-19 related income/expenses:** The Canadian government provided Canadian Emergency Wage Subsidies (CEWS) and Canadian Emergency Rent Subsidies (CERS) to support businesses during the Covid-19 pandemic. In FY21, the Company received $219,000 in one-time credits to subsidize wages for its employees and $19,000 for rental expenses. As these subsidies are non-recurring in nature, they have been removed from EBITDA.

Covid-19 related income/expenses

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Canada emergency wage subsidy	(219)	-	-	-	-
Covid-19 rent subsidy	(19)	-	-	-	-
Adjustment	**(237)**	**-**	**-**	**-**	**-**

Quality of earnings (8/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
New customers	a	4,540	4,320	3,117	1,716	1,018
Terminated and lost customers	b	(240)	(216)	(150)	(95)	(68)
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
New customers	a	3,438	3,264	2,399	1,339	811
Terminated and lost customers	b	(214)	(192)	(136)	(86)	(62)
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Pro forma adjustments

14. Net new/lost customers: Significant changes in the Company's customer base are adjusted from the January 2021 to June 2024 period to present the run-rate of the Company's ongoing operations.

a) *New customers:* Significant new customers after January 2021 include Uni Financial Services and Technology Inc., Caisse Populaire Alliance Limitee, Ficanex Services LP, Canadian Tire Bank, and Stripe Payments Canada Ltd., with revenue across various lines of business. Reoccurring revenue under long-term contract[1] from these new customers are adjusted in the January 2021 to June 2024 period based on the monthly year-to-date (YTD) June 2024 run-rate, as if they had been existing customers throughout the entire period. Corresponding COGS is estimated using the FY23 gross margin percentage for each of their respective lines of business.

b) *Terminated and lost customers:* During FY21 to FY23, Management identified and terminated several independent service organizations (ISOs) which were unprofitable and required significant effort to maintain compliance standards. Notably, this included Vars Investment Group and Netco Financial, generating $37,000 and $16,000 of revenue in TTM Jun-24, respectively. Additionally, two small credit unions, collectively contributing $15,000 in TTM Jun-24 revenue, were also lost customers. All historical revenue and COGS associated with these customers are removed.

New customers

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Reported					
New customers, reported revenue (A)	61	281	1,484	2,802	3,583
New customers, COGS (A)	(9)	(55)	(394)	(718)	(905)
New customers, gross profit (A)	**51**	**226**	**1,091**	**2,083**	**2,678**
Adjusted					
New customers revenue (B)	4,601	4,601	4,601	4,517	4,601
New customers COGS (B)	(1,112)	(1,112)	(1,112)	(1,095)	(1,112)
New customers gross profit, adjusted (B)	**3,489**	**3,489**	**3,489**	**3,422**	**3,489**
New customers revenue (B-A)	4,540	4,320	3,117	1,716	1,018
New customers COGS (B-A)	(1,102)	(1,056)	(718)	(377)	(206)
Adjustment (B-A)	**3,438**	**3,264**	**2,399**	**1,339**	**811**

Source: Billing reports

Terminated and lost customers

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Vars Investment Group	84	82	73	51	37
NETCO Financial	78	80	45	23	16
SecuTrans INC.	15	4	-	-	-
Canmor Inc.	14	14	1	-	-
MB POS INC.	9	0	-	-	-
POSConnect Inc.	5	4	3	2	1
Hi Data Inc.	(12)	-	-	-	-
Lost ISO customers revenue, reported	194	185	122	76	53
Lost ISO customers, COGS	(20)	(19)	(9)	(6)	(4)
Lost ISO customers, gross profit	174	166	113	70	49
First Credit Union	33	31	27	19	15
Smart Solution	14	-	-	-	-
Lost PNG customers revenue, reported	46	31	27	19	15
Lost PNG customers, COGS	(6)	(5)	(4)	(3)	(2)
Lost PNG, gross profit	40	26	23	16	12
Total gross profit	214	192	136	86	62
Adjustment	**(214)**	**(192)**	**(136)**	**(86)**	**(62)**

Source: Billing reports

[1] Reoccurring revenue under long-term contract excludes professional services and hardware resale.
Source: Internal financial statements

Quality of earnings (9/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

15. **Credit Union MSA:** In May 2024, a revised master services agreement (MSA), which encompasses all of the Company's credit union customers, went into effect. The revised MSA includes price increases for the services provided. A pro forma adjustment is applied to reflect the revised contract pricing in the historical period, based on historical volumes. The Company does not incur additional costs associated with the pricing increase, thereby increasing margins for these services.

    First Credit Union is excluded from this adjustment as its entire EBITDA impact is removed as part of QofE pro forma adjustment #14b as a lost customer. Peace Hills Trust and Alterna Bank are included within this adjustment as these two non-credit union customers benefit from credit union MSA contract pricing and terms.

Credit Union MSA | Summary

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	Unit of measure	March 2020 contract	May 2024 contract
Magnetic stripe transaction processing	612	641	692	714	659	*Per transaction processing*	0.01900	0.02043
ATM monitoring	49	49	51	51	47	*Per ATM, per month*	25.0	27.5
Host connection	76	75	82	83	77	*Per month per connection*	300	345
ATM enhanced monitoring	63	65	69	71	66	*Discount on ATM installs*	7.0% to 7.6%	0%
CAF data record fee	38	39	41	42	39	*Per data record*	0.010	0.011
Hot card services	32	36	34	35	31	*Per alert and card update*	24	27
ATM driving	20	20	20	20	19	*Per ATM, per month*	10	11
CAF updates	11	10	12	12	11	*Per data record*	0.020	0.022
EMV script delivery	9	2	1	2	1	*Per transaction*	0.0100	0.011
Pin change at ATM	0	0	0	0	0	*Per transaction*	0.0100	0.0105
Adjustment	**911**	**937**	**1,003**	**1,030**	**950**			

Source: Billing reports

Quality of earnings (10/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
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New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
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Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

16. **Data center facility costs:** The following proposed adjustment reflects the go-forward pricing for the Kyndryl-operated data centers in Barrie, ON and Markham, ON. Under the new contract, higher pricing is incurred on services relating to HPUX services, 24/7 batch monitoring support, and colocation racks, priced at $100,000 per month (effective June 1, 2024). HPUX services will be replaced in favour of EConnect upon its launch. All data center related expenses listed below are adjusted to the YTD Jun-24 monthly run-rate.

Data center facility costs

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Data processing facility expense - GL #571114	(1,600)	(1,743)	(2,209)	(2,322)	(2,463)
Kyndryl services	(615)	(615)	(615)	(619)	(669)
Data processing facility expense, excluding Kyndryl services	(985)	(1,128)	(1,595)	(1,703)	(1,795)
Teleconferencing charges - GL#551311	(21)	(11)	(8)	(8)	(8)
Disaster recovery services - GL#571202	(279)	(288)	(273)	(270)	(262)
Hardware maintenance - GL#561601	(387)	(256)	(299)	(305)	(306)
Internet/email service expense - GL#551307	(149)	(85)	(111)	(114)	(117)
Telecom - infrastructure - GL#561201	(318)	(501)	(509)	(519)	(523)
Data center expenses, reported	(2,754)	(2,884)	(3,410)	(3,539)	(3,680)
Data center expenses, adjusted	(4,385)	(4,385)	(4,385)	(4,387)	(4,385)
Adjustment	**(1,630)**	**(1,501)**	**(974)**	**(848)**	**(705)**

Source: Kyndryl Statement of Work, effective June 1, 2024

17. **EConnect software maintenance run-rate expenses:** The Company is migrating to the eConnect software solution provided by BHMI, replacing the current in-house solution. The new software is expected to enhance back-office transaction reporting capabilities. Following the launch of eConnect in late 2024, software maintenance expenses are expected to increase from approximately USD 140,000 per year to approximately USD 575,000 per year.

EConnect software maintenance run-rate expenses

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Software maintenance expenses, reported	(192)	(192)	(192)	(192)	(192)
Software maintenance expenses, adjusted	(788)	(788)	(788)	(788)	(788)
Adjustment	**(596)**	**(596)**	**(596)**	**(596)**	**(596)**

Note: Converted to CAD dollar at 1.37

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Quality of earnings (11/16) – Pro forma adjustments

Quality of earnings						
$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

18. **Settlement services run-rate:** The Company drafted a resolution and go-forward pricing as a result of the settlement services pricing dispute with Interac (QofE adjustment #3). This adjustment reflects the expected go-forward run-rate revenue of $18,000 per month.

Settlement services run-rate					
$'000	*FY21*	FY22	FY23	TTM Apr-24	TTM Jun-24
Settlement services, diligence adjusted	261	669	66	256	282
Settlement services, pro forma adjusted	216	216	216	216	216
Adjustment	**(45)**	**(453)**	**150**	**(40)**	**(66)**

Source: IMNA adjustments
Note: FY21 diligence adjusted settlement services revenue assumes the entire GL account balance

19. **Open positions:** To maintain existing operations, the Company is hiring for the open Marketing manager and Human resource (HR) generalist roles. The estimated total compensation for these positions are $149,000 and $75,000, respectively. The implied benefits and taxes are estimated based on the average burden as a percentage of total salaries in the trailing twelve months (TTM) ending June 2024. Additionally, bonuses are estimated at 10% of salary for the Marketing Manager and 5% for the HR generalist.

Open positions					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Marketing manager	(149)	(149)	(149)	(149)	(149)
HR generalist	(75)	(75)	(75)	(75)	(75)
Adjustment	**(224)**	**(224)**	**(224)**	**(224)**	**(224)**

Source: Turnover report

Quality of earnings (12/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

20. **New products, cards:** Since January 2021, the Company introduced several new products within the Card Management System line of business, primarily related to Visa and Mastercard debit cards. Although most fees associated with these products represent a pass-through, the Company earns administrative fees on the transactions. This adjustment reflects the pro forma impact attributable to the administrative fees, based on the monthly YTD June 2024 run-rate. Any new card product impact from new customers, adjusted within QofE pro forma adjustment #14a, is excluded from this adjustment to avoid duplication.

New products, cards

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Reported					
Mastercard and Visa debit cards, reported revenue	60	367	862	1,436	1,802
Mastercard and Visa debit cards, COGS	(58)	(323)	(731)	(1,214)	(1,535)
Mastercard and Visa debit cards, gross profit	3	44	131	223	266
Adjusted					
Mastercard and Visa debit cards, adjusted revenue	2,550	2,550	2,550	2,502	2,550
Mastercard and Visa debit cards, adjusted COGS	(2,193)	(2,193)	(2,193)	(2,148)	(2,193)
Mastercard and Visa debit cards, adjusted gross margin	357	357	357	354	357
Adjustment					
Mastercard and Visa debit cards, revenue adjustment	2,490	2,183	1,688	1,065	749
Mastercard and Visa debit cards, COGS adjustment	(2,135)	(1,870)	(1,462)	(934)	(658)
Adjustment	**355**	**314**	**227**	**131**	**91**

Source: Billing reports

Quality of earnings (13/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
New products, cards	20	2,490	2,183	1,688	1,065	749
New products, fraud management	21	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments						
Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

21. **New products, fraud management:** Beginning FY21, the Company introduced new fraud detection services, such as E-Detect Plus and 3D Secure in relation to new Visa and Mastercard debit card transactions. Similar to QofE pro forma adjustment #20, this adjustment includes the revenue and cost of goods sold impact across the January 2021 to June 2024 period and is based on a monthly YTD June 2024 run-rate. The corresponding cost of goods sold is estimated using the FY23 gross margin percentage for the fraud management line of business. Any fraud management product impact from new customers, adjusted within QofE pro forma adjustment #14a, is excluded from this adjustment to avoid duplication.

New products, fraud management

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Reported					
New products fraud management, reported revenue	2	43	96	142	185
New products fraud management, COGS	(0)	(1)	(4)	(7)	(8)
New products fraud management, reported gross profit	2	42	91	136	176
Adjusted					
New products fraud management, adjusted revenue	280	280	280	268	280
New products fraud management, adjusted COGS	(13)	(13)	(13)	(12)	(13)
New products fraud management, adjusted gross margin	268	268	268	256	268
Adjustment					
New products fraud management, revenue adjustment	278	237	185	126	96
New products fraud management, COGS adjustment	(13)	(11)	(8)	(6)	(4)
Adjustment	**265**	**226**	**176**	**120**	**91**

Source: Billing reports

22. **ATM CDRS fees:** ATM CDRS fees pertain to a new revenue stream established in September 2023, related to anti money laundering (AML) and compliance reporting for banks and credit unions participating in the Exchange network. Management estimates a run-rate of $5,000 per month, which is consistent with the fees recorded in the last ten months ending June 2024. Historical ATM CDRS fees from January 2021 to August 2023 are adjusted to the go-forward run-rate of $5,000 per month.

ATM CDRS Fees

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
ATM - cdrs fees, reported	-	-	42	58	64
ATM - cdrs fees, adjusted	60	60	60	60	60
Adjustment	**60**	**60**	**18**	**2**	**(4)**

Source: Internal financial statements

Quality of earnings (14/16) – Pro forma adjustments

Quality of earnings

$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments		1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments						
Net new/lost customers	14	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	950
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Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Pro forma adjustments		7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
Revenue, pro forma adjusted growth rate			*17.7%*	*15.4%*	*4.1%*	*5.6%*
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments		941	1,332	(1,669)	(1,298)	(566)
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Net new/lost customers	14	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	950
Data center facility costs	16	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(453)	150	(40)	(66)
Open positions	19	(224)	(224)	(224)	(224)	(224)
New products, cards	20	355	314	227	131	91
New products, fraud management	21	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(444)	(287)	(55)	-	-
Pro forma adjustments		1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

Pro forma adjustments (continued)

23. **Discontinued operations – Chase partnership:** The Company earned residual payments from transactions conducted on Chase payment terminals amounting to $228,000 in FY21 and $186,000 in FY22. As this partnership was identified to be unprofitable, the Company discontinued and sold the partnership agreement to a third party at no gain. This adjustment eliminates the historical residual payment income (and losses) from EBITDA as recorded within a distinct GL account. Management represents that minimal labour hours were incurred with the partnership; these expenses have not been quantified as part of this adjustment.

Discontinued operations - Chase partnership

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Merchant residual revenue - chase, reported	228	186	58	(1)	(30)
Adjustment	**(228)**	**(186)**	**(58)**	**1**	**30**

24. **Visa VAP run-rate:** In May 2023, the Company upgraded its Visa analytics platform (VAP) membership which enabled compatibility with new VISA debit card transaction offerings and established a second backup site for contingency purposes. The revised membership fee, which increased from ~$37,000 per month to ~$67,000 per month, was effective beginning March 2023. The historical expenses associated with the Visa VAP system have been adjusted to align with the ongoing monthly rate.

Visa VAP run-rate

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Visa VAP system expenses, reported	(361)	(518)	(737)	(772)	(764)
Visa VAP system expenses, adjusted	(805)	(805)	(792)	(772)	(764)
Adjustment	**(444)**	**(287)**	**(55)**	**-**	**-**

Quality of earnings (15/16) – Other considerations

Other considerations						
$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Cash rent expense	i.	(348)	(341)	(327)	(322)	(320)
Sublet income	ii.	-	-	-	15	15
Net cash rent expense	A	(348)	(341)	(327)	(308)	(305)
Issuer interchange fees	B	-	-	326	473	526
E-hub money transfer	C	-	-	122	353	548
Sublet revenue run-rate	D	45	45	45	30	22
Co-op financial variable costs run-rate	E	-	(6)	(14)	(18)	(19)
Call center employees	F	n.q	n.q	n.q	n.q	n.q
Capitalized labour and development	G	(1,210)	(1,443)	(1,620)	(1,645)	(1,781)

Source: Internal financial statements

Other considerations

The following includes potential quality of earnings considerations identified during diligence. These items relate to other matters that may be considered in the overall evaluation of the Company. Given the subjective nature of these assumptions, they have not been included in the quality of earnings schedule.

A. **Net cash rent expense:** Net impact from rental expense and sublease income on the Company's corporate office space is quantified to present the cash burden on the Company.

i. **Cash rent expense:** The Company records rental expenses under IFRS 16 whereby the annual lease obligation is capitalized and amortized on a monthly basis. This consideration presents the monthly cash rent expense to provide a view of operating rent expense. Cash rent expense is reconciled to annual rent expense per lease agreements.

Cash rent expense					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Rent expense	(639)	(631)	(656)	(653)	(645)
Less: IFRS 16 rent expense adjustment- everlink	275	281	281	281	281
Less: Interest expense - property lease (IFRS 16), definitionally adjusted	73	60	47	42	40
Rent expense excluded from EBITDA	348	341	327	322	320
Potential impact	**(348)**	**(341)**	**(327)**	**(322)**	**(320)**

Source: Lease agreements

ii. **Sublet income:** From January 2024 to July 2026, the Company entered into a sublease agreement for 2,082sq. ft. of space at the Markham corporate office location. The effective start date of the sublease is January 2024, however, the agreement offers a rent-free period from January 2024 to April 2024. This period is adjusted to reflect the sublease rental income since the effective date. Refer to the Appendix for additional details.

B. **Issuer interchange fees:** Issuer interchange fees is a new revenue stream where the Company earns processing fees on each transaction for co-badged debit cards with Visa and Mastercard. The consideration presents the historical revenue associated with the product. This revenue is expected to grow as financial institutions continue to shift towards Visa and Mastercard debit cards.

Quality of earnings (16/16) – Other considerations (continued)

Other considerations (continued)

C. E-hub money transfer: In November 2023, the Company launched E-hub money transfer, a new product which is expected to be a growth area for the Company. Given the recent launch, a run-rate adjustment was not proposed. The consideration presents the historical reported revenue associated with the product.

D. Sublet revenue run-rate: The Company entered into a lease for additional office space in January 2020. Following impacts from Covid-19 in FY21 and return to office in FY23, Management confirms this space is considered redundant for business operations and remained unused for the rental period. A sublease agreement was confirmed beginning January 2024, in which ~65% of the rent expense is recovered through sublease income. Sublease income is presented in the historical period for the life of the lease agreement.

Sublet revenue run-rate

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Additional premises (Unused space), reported	(70)	(70)	(70)	(70)	(71)
Additional premises (Unused space), sublet revenue	45	45	45	30	22
Adjustment	**45**	**45**	**45**	**30**	**22**

Source: Lease agreements

E. Co-op financial variable costs run-rate: The Company receives preferential rates for a fraud management service provided by a related party (Co-op). Although the go-forward pricing has not yet been established, Management estimates an increase of 10%. This consideration presents the increase in costs for indicative purposes.

Co-op financial variable costs run-rate

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Cogs - intercompany co-op vcas, reported	-	(61)	(138)	(177)	(189)
Cogs - intercompany co-op vcas, adjusted	-	(67)	(151)	(195)	(208)
Adjustment	**-**	**(6)**	**(14)**	**(18)**	**(19)**

Source: Internal financial statements

F. Call center employees: The Company plans to increase its full-time call center staff with new full-time positions. The recruitment process involves a six-month part-time contract, transitioning to full-time based on performance, which saves on recruitment costs from hiring full-time employees directly. Costs related to increases in full time employees are largely offset by decreases in contractor use. The future estimated payroll costs for the call center employees and resultant savings in contractual costs was not quantified.

G. Capitalized labour and development: The Company capitalizes internal labour expenses associated with technology and systems development, which are then amortized over the lifespan of the corresponding asset. This consideration presents FY22 and FY23 capitalized labour costs, primarily relating to the eConnect project with BHMI and data center relocation. Labour costs associated with the new data center encompass time spent on data replication, preliminary server and software testing, and test environment configuration. The capitalized labour costs are amortized over the periods outlined below, determined by the anticipated usage period.

Capitalized labour and development

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Purchased fixed assets - WIP GL #151101	(154)	(508)	(335)	(201)	(133)
IDSW capitalized projects WIP GL#170805	(1,056)	(936)	(1,284)	(1,444)	(1,647)
Adjustment	**(1,210)**	**(1,443)**	**(1,620)**	**(1,645)**	**(1,781)**

Source: Capitalized hours report

Amortization periods

Description	Amortization (# of months)	
Markham move implementation	34	
Barrie move implementation	36	
Unix and Application implementation	16	
Data center move capitalization	78	*Capitalized Feb-23 to Nov-23*

Source: April 2024 NBV

03

Balance sheet

Stratified balance sheet

Net working capital

Net cash

Stratified balance sheet (1/2)

The table below presents the reported balance sheet segregated into net working capital, net debt and other components, as at June 30, 2024.

Stratified balance sheet	As at				Stratification as at 30-Jun-24			
$'000	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	NWC	PPE	Net cash	Others
Assets								
Cash and cash equivalents	10,743	12,332	12,515	12,443	-	-	12,443	-
Items in transit	12,326	16,296	25,288	42,891	42,891	-	-	-
Accounts receivable and other receivables	8,044	9,296	14,750	12,209	12,209	-	-	-
Inventory	511	708	811	768	768	-	-	-
Prepaid expenses	3,142	4,129	3,657	2,404	2,404	-	-	-
Unbilled revenue	934	1,114	609	321	321	-	-	-
Current assets	35,700	43,876	57,631	71,037	58,594	-	12,443	-
Property & equipment	3,596	3,749	3,217	2,865	-	2,865	-	-
Capitalized development	2,680	2,804	3,242	3,967	-	3,967	-	-
Purchased software assets	6,033	5,264	5,191	4,684	-	4,684	-	-
Goodwill	7,695	7,695	7,695	7,695	-	-	-	7,695
Investment in interac	941	941	941	941	-	-	-	941
Deferred implementation costs - non-current	980	441	530	756	756	-	-	-
Prepaid contractual payments - non-current	2,211	989	605	435	-	-	-	435
Non current assets	24,135	21,883	21,421	21,343	756	11,516	-	9,071
Assets	**59,836**	**65,759**	**79,052**	**92,380**	**59,350**	**11,516**	**12,443**	**9,071**
Liabilities								
Accounts payable and accrued liabilities	(2,636)	(3,471)	(3,851)	(4,969)	(4,969)	-	-	-
Payments held for third party remittance	(12,260)	(16,257)	(25,168)	(42,820)	(42,820)	-	-	-
Revenue contract liabilities - current year	(1,578)	(2,757)	(2,211)	(950)	(950)	-	-	-
Deferred revenue	(605)	(867)	(1,057)	(1,312)	(1,312)	-	-	-
Payroll benefits taxes payable & accrued	(1,645)	(2,498)	(2,644)	(1,359)	(1,359)	-	-	-
Income tax payable	(359)	(824)	(1,912)	(461)	-	-	(461)	-
Finance lease obligation - property lease	(312)	(325)	(339)	(172)	-	-	(172)	-
Finance lease obligation - leased equipment	(852)	(625)	(642)	(596)	-	-	(596)	-
Shareholder return of capital payable	-	(8,500)	(10,000)	-	-	-	-	-
Current liabilities	(20,246)	(36,125)	(47,823)	(52,637)	(51,409)	-	(1,228)	-
Contract liabilities - non-current	(4,037)	(3,319)	(2,011)	(2,789)	(2,789)	-	-	-
Deferred compensation payable (LTIP)	(248)	(247)	(507)	(724)	(724)	-	-	-
Deferred compensation payable (SERP)	(80)	(96)	(115)	(126)	-	-	(126)	-
Deferred compensation	(328)	(343)	(622)	(849)	(724)	-	(126)	-
Deferred tax liabilities	(1,694)	(1,795)	(1,770)	(1,842)	-	-	-	(1,842)
Long-term finance lease - leased equipment	(2,390)	(1,684)	(1,042)	(769)	-	-	(769)	-
Long term - property lease	(1,205)	(880)	(540)	(540)	-	-	(540)	-
Non-current liabilities	(9,655)	(8,021)	(5,984)	(6,790)	(3,513)	-	(1,435)	(1,842)
Liabilities	(29,901)	(44,146)	(53,808)	(59,427)	(54,922)	-	(2,663)	(1,842)
Net assets	**29,934**	**21,613**	**25,244**	**32,953**	**4,428**	**11,516**	**9,779**	**7,229**
Reconciliation								
Net working capital, reported					*5,152*			
Add: NWC Adj. #2 LTIP reclassification					*(724)*			
Total					*4,428*			
Check					*(0)*			

Source: Internal financial statements, KPMG analysis

Net working capital

Net working capital is comprised of the following balances (see the following pages for further analysis):

- **Items in transit:** Represents cash held by the Company on an overnight basis for settlement of ATM and POS transactions. These balances are considered part of normal business operations. The payments held for third party remittance represent the Company's liability associated with the items in transit. The difference between these balances represents cash earned on certain interchange fees and timing differences.
- **Accounts receivable and other receivables:** Comprised of $11.2 million of gross trade receivable from customers. The Company reports an average DSO of 66 days in TTM Jun-24. The majority of receivables relate to financial institutions with minimal historic credit risk. The remaining $0.9 million of other receivables pertains to sales tax and other interest. The year-over-year increase in receivables is driven by increases in transaction switching service volume.
- **Inventory:** The Company does not hold major inventory balances; $0.4 million consists of Card project related costs while the remaining relate to a variety of cost of goods sold across all other lines of business.
- **Prepaid expenses:** Prepaid expense represents prepaid software maintenance and software licenses, equipment maintenance, insurance, and office maintenance contracts.
- **Unbilled revenue and deferred implementation costs – non-current:** Primarily represents the labour cost recognized on implementation projects with deferred revenue component. The cost associated with the project recognized to date is amortized over the length of the project. These costs are anticipated to be recovered as the Company meets its performance obligations and recognizes revenue over the same time period, consistent with revenue recognition.
- **Accounts payable and accrued liabilities:** Comprised of $1.0 million of accounts payable to vendors and $3.3 million in accrued liabilities. These balances primarily relate to miscellaneous cost of sales and fees paid to third parties associated with facilitating transactions. Non-resident withholding tax payable for dividends paid to Velera (i.e., $2,000) is excluded from working capital in NWC adjustment #8 and included in net cash item #6. The Company's average DPO for TTM Jun-24 is 57 days.

Stratified balance sheet (2/2)

Stratified balance sheet

	As at				Stratification as at 30-Jun-24			
$'000	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	NWC	PPE	Net cash	Others
Assets								
Cash and cash equivalents	10,743	12,332	12,515	12,443	-	-	12,443	-
Items in transit	12,326	16,296	25,288	42,891	42,891	-	-	-
Accounts receivable and other receivables	8,044	9,296	14,750	12,209	12,209	-	-	-
Inventory	511	708	811	768	768	-	-	-
Prepaid expenses	3,142	4,129	3,657	2,404	2,404	-	-	-
Unbilled revenue	934	1,114	609	321	321	-	-	-
Current assets	35,700	43,876	57,631	71,037	58,594	-	12,443	-
Property & equipment	3,596	3,749	3,217	2,865	-	2,865	-	-
Capitalized development	2,680	2,804	3,242	3,967	-	3,967	-	-
Purchased software assets	6,033	5,264	5,191	4,684	-	4,684	-	-
Goodwill	7,695	7,695	7,695	7,695	-	-	-	7,695
Investment in interac	941	941	941	941	-	-	-	941
Deferred implementation costs - non-current	980	441	530	756	756	-	-	-
Prepaid contractual payments - non-current	2,211	989	605	435	-	-	-	435
Non current assets	24,135	21,883	21,421	21,343	756	11,516	-	9,071
Assets	**59,836**	**65,759**	**79,052**	**92,380**	**59,350**	**11,516**	**12,443**	**9,071**
Liabilities								
Accounts payable and accrued liabilities	(2,636)	(3,471)	(3,851)	(4,969)	(4,969)	-	-	-
Payments held for third party remittance	(12,260)	(16,257)	(25,168)	(42,820)	(42,820)	-	-	-
Revenue contract liabilities - current year	(1,578)	(2,757)	(2,211)	(950)	(950)	-	-	-
Deferred revenue	(605)	(867)	(1,057)	(1,312)	(1,312)	-	-	-
Payroll benefits taxes payable & accrued	(1,645)	(2,498)	(2,644)	(1,359)	(1,359)	-	-	-
Income tax payable	(359)	(824)	(1,912)	(461)	-	-	(461)	-
Finance lease obligation - property lease	(312)	(325)	(339)	(172)	-	-	(172)	-
Finance lease obligation - leased equipment	(852)	(625)	(642)	(596)	-	-	(596)	-
Shareholder return of capital payable	-	(8,500)	(10,000)	-	-	-	-	-
Current liabilities	(20,246)	(36,125)	(47,823)	(52,637)	(51,409)	-	(1,228)	-
Contract liabilities - non-current	(4,037)	(3,319)	(2,011)	(2,789)	(2,789)	-	-	-
Deferred compensation payable (LTIP)	(248)	(247)	(507)	(724)	(724)	-	-	-
Deferred compensation payable (SERP)	(80)	(96)	(115)	(126)	-	-	(126)	-
Deferred compensation	(328)	(343)	(622)	(849)	(724)	-	(126)	-
Deferred tax liabilities	(1,694)	(1,795)	(1,770)	(1,842)	-	-	-	(1,842)
Long-term finance lease - leased equipment	(2,390)	(1,684)	(1,042)	(769)	-	-	(769)	-
Long term - property lease	(1,205)	(880)	(540)	(540)	-	-	(540)	-
Non-current liabilities	(9,655)	(8,021)	(5,984)	(6,790)	(3,513)	-	(1,435)	(1,842)
Liabilities	(29,901)	(44,146)	(53,808)	(59,427)	(54,922)	-	(2,663)	(1,842)
Net assets	**29,934**	**21,613**	**25,244**	**32,953**	**4,428**	**11,516**	**9,779**	**7,229**
Reconciliation								
Net working capital, reported					*5,152*			
Add: NWC Adj. #2 LTIP reclassification					*(724)*			
Total					*4,428*			
Check					*(0)*			

Source: Internal financial statements, KPMG analysis

Net working capital (continued)

- **Contract liabilities and deferred revenue:** In accordance with IFRS 15, the Company identifies performance obligations related to professional services with specific customer contracts. Revenue from these contracts are deferred and recognized progressively over the contract term. Additionally, for certain transaction processing contracts with variable tier-based pricing, the Company recognizes revenue based on an estimated transaction price, determined by the estimated transaction volume in relation to the total expected volume in a fiscal year. A contract liability balance occurs when the billed amount exceeds recognized revenue.

  Deferred revenue associated with card management pertains to the initial billing of both blank manufactured cards and subsequent personalization; revenue recognition on personalization occurs at the time that the cards are personalized.

- **Payroll benefits:** Consists of accrued salaries, bonuses, vacation, and health benefits. These balances are accrued on a bi-weekly cadence, where the accrual relates to the previous two weeks of work performed. The Company's incentive plan targets a 5% bonus for staff, 10% for managers, 15% for directors, 20% for general managers, and 25% for vice president roles. Separately, one week of vacation is permitted to be carried over to the following fiscal year.

- **Deferred compensation payable:** Includes the Company's long-term incentive plan (LTIP) for senior management and supplementation executive pension plan (SERP), attributable to the CEO. LTIP amounts are paid on the third year anniversary of a prior fiscal period (e.g. the LTIP earned in FY21 is payable in FY24). Balances which relate to the Company's standard bonus plan for all employees are classified as current accrued liabilities and are included in net working capital. The SERP is cash payable on the retirement of the CEO and is included in Net Cash.

Other

Other balances are compromised of the following accounts:

- **Property and equipment, software and intangible assets:** Comprised of purchased software, data processing and networking equipment, leasehold improvements, and office equipment. Additionally, labour related to internally developed software is capitalized.

- **Others:** Consists of goodwill, investments, non-current prepaids, and deferred tax liabilities.

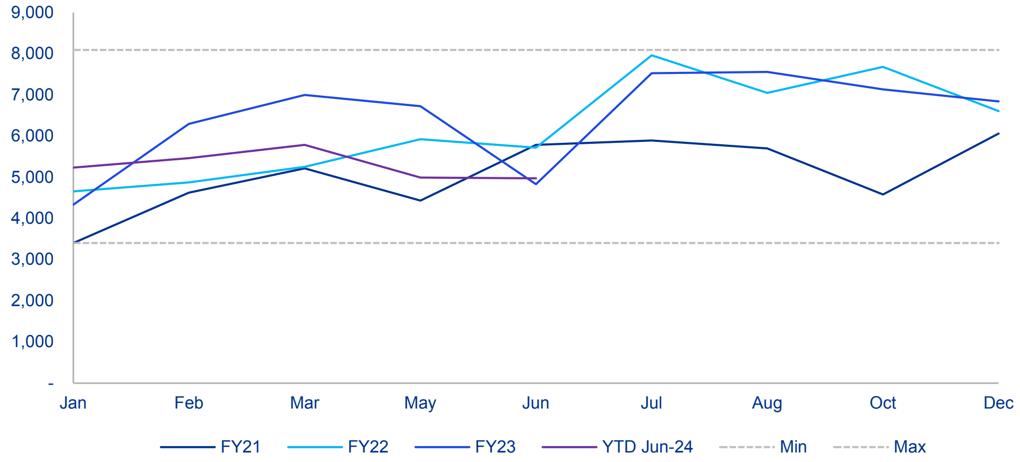
Net working capital (1/7) – Overview

Adjusted average net working capital for TTM Jun-24 is $6.1 million. Significant adjustments relate to IFRS 15 adjustment impact on contract liabilities, adjustments to accounts receivable from QofE impacts, and to normalize reported day sales outstanding from September 2023 to June 2024.

Net working capital

$'000	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Net working capital, reported	**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
Due diligence adjustments	2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Pro forma adjustments	612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, adjusted	**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
Adjusted WC, as a % of net sales	*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Adjusted net working capital seasonality ($'000)



Source (All): Internal financial statements

Overview

Basis of presentation

The working capital schedule summarizes reported working capital and proposed adjustments for the fiscal years ended December 31, 2021, 2022, 2023 and the TTM period ended June 30, 2024.

Adjustments

The nature of the adjustments included in the analysis are as follows:

- *Definitional adjustments:* Adjustment to exclude cash and debt like items from net working capital.
- *Due diligence adjustments:* Net working capital impact of adjustments identified during diligence.
- *Pro forma adjustments:* Adjustments for changes in business operations that may impact working capital.

The proposed adjustments are not necessarily be all inclusive and are based on information provided by Management to date. Further analysis to additional information could uncover additional or different proposed adjustments.

Seasonality

- Generally, ATM and POS transactions activity experience lower volume in January and February and peak from May to August. This trend is reflected in average DSO, which is typically higher from May to October as higher volumes of receivables take longer to process and collect.
- Average adjusted DSO consistently ranges from 64 to 67 days over the historical period.

Net working capital (2/7) – Due diligence adjustments

Net working capital

$'000	Ref	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
As % of TTM net sales		*7.9%*	*5.6%*	*14.0%*	*7.5%*	*6.5%*	*6.1%*	*6.2%*	*9.2%*	*11.4%*
Due diligence adjustments										
IFRS 15 contract liability	1	2,425	2,938	708	251	1,957	2,632	2,635	1,330	2,084
LTIP reclassification	2	(248)	(247)	(507)	(724)	(228)	(343)	(483)	(600)	(486)
Accrued liabilities - celero and cu centrals	3	-	-	245	-	-	-	497	254	248
Settlement services dispute	4	-	-	376	7	-	-	(16)	97	23
Out of period entries	5	30	108	(136)	68	2	64	83	65	79
Covid-19 related income/expenses accrual	6	38	38	38	38	23	38	38	38	38
Severance liability	7	-	25	39	(4)	-	8	21	19	19
Non-resident witholding tax payable	8	-	(2)	(2)	(2)	4	(1)	(2)	19	8
Bad debt expense	9	5	-	36	36	0	2	3	21	10
AP impact of QofE adjustments	10	22	162	1	-	6	115	41	4	55
Accrued payroll impact of QofE adjustments	11	-	(2)	(13)	-	-	(13)	(8)	(4)	(8)
Accrued liabilities impact of professional fees	12	-	-	-	150	-	-	-	13	6
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source (All): Internal financial statements

Due diligence adjustments

1. **IFRS 15 contract liability:** Contract liabilities which are recorded in accordance with IFRS 15 are removed from net working capital as they are related to the progressive revenue recognition of the underlying services, but do not represent the operational liquidity of the business from a working capital perspective. This adjustment includes the Mobile POS IFRS 15 contract related to Interac discussed in QofE adjustment #1 and other material IFRS 15 contracts.

2. **LTIP reclassification:** The Company offers LTIP for its executives, accruing monthly and paid out after three years in March. For instance, the LTIP earned in FY21 will be disbursed in March 2024. Each December, the LTIP due within a year is reclassified as short-term and is reflected in reported NWC. This adjustment includes the long-term liability in NWC as the monthly expense accrual is reflected in EBITDA.

3. **Accrued liabilities – celero and cu centrals:** The Company replaced servers and network equipment approximately two years ahead of the estimated useful life as a result of the forced data center relocation. The costs associated with the relocation were disputed with Celero and pending resolution, the Company withheld existing data center occupancy payments from Celero, resulting in increased accrued liabilities from February to December 2023. Elevated balances from the period are adjusted to the monthly YTD Jun-24 run-rate of $244,000.

Accrued liabilities - celero and cu centrals

$'000	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Accrued liabilities - celero and cu centrals, reported	(32)	(30)	(489)	(214)	(33)	(30)	(739)	(499)	(438)
Accrued liabilities - celero and cu centrals, adjusted	(32)	(30)	(244)	(214)	(33)	(30)	(242)	(244)	(190)
Adjustment	**-**	**-**	**245**	**-**	**-**	**-**	**497**	**254**	**248**

Net working capital (3/7) – Due diligence adjustments

Net working capital

$'000	Ref	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
As % of TTM net sales		*7.9%*	*5.6%*	*14.0%*	*7.5%*	*6.5%*	*6.1%*	*6.2%*	*9.2%*	*11.4%*
Due diligence adjustments										
IFRS 15 contract liability	1	2,425	2,938	708	251	1,957	2,632	2,635	1,330	2,084
LTIP reclassification	2	(248)	(247)	(507)	(724)	(228)	(343)	(483)	(600)	(486)
Accrued liabilities - celero and cu centrals	3	-	-	245	-	-	-	497	254	248
Settlement services dispute	4	-	-	376	7	-	-	(16)	97	23
Out of period entries	5	30	108	(136)	68	2	64	83	65	79
Covid-19 related income/expenses accrual	6	38	38	38	38	23	38	38	38	38
Severance liability	7	-	25	39	(4)	-	8	21	19	19
Non-resident witholding tax payable	8	-	(2)	(2)	(2)	4	(1)	(2)	19	8
Bad debt expense	9	5	-	36	36	0	2	3	21	10
AP impact of QofE adjustments	10	22	162	1	-	6	115	41	4	55
Accrued payroll impact of QofE adjustments	11	-	(2)	(13)	-	-	(13)	(8)	(4)	(8)
Accrued liabilities impact of professional fees	12	-	-	-	150	-	-	-	13	6
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source: Internal financial statements

Due diligence adjustments (continued)

4. **Settlement services dispute:** Relates to the Company's pricing dispute with Interac Corp. whereby settlement services revenue is adjusted within QofE due diligence adjustment #3 to reflect the draft resolution proposed in July 2024. The draft resolution proposes revised pricing rates from August 2023 to July 2024 and credits of $158,272 + HST (total of $178,847) for services billed in FY23. This adjustment estimates the indicative AR impact of the negotiated settlement services pricing by applying DSO to the revenue adjustment and includes an accrual for credits for services offered in FY23. The corresponding AR impact to reflect run-rate go-forward settlement pricing is reflected in NWC adjustment #13.

5. **Out of period entries:** The out of period accrued liabilities and bonus accrual corresponding to QofE adjustment #4 are adjusted to the periods in which they relate.

   In December 2023, $131,000 in expense accruals relating to the Chase Paymentech partnership and $103,000 relating to ATM services were reversed, of which $30,000 related to accruals recorded in FY22 and the remainder related to prior to FY21. The adjustment corrected the entry to record a $30,000 accrual in December 2021 and removed the remainder of accruals in December 2023 pertaining to pre-FY21 periods.

   Bonus expense was over-accrued by $78,000 in FY22 and under-accrued by $10,000 in FY23. This adjustment adjusts the bonus accruals accordingly in each of the respective fiscal years.

6. **Covid-19 related income/expenses accrual:** The wage and rent subsidy accruals from the Canadian government in connection with the Covid-19 pandemic are non-recurring and are removed from net working capital.

Net working capital (4/7) – Due diligence adjustments

Net working capital

$'000	Ref	As at				Average				
		31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
As % of TTM net sales		*7.9%*	*5.6%*	*14.0%*	*7.5%*	*6.5%*	*6.1%*	*6.2%*	*9.2%*	*11.4%*
Due diligence adjustments										
IFRS 15 contract liability	1	2,425	2,938	708	251	1,957	2,632	2,635	1,330	2,084
LTIP reclassification	2	(248)	(247)	(507)	(724)	(228)	(343)	(483)	(600)	(486)
Accrued liabilities - celero and cu centrals	3	-	-	245	-	-	-	497	254	248
Settlement services dispute	4	-	-	376	7	-	-	(16)	97	23
Out of period entries	5	30	108	(136)	68	2	64	83	65	79
Covid-19 related income/expenses accrual	6	38	38	38	38	23	38	38	38	38
Severance liability	7	-	25	39	(4)	-	8	21	19	19
Non-resident witholding tax payable	8	-	(2)	(2)	(2)	4	(1)	(2)	19	8
Bad debt expense	9	5	-	36	36	0	2	3	21	10
AP impact of QofE adjustments	10	22	162	1	-	6	115	41	4	55
Accrued payroll impact of QofE adjustments	11	-	(2)	(13)	-	-	(13)	(8)	(4)	(8)
Accrued liabilities impact of professional fees	12	-	-	-	150	-	-	-	13	6
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source: Internal financial statements

Due diligence adjustments (continued)

7. **Severance liability:** In conjunction with QofE adjustment #5, the corresponding severance liabilities for the following roles were removed from net working capital: (a) VP Operations and Client Services, (b) Director, IT Operations, (c) Senior Compliance Manager. Additionally, an out of period severance accrual reversal for a business analyst is reallocated to the time of recognition. We have assumed that severance is accrued in the month of termination and is paid out in the following month.
8. **Non-resident withholding tax payable:** Relates to a 5% withholding tax payable to the Canada Revenue Agency for dividends paid to Velera. The dividends paid are considered non-operational and therefore, excluded from reported NWC, the associated withholding tax is also removed.
9. **Bad debt expense:** The Company accrued for a one-time bad debt expense of $36,000 in December 2023 as a general provision for point of sale providers (QofE adjustment #10). The balance was subsequently collected in FY24. This adjustment removes the bad debt provision from net working capital.
10. **AP impact of QofE adjustments:** The corresponding accounts payable impact relating to data center relocation expenses (QofE adjustment #8), HP lease costs (adjustment #9), and non-recurring legal fees (adjustment #12) has been estimated by applying the Company's historical DPO to the related expenses.
11. **Accrued payroll impact of QofE adjustments:** The corresponding impact to payroll accruals for vacant employee positions in FY22 and FY23 (QofE adjustment #7) has been estimated using the Company's bi-weekly pay cycle and the monthly total compensation associated with the vacant roles.
12. **Accrued liabilities impact of professional fees:** Removes a $150,000 accrual in June 2024 for non-recurring advisory expenses. The corresponding expense impact is adjusted in QofE adjustment #6.

Net working capital (5/7) – Pro forma adjustments

Net working capital

$'000	Ref	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments										
Interac DSO normalization	13	-	-	(2,831)	51	-	-	(741)	(1,631)	(816)
AR impact of QofE pro forma adjustments	14	1,478	1,313	761	102	1,468	1,292	1,082	567	909
AP impact of QofE pro forma adjustments	15	(1,103)	(756)	(578)	(154)	(1,008)	(909)	(658)	(429)	(598)
Chase partnership costs	16	245	224	9	9	254	248	200	96	168
Accrued payroll impact of QofE pro forma adjustments	17	(8)	(8)	(8)	(9)	(9)	(9)	(9)	(9)	(9)
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source (All): Internal financial statements

Pro forma adjustments

13. **Interac DSO normalization:** Between September 2023 to June 2024, Interac's average days sales outstanding (DSO) increased to 86 days from 44 days compared to the same period in the previous year. The increase in DSO was driven by delays in receiving payments from Interac, as certain payments were subject to internal review from Interac's finance team as a result of the pricing dispute at the time (as referenced in adjustment #4). This adjustment normalizes Interac specific DSO to 45 days, based on historic experience. Interac is a longstanding creditworthy customer of the Company and payment frequency have returned to historical trends after resolution of the pricing dispute.

Interac DSO normalization

$'000	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
Interac AR adjusted (	1,288	2,743	5,005	2,260	1,319	1,659	2,332	3,759	2,702
DSO, calculated	41	57	89	70	56	48	51	75	61
DSO, adjusted	41	57	45	45	46	48	38	42	44
AR, adjusted	1,288	2,743	2,173	2,311	1,319	1,659	1,591	2,128	1,886
Adjustment	**-**	**-**	**(2,831)**	**51**	**-**	**-**	**(741)**	**(1,631)**	**(816)**

Source: Interac AR monthly balances, Billing reports

14. **AR impact of QofE pro forma adjustments:** The accounts receivable impact of the following QofE adjustments is estimated using the Company's DSO metrics.

AR impact of QofE pro forma adjustments

$'000	Ref.	As at 31-Dec-21	As at 31-Dec-22	As at 31-Dec-23	As at 30-Jun-24	Average FY21	Average FY22	Average FY23	Average TTM Jun-24	Average L24M Jun-24
New customers, revenue	14a	377	353	101	-	378	360	260	85	218
Terminated & lost customers, revenue	14b	(18)	(16)	(9)	-	(20)	(18)	(12)	(6)	(11)
Credit Union MSA	15	75	78	86	(0)	76	78	84	79	80
Settlement services run-rate	18	(14)	(8)	(4)	(4)	(4)	(38)	12	(6)	(8)
New products, cards, revenue	20	186	192	141	-	207	182	141	62	116
New products, fraud management, revenue	21	23	11	3	-	23	20	15	8	12
ATM CDRS Fees	22	5	5	-	-	5	5	1	(0)	2
QofE impact		634	616	318	(4)	666	589	501	223	409
DSO, reported		71	69	69	57	67	66	63	63	63
Adjustment		**1,478**	**1,313**	**761**	**102**	**1,468**	**1,292**	**1,082**	**567**	**909**

Net working capital (6/7) – Pro forma adjustments

Net working capital		As at				Average				
$'000	Ref	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments										
Interac DSO normalization	13	-	-	(2,831)	51	-	-	(741)	(1,631)	(816)
AR impact of QofE pro forma adjustments	14	1,478	1,313	761	102	1,468	1,292	1,082	567	909
AP impact of QofE pro forma adjustments	15	(1,103)	(756)	(578)	(154)	(1,008)	(909)	(658)	(429)	(598)
Chase partnership costs	16	245	224	9	9	254	248	200	96	168
Accrued payroll impact of QofE pro forma adjustments	17	(8)	(8)	(8)	(9)	(9)	(9)	(9)	(9)	(9)
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source (All): Internal financial statements

Pro forma adjustments (continued)

15. **AP impact of QofE pro forma adjustments:** The accounts payable impact of the following QofE adjustments is estimated using the Company's DPO metrics.

AP impact of QofE pro forma adjustments		As at				Average				
$'000	Ref.	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
New customers, COGS	14a	(92)	(86)	(11)	-	(92)	(88)	(60)	(17)	(51)
Terminated & lost customers, COGS	14b	2	2	1	-	2	2	1	1	1
Data center facility costs	16	(121)	(123)	(133)	-	(136)	(125)	(81)	(59)	(81)
EConnect software maintenance run-rate expenses	17	(50)	(50)	(50)	(50)	(50)	(50)	(50)	(50)	(50)
New products, cards, COGS	20	(159)	(166)	(129)	-	(178)	(156)	(122)	(55)	(100)
New products, fraud management, COGS	21	(1)	(1)	(0)	-	(1)	(1)	(1)	(0)	(1)
Visa VAP run-rate	24	(37)	105	-	-	(37)	(24)	(5)	-	(5)
QofE impact		(457)	(318)	(322)	(50)	(491)	(441)	(317)	(180)	(287)
DPO, reported		72	57	62	57	63	60	63	62	60
Adjustment		**(1,103)**	**(756)**	**(578)**	**(154)**	**(1,008)**	**(909)**	**(658)**	**(429)**	**(598)**

16. **Chase partnership costs:** Beginning FY19, the Company was restricted in adding new merchants to the Chase platform, resulting in a decrease in tiered residual payments as customers churned over time. The Company terminated its partnership with Chase near the end of FY23 as it was identified to be unprofitable, and sold the rights for the portfolio for $nil. Corresponding receivable and accrual balances are removed from net working capital including the accrued merchant residual payments receivable, consulting and investment banking fees, in FY21. The adjustment also removes the accruals associated with these fees. Chase merchant residuals were recorded in a distinct general ledger account and consulting and investment banking fees were identified on review of general ledger details.

Chase partnership costs	As at				Average				
$'000	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Accrued liabilites - general	-	-	-	-	4	-	-	-	-
Sales tax receivables - HST/GST	-	-	-	-	0	-	-	-	-
Accrued merchant residuals- chase	(245)	(224)	(9)	(9)	(258)	(248)	(200)	(96)	(168)
Chase partnership costs, reported	(245)	(224)	(9)	(9)	(254)	(248)	(200)	(96)	(168)
Adjustment	**245**	**224**	**9**	**9**	**254**	**248**	**200**	**96**	**168**

Net working capital (7/7) – Pro forma adjustments

Net working capital										
		As at				Average				
$'000	Ref	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Items in transit		12,326	16,296	25,288	42,891	11,061	12,370	14,585	27,313	18,232
Accounts receivable and other receivables		8,044	9,296	14,750	12,209	7,555	9,138	11,508	13,757	11,762
Prepaid expenses		3,142	4,129	3,657	2,404	2,472	3,124	3,341	3,160	3,257
Inventory		511	708	811	768	474	554	803	800	748
Unbilled revenue		1,914	1,555	1,139	1,077	1,854	1,687	1,335	1,166	1,344
Payments held for third party remittance		(12,260)	(16,257)	(25,168)	(42,820)	(11,037)	(12,334)	(14,522)	(27,228)	(18,165)
Accounts payable and accrued liabilities		(2,636)	(3,471)	(3,851)	(4,969)	(2,704)	(3,482)	(4,524)	(4,951)	(4,455)
Revenue contract liabilities		(5,615)	(6,076)	(4,222)	(3,739)	(4,989)	(5,731)	(5,670)	(4,618)	(5,235)
Deferred revenue		(605)	(867)	(1,057)	(1,312)	(671)	(676)	(907)	(1,117)	(989)
Payroll benefits taxes payable & accrued		(1,645)	(2,498)	(2,644)	(1,359)	(1,407)	(1,581)	(2,094)	(1,986)	(1,911)
Net working capital, reported		**3,176**	**2,815**	**8,705**	**5,152**	**2,608**	**3,069**	**3,855**	**6,297**	**4,586**
Due diligence adjustments		2,271	3,018	783	(180)	1,764	2,500	2,807	1,255	2,077
Net working capital, due diligence adjusted		**5,447**	**5,833**	**9,488**	**4,972**	**4,373**	**5,569**	**6,662**	**7,552**	**6,663**
Pro forma adjustments										
Interac DSO normalization	13	-	-	(2,831)	51	-	-	(741)	(1,631)	(816)
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AP impact of QofE pro forma adjustments	15	(1,103)	(756)	(578)	(154)	(1,008)	(909)	(658)	(429)	(598)
Chase partnership costs	16	245	224	9	9	254	248	200	96	168
Accrued payroll impact of QofE pro forma adjustments	17	(8)	(8)	(8)	(9)	(9)	(9)	(9)	(9)	(9)
Pro forma adjustments		612	773	(2,647)	(0)	705	623	(125)	(1,406)	(345)
Net working capital, pro forma adjusted		**6,058**	**6,606**	**6,841**	**4,971**	**5,077**	**6,192**	**6,537**	**6,145**	**6,318**
As % of TTM net adjusted sales		*12.3%*	*11.4%*	*10.2%*	*7.0%*	*10.3%*	*10.7%*	*9.8%*	*8.7%*	*8.9%*

Source (All): Internal financial statements

Pro forma adjustments (continued)

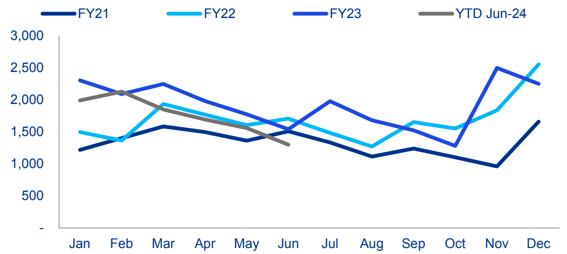
17. **Accrued payroll impact of QofE pro forma adjustments:** The corresponding impact to payroll accruals for currently open employee positions (QofE adjustment #19) has been estimated using the Company's bi-weekly pay cycle.

Accrued payroll impact of QofE pro forma adjustments									
	As at				Average				
$'000	31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24	FY21	FY22	FY23	TTM Jun-24	L24M Jun-24
Open positions	(19)	(19)	(19)	(19)	(19)	(19)	(19)	(19)	(19)
Payroll cycle, days	14	14	14	14	14	14	14	14	14
Adjustment	**(8)**	**(8)**	**(8)**	**(9)**	**(9)**	**(9)**	**(9)**	**(9)**	**(9)**

Other considerations

A. *Prepaid software license fees:* Prepaid software license fees primarily relate to the annual prepayments made each October for ACI software licenses, required for the facilitation of transactions. Consequently, the prepaid balance peaks in October and gradually decreases until the following annual payment. Management represents the average monthly expense to be ~$200,000. Prepaid balance variability should be considered when examining periods greater or less than 12 months.

Prepaid software license fees ($'000) (GL #141511) Seasonality



Net cash

After net working capital reclassifications and other considerations, the Company's adjusted net cash position is $9.8 million as at June 30, 2024.

Net cash/(debt)

$'000	Ref	As at 31-Dec-21	31-Dec-22	31-Dec-23	30-Jun-24
Cash					
Cash and cash equivalents	1	10,743	12,332	12,515	12,443
Finance lease obligations	2	(4,759)	(3,514)	(2,564)	(2,077)
Income tax payable	3	(359)	(824)	(1,912)	(461)
Deferred compensation payable (SERP)	4	(80)	(96)	(115)	(126)
Shareholder return of capital payable	5	-	(8,500)	(10,000)	-
Net cash/(debt), reported		**5,545**	**(602)**	**(2,075)**	**9,779**
Adjustments					
Non-resident witholding tax payable	6	-	2	2	2
Adjustments		-	2	2	2
Net cash/(debt), adjusted		**5,545**	**(599)**	**(2,072)**	**9,782**

Source: Internal financial statements

Net cash

The components of reported net cash are comprised of:

1. **Cash and cash equivalents:** The Company's operating cash balances held at banks including balances denominated in Canadian and US dollars. These balances do not include cash related to transaction settlement, which are considered working capital balances.
2. **Finance lease obligations:** Consists of the master lease and financing agreement with Hewlett Packard Financial Services Canada Company for computer hardware and software licenses utilized for transaction processing and the property lease for the Company's head office in Markham, Ontario. These leases are currently presented at the present value of the future minimum lease payments, consistent with the audited financial statements. However, at transaction close, the undiscounted value of these leases should be considered.
3. **Income tax payable:** The Company's current income tax payable balance.
4. **Deferred compensation payable (SERP):** This balance represents the Company's supplemental executive pension plan (SERP) for senior management.
5. **Shareholder return of capital payable:** On December 18, 2023, the Company's Board of Directors approved a cash dividend of $10.0 million ($8.5 million in 2022). The dividend was paid in February in the year following the approval.

Adjustments, including reclassification of balances from net working capital include:

6. **Non-resident withholding tax payable:** Relates to a 5% withholding tax payable to the Canada Revenue Agency for dividends paid to Velera.

04

Reporting environment

Financial reporting environment

Financial reporting environment (1/4)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of the information.

Financial statement reporting

- The Company has a December 31 fiscal year-end with month-end closing typically in approximately four days.
- The Company reports under International Financial Reporting Standards (“IFRS”) and the Company’s functional and presentation currency is Canadian Dollar.
- The annual audit is performed in January by BDO Canada LLP and is finalized in early February.
- Billing occurs a month after activity, while certain pass-through expenses are billed two months after. Accruals for revenue and expenses are estimated and recorded at month-end.
- There have been no changes in historical accounting practices/policies or planned changes from FY21 to FY23.
- Key financial and IT systems include Great Plains (ERP), Replicon (project hours tracking) Beanworks (AP automation). Payroll is contracted to Credit Union Central of Manitoba (CUCM).

Personnel

- The Company has a bi-weekly payroll cycle from Sunday to Saturday. Payments are disbursed on the following Friday.
- Short-term bonus for all employees are paid in February of the following year to which they relate to. The range for bonuses as a percentage of base pay are as follows, according to seniority: non-manager 5%; manager 10%; director 15%; general manager 20%; vice president 25%.
- Long-term bonus for executive positions are earned based on specific financial and/or performance metrics, determined by the Board of Directors on an annual basis. A long-term liability is recognized for the plan when earned, and payment occurs after a 3-year vesting period.
- Employees are entitled to 20 sick days per year. Employees also receive 3 weeks of pro-rated vacation in their first calendar year, 3 weeks in their second calendar year, 4 weeks in years 3-8, and 5 weeks for following years. Employees can carry forward up to 1 week of unused vacation; sick days may not be carried forward.

Revenue recognition

- *Professional services:* The Company uses the basis of project efforts or inputs (i.e. labour hours expended, costs incurred), relative to the total expected input for estimating the calculation and timing of revenue recognition. Smaller projects do not contain proposals with budgeted hours due to non-complex nature and as such are charged a flat rate, with short-term and long-term contract asset/liability differentiation associated based on number of months remaining in the contract.
- *Tier-based pricing contracts:* The Company recognizes revenue based on the estimated average transaction price applied to actual transactions executed. Estimated average transaction price is calculated based on projected future transactions (i.e. to anticipate pricing on transaction volume-based tiered chart). Differences between the expected transaction price and billed rate (i.e. variable rate based on tiered chart) is adjusted on a monthly basis through contract assets/liabilities.
- *Contract assets/liabilities:* Monthly IFRS 15 adjustments reported from professional services and tier-based pricing contracts are recorded to contract asset/contract liability and reconciled to revenues at each fiscal year-end.

Capitalized internally-developed software costs

- The Company capitalizes internal and external costs related to the specific project once it has progressed beyond a conceptual, preliminary stage of application development. Capitalized costs are then amortized over the expected useful life, generally 3 to 5 years.
- New projects undertaken are assessed and approved by the GM, Technology Delivery and VP and Controller, Finance. Capitalization criteria includes the ability to generate long-term benefits, part of provisioning work to onboard a new customer, and meeting the criteria for capitalization in accordance with IAS 38.
- Capitalized costs consist primarily of labour hours. On a monthly basis, an Accounting Supervisor will download Replicon reports for projects eligible for capitalization and apply the employee’s capitalization rate to calculate the monthly capitalized costs. Employee rates are determined by the VP Finance based on the employee’s total compensation (i.e. salaries, benefits, and taxes) and seniority. The VP of Finance will then review and discuss any anomalies with the business line project manager as they are identified.

Financial reporting environment (2/4)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of the information.

Accounts receivable

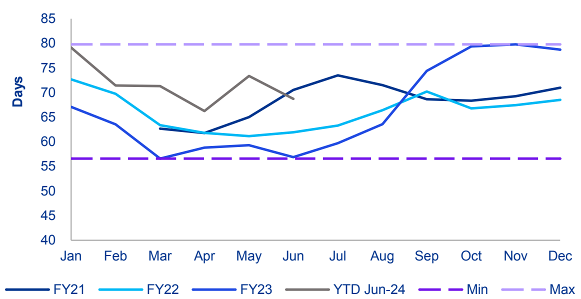
- Credit terms vary based on the size of customer, type of revenue, and geographic location but are generally at 30 days. A small number of key customers have payment terms that differ from the standard net 30 days.
- As at June 30, 2024, $285,000 of outstanding balance is greater than 90 days, primarily relating to Interac Corp. As of June 30, 2024, there have been no bad debt write-offs for the period under review or significant changes in customer creditworthiness.
- The Company generates a majority of revenue from long-term contracts (e.g. MSA which governs pricing for credit unions across Canada) and/or financial institutions. The Company has not experienced any bad debts with these customers in the historical period as they are considered creditworthy.

Accounts receivable aging summary

						As a % of total				
$'000	Current	31-60	61-90	91+	Total	Current	31-60	61-90	91+	Total
30-Jun-24	4,477	546	114	285	5,422	82.6%	10.1%	2.1%	5.3%	100.0%
30-Apr-24	4,045	1,915	183	217	6,359	63.6%	30.1%	2.9%	3.4%	100.0%
31-Dec-23	4,091	2,749	502	1,608	8,950	45.7%	30.7%	5.6%	18.0%	100.0%
31-Dec-22	3,199	1,638	65	115	5,017	63.8%	32.7%	1.3%	2.3%	100.0%
31-Dec-21	3,049	537	566	199	4,352	70.1%	12.3%	13.0%	4.6%	100.0%

Beginning Q2-23, the Company's reported DSO metrics increased due to delayed payments from Interac. As the pricing dispute has been resolved, accounts receivable is adjusted in NWC adjustment #13, to reduce elevated DSO metrics from September 2023 to June 2024.

DSO, reported



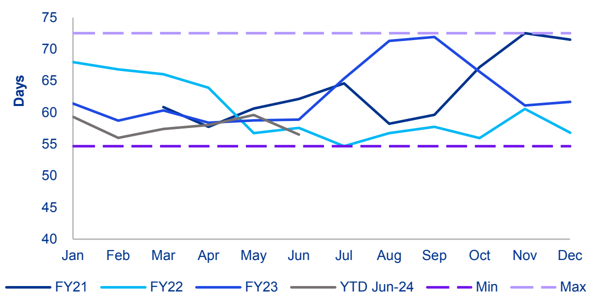
Accounts payable

- The Company typically adheres to a net 30-day payment term for vendors, with the exception of contract staffing vendors who are usually paid within a net 15-day period.
- Accounts payable balances predominantly relate to card manufacturing and personalization, and resale ATM managed services. Given the nature of this business, pass through expenses are prevalent across various business lines. Consequently, DPO tends to align closely with DSO trends, as the Company typically settles pass through expenses only after receiving the corresponding pass through revenue.
- As at June 30, 2024, $626,000 outstanding balance greater than 90 days relate primarily due to delayed invoicing from an ATM service provider with ongoing internal billing issues. Management confirms the outstanding balance was settled by the Company in August 2024.

Accounts payable aging summary

						As a % of total				
$'000	Current	31-60	61-90	91+	Total	Current	31-60	61-90	91+	Total
30-Jun-24	(343)	(10)	(26)	(626)	(1,004)	34.2%	1.0%	2.5%	62.3%	100.0%
30-Apr-24	(989)	(217)	(173)	(453)	(1,833)	54.0%	11.9%	9.4%	24.7%	100.0%
31-Dec-23	(653)	(23)	(104)	(3)	(783)	83.5%	2.9%	13.2%	0.4%	100.0%
31-Dec-22	(728)	-	(172)	-	(900)	80.9%	-	19.1%	-	100.0%
31-Dec-21	(229)	-	-	(316)	(545)	42.0%	-	-	58.0%	100.0%

DPO, reported



Financial reporting environment (3/4)

The information on this page is based on management information and management discussions. We have not performed any testing of systems or controls and have not performed an audit or review of the information.

Lease arrangements

- The Company's leases primarily consist of leases for office premises and for HP computer hardware and software with terms ranging from 1 to 5 years. The head office located in Markham, Ontario is under a ten-year lease agreement which began on August 1, 2016. The master lease and financing agreement with HP Financial Services Canada encompasses computer hardware and software licenses for 60-months, maintenance for 60 months and installation services, totaling $3.5 million.
- Both leases are recorded under IFRS 16, Leases, with recognition of right-of-use (ROU) assets and lease liabilities at the lease commencement date. ROU assets are measured at cost while lease liability is measured at the present value of future lease payments at an implicit interest rate. ROU assets are depreciated on a straight-line basis over the term of the lease or the estimated useful life of the ROU asset.
- Variable operating costs relating to the leases are recorded in operating expenses.

Related-party transactions

- Velera holds a 51% controlling interest in the Company while Celero holds a 49% significant influence position.
- *Celero:* The Company was dependent on Celero for significant services required to operate the business (e.g. Data center facility lease prior to June 1, 2024). Refer to QofE adjustments #8 and #16 for additional details).
- *CUCA/CUCM/CUCS:* The three credit unions, each holding a 33.3% stake in Celero, should be collectively considered with Celero for invoicing purposes, as any billing from these credit unions is related to Celero. $11.97 million and $31,000 in cash/cash equivalents and items in transit respectively are held at CUCA as at December 31, 2023.
- The Company has a $2.9 million line of credit with CUCA but no amounts are drawn as at the date of the report.

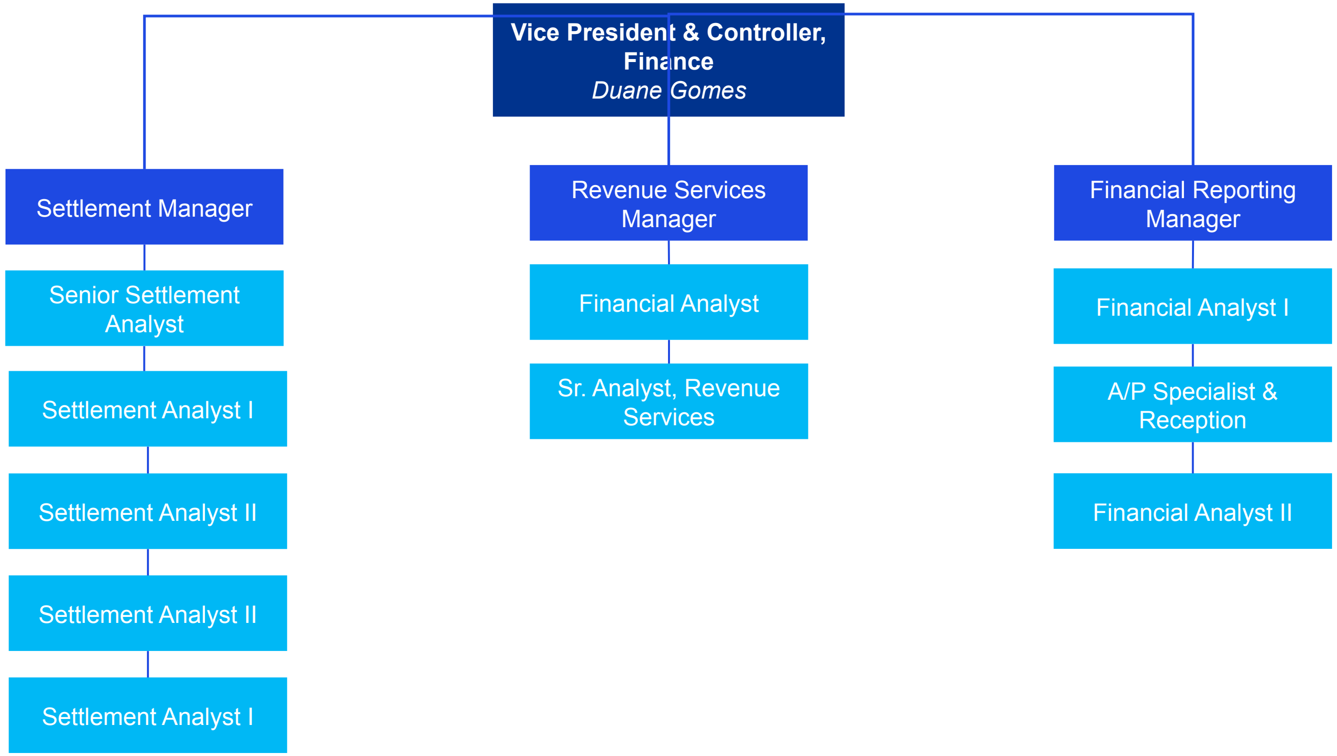
Related party balances

	YTD Jun-24		FY23		FY22	
$'000	Co-op	Celero/CUCA/ CUCS/CUCM	Co-op	Celero/CUCA/ CUCS/CUCM	Co-op	Celero/CUCA/CU CS/CUCM
Computer hardware	-	44	-	9	-	95
Accounts receivable and other receivables	-	592	-	728	-	590
Accounts payable and accrued liabilities	60	642	24	561	-	241
Revenue	-	2,977	-	5,667	-	5,766
Expenses	92	1,367	138	2,679	61	2,543
Interest income	-	220	-	414	-	158

Source: Audited financial statements

Financial reporting environment (4/4)

Below chart represents hierarchical structure and positions within the finance department, displaying the reporting relationships and roles of each individual.



Source: CIM provided information.

05

Gross margin by LOB

Summary

Mobile payments

Payment network gateway

Card management

Retail solutions

ATM managed services

Fraud management

Digital solutions

Gross margin by line of business – Summary (1/8)

Presented below is a summary of gross margin by line of business, reconciling to internal financial statements. For purposes of certain quality of earnings adjustments, customer activity was mapped from billing data to lines of business via the mapping key to estimate gross margin.

Gross margin by line of business

$'000	Revenue					Variable expense					Gross profit					Gross margin				
	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Mobile payments	8,361	12,225	17,694	19,288	19,785	(38)	(4)	(47)	(29)	(34)	8,322	12,222	17,647	19,259	19,751	*99.5%*	*100.0%*	*99.7%*	*99.8%*	*99.8%*
Payment network gateway	14,435	15,532	16,844	17,063	17,260	(1,885)	(2,518)	(2,770)	(2,764)	(2,796)	12,550	13,014	14,074	14,299	14,464	*86.9%*	*83.8%*	*83.6%*	*83.8%*	*83.8%*
Card management	7,621	11,163	14,552	16,060	16,023	(4,177)	(6,113)	(8,654)	(10,032)	(9,900)	3,444	5,050	5,897	6,028	6,122	*45.2%*	*45.2%*	*40.5%*	*37.5%*	*38.2%*
Retail solutions	3,066	3,738	4,475	4,779	5,154	(316)	(379)	(334)	(458)	(511)	2,750	3,359	4,141	4,321	4,644	*89.7%*	*89.9%*	*92.5%*	*90.4%*	*90.1%*
ATM Managed services	4,452	4,863	5,328	5,859	5,940	(1,075)	(1,595)	(1,334)	(1,566)	(1,786)	3,377	3,267	3,995	4,294	4,154	*75.9%*	*67.2%*	*75.0%*	*73.3%*	*69.9%*
Fraud management	2,352	2,705	3,208	3,267	3,460	(82)	(94)	(147)	(191)	(205)	2,269	2,611	3,061	3,076	3,255	*96.5%*	*96.5%*	*95.4%*	*94.2%*	*94.1%*
Digital solutions	112	73	253	712	932	(25)	-	(66)	(211)	(361)	87	73	188	501	571	*77.7%*	*100.0%*	*74.1%*	*70.4%*	*61.3%*
Total	**40,398**	**50,299**	**62,355**	**67,028**	**68,554**	**(7,599)**	**(10,703)**	**(13,351)**	**(15,251)**	**(15,593)**	**32,800**	**39,596**	**49,004**	**51,777**	**52,961**	***81.2%***	***78.7%***	***78.6%***	***77.2%***	***77.3%***

Source: Everlink Revenue and COGS reports by line of business

Mapping Key - Line of business

Internal financial statements	Billing reports
Mobile payments	Mobile payments
Payment network gateway	Payment network gateway
Card management	Card management
Retail solutions	Merchant
ATM managed services	ATM managed services
Fraud management	Fraud management
Digital solutions	Ehub
n.a. (minimal $)	Other

Gross margin by line of business – Mobile payments (2/8)

Gross profit | Mobile payments

$'000	Reported FY21	Reported FY22	Reported FY23	Reported TTM Apr-24	Reported TTM Jun-24	% of revenue FY21	% of revenue FY22	% of revenue FY23	% of revenue TTM Apr-24	% of revenue TTM Jun-24
Transaction Processing Revenue	8,734	11,895	15,201	16,293	17,042	104.5%	97.3%	85.9%	84.5%	86.1%
Professional Services Revenue	181	43	185	320	313	2.2%	0.3%	1.0%	1.7%	1.6%
Transaction Pricing IFRS15 Adjustment	(1,067)	(559)	2,272	2,762	2,765	(12.8)%	(4.6)%	12.8%	14.3%	14.0%
Processing Related Services	164	767	36	(45)	(281)	2.0%	6.3%	0.2%	(0.2)%	(1.4)%
Pass Thru Other	47	21	43	45	42	0.6%	0.2%	0.2%	0.2%	0.2%
Professional Services IFRS15 Adjustment	304	59	(42)	(85)	(96)	3.6%	0.5%	(0.2)%	(0.4)%	(0.5)%
Revenue	8,361	12,225	17,694	19,288	19,785	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(2)	(0)	(5)	(7)	(8)	(0.0)%	(0.0)%	(0.0)%	(0.0)%	(0.0)%
Pass-Thru Expense - Networks, Freight	(37)	(4)	(42)	(23)	(27)	(0.4)%	(0.0)%	(0.2)%	(0.1)%	(0.1)%
Variable Expense	(38)	(4)	(47)	(29)	(34)	(0.5)%	(0.0)%	(0.3)%	(0.2)%	(0.2)%
Gross profit	**8,322**	**12,222**	**17,647**	**19,259**	**19,751**	**99.5%**	**100.0%**	**99.7%**	**99.8%**	**99.8%**

Source: Everlink Revenue and COGS reports by line of business

Mobile payments:

- Mobile payment represents contactless card payments processed through mobile wallets (i.e. Apple Pay, Google Pay, and Samsung Pay). The Company has partnered with Interac to provide 100% of tokenized mobile debit payments in Canada.
- The mobile payments sector accounted for 28.9% of TTM Jun-24 reported revenue, reflecting the highest revenue generating line of business. This segment also generated the highest gross margin, ranging from 99.5% to 100.0% between FY21 and TTM Jun-24, due to negligible variable costs within COGS. $34,000 variable expenses in TTM Jun-24 pertain to reimbursed pass through expenses.
- Transaction-related variable infrastructure costs are recorded as operating expenses, and not included in the gross margin calculation.

Gross margin by line of business – Payment network gateway (3/8)

Gross profit | Payment network gateway

$'000	Reported FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	% of revenue FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Transaction Processing Revenue	9,699	10,066	10,768	10,995	11,202	67.2%	64.8%	63.9%	64.4%	64.9%
Professional Services Revenue	856	755	736	971	1,039	5.9%	4.9%	4.4%	5.7%	6.0%
Pass Thru Network Transaction Fees	872	1,326	1,534	1,521	1,518	6.0%	8.5%	9.1%	8.9%	8.8%
Processing Related Services	1,642	1,646	1,719	1,731	1,780	11.4%	10.6%	10.2%	10.1%	10.3%
Telecomm Recovery	1,430	1,471	1,462	1,454	1,445	9.9%	9.5%	8.7%	8.5%	8.4%
Admin Fees for Pass Thru's	65	109	128	127	128	0.5%	0.7%	0.8%	0.7%	0.7%
Pass Thru Network Membership Fees	3	5	6	6	6	0.0%	0.0%	0.0%	0.0%	0.0%
Pass Thru Other	-	53	31	31	36	-	0.3%	0.2%	0.2%	0.2%
Contractual Minimum Fees	65	19	4	8	22	0.4%	0.1%	0.0%	0.0%	0.1%
Professional Services IFRS15 Adjustment	(196)	82	455	220	83	(1.4)%	0.5%	2.7%	1.3%	0.5%
Revenue	14,435	15,532	16,844	17,063	17,260	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(1,057)	(1,191)	(1,268)	(1,290)	(1,300)	(7.3)%	(7.7)%	(7.5)%	(7.6)%	(7.5)%
Pass-Thru Expense - Networks, Freight	(829)	(1,327)	(1,501)	(1,474)	(1,496)	(5.7)%	(8.5)%	(8.9)%	(8.6)%	(8.7)%
Variable Expense	(1,885)	(2,518)	(2,770)	(2,764)	(2,796)	(13.1)%	(16.2)%	(16.4)%	(16.2)%	(16.2)%
Gross profit	**12,550**	**13,014**	**14,074**	**14,299**	**14,464**	**86.9%**	**83.8%**	**83.6%**	**83.8%**	**83.8%**

Source: Everlink Revenue and COGS reports by line of business

Payment network gateway:

- The Payment Network Gateway Service offers the necessary technological infrastructure and payment network connectivity to banks and credit unions through the ACI Base24 / HP NonStop payments processing platform.
- Payment network gateway is the second largest revenue generating line of business generating $17.3 million revenue in TTM Jun-24.
- Reported gross margin declined from 86.9% in FY21 to 83.8% in TTM Jun-24 due to an increase in pass through Mastercard interchange and switch fees. from 3.6% to 6.1% of overall revenue, across the same period.
- Transaction-related variable infrastructure costs are recorded as operating expenses, and not included in the gross margin calculation.

Gross margin by line of business – Card management (4/8)

Gross profit | Card management

$'000	Reported FY21	Reported FY22	Reported FY23	Reported TTM Apr-24	Reported TTM Jun-24	% of revenue FY21	% of revenue FY22	% of revenue FY23	% of revenue TTM Apr-24	% of revenue TTM Jun-24
Transaction Processing Revenue	3	3	3	4	1	0.0%	0.0%	0.0%	0.0%	0.0%
Card Issuance Revenue - Cards	4,047	6,832	7,876	8,312	7,990	53.1%	61.2%	54.1%	51.8%	49.9%
Professional Services Revenue	702	392	900	1,082	1,032	9.2%	3.5%	6.2%	6.7%	6.4%
Pass Thru Network Transaction Fees	94	80	687	1,339	1,627	1.2%	0.7%	4.7%	8.3%	10.2%
Processing Related Services	25	-	-	-	-	0.3%	-	-	-	-
Financial Services OIF, DCC, Surcharge	567	989	1,537	1,694	1,768	7.4%	8.9%	10.6%	10.5%	11.0%
Pass Thru Postage & Freight	720	800	1,451	1,588	1,341	9.4%	7.2%	10.0%	9.9%	8.4%
ATM Express Services	-	-	-	-	-	-	-	-	-	-
Equipment Revenue - Recurring	916	884	892	903	908	12.0%	7.9%	6.1%	5.6%	5.7%
Other Fraud Mngt Services	-	-	-	-	-	-	-	-	-	-
Admin Fees for Pass Thru's	127	207	390	583	669	1.7%	1.9%	2.7%	3.6%	4.2%
Equipment Revenue - Re-Sale	19	121	111	107	161	0.2%	1.1%	0.8%	0.7%	1.0%
Pass Thru Network Membership Fees	217	266	318	347	359	2.8%	2.4%	2.2%	2.2%	2.2%
Pass Thru Other	45	107	248	312	368	0.6%	1.0%	1.7%	1.9%	2.3%
Other Card Revenues	205	217	318	353	352	2.7%	1.9%	2.2%	2.2%	2.2%
Professional Services IFRS15 Adjustment	(66)	265	(179)	(564)	(553)	(0.9)%	2.4%	(1.2)%	(3.5)%	(3.5)%
Revenue	7,621	11,163	14,552	16,060	16,023	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(3,139)	(4,914)	(5,956)	(6,457)	(6,169)	(41.2)%	(44.0)%	(40.9)%	(40.2)%	(38.5)%
Pass-Thru Expense - Networks, Freight	(1,005)	(1,191)	(2,698)	(3,575)	(3,731)	(13.2)%	(10.7)%	(18.5)%	(22.3)%	(23.3)%
IFRS Adjust Cost of Sales	(33)	(8)	-	-	-	(0.4)%	(0.1)%	-	-	-
Variable Expense	(4,177)	(6,113)	(8,654)	(10,032)	(9,900)	(54.8)%	(54.8)%	(59.5)%	(62.5)%	(61.8)%
Gross profit	**3,444**	**5,050**	**5,897**	**6,028**	**6,122**	**45.2%**	**45.2%**	**40.5%**	**37.5%**	**38.2%**

Source: Everlink Revenue and COGS reports by line of business

Card issuance and management:

- The Company offers debit cards issuance solutions and pin change devices to credit unions and banks. The Company has partnered with major card manufacturers to produce EMV Chip debit cards.
- The card management line of business earns recurring revenue through card management fees. Administrative fees earned on cards issued translate 100% to profit.
- Gross margin has declined from 45.2% in FY21 to 38.2% in TTM Jun-24 which is driven by:
  - A shift in product mix to lower-margin card issuance sales in which a majority of card production, personalization, and courier revenue and COGS are passed through to the customer; and
  - Introduction of Visa and Mastercard debit cards which have taken share of the standard monthly fees earned on legacy cards.

Gross margin by line of business – Retail solutions(5/8)

Gross profit | Retail solutions	Reported					% of revenue				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	*FY21*	*FY22*	*FY23*	*TTM Apr-24*	*TTM Jun-24*
Transaction Processing Revenue	2,388	3,171	4,067	4,403	4,590	*77.9%*	*84.8%*	*90.9%*	*92.1%*	*89.1%*
Professional Services Revenue	107	96	137	156	160	*3.5%*	*2.6%*	*3.1%*	*3.3%*	*3.1%*
Pass Thru Network Transaction Fees	167	165	188	193	355	*5.4%*	*4.4%*	*4.2%*	*4.0%*	*6.9%*
Transaction Pricing IFRS15 Adjustment	20	3	(95)	(119)	(131)	*0.7%*	*0.1%*	*(2.1)%*	*(2.5)%*	*(2.5)%*
Processing Related Services	5	21	21	47	58	*0.2%*	*0.5%*	*0.5%*	*1.0%*	*1.1%*
Telecomm Recovery	44	46	51	80	94	*1.4%*	*1.2%*	*1.1%*	*1.7%*	*1.8%*
Equipment Revenue - Re-Sale	39	31	5	7	9	*1.3%*	*0.8%*	*0.1%*	*0.1%*	*0.2%*
Partnership Revenues	229	186	57	(1)	(30)	*7.5%*	*5.0%*	*1.3%*	*(0.0)%*	*(0.6)%*
Contractual Minimum Fees	5	6	1	6	9	*0.2%*	*0.1%*	*0.0%*	*0.1%*	*0.2%*
Professional Services IFRS15 Adjustment	64	14	44	9	41	*2.1%*	*0.4%*	*1.0%*	*0.2%*	*0.8%*
Revenue	3,066	3,738	4,475	4,779	5,154	*100.0%*	*100.0%*	*100.0%*	*100.0%*	*100.0%*
Cost of Goods Sold	(138)	(177)	(239)	(371)	(426)	*(4.5)%*	*(4.7)%*	*(5.4)%*	*(7.8)%*	*(8.3)%*
Pass-Thru Expense - Networks, Freight	(178)	(202)	(95)	(87)	(84)	*(5.8)%*	*(5.4)%*	*(2.1)%*	*(1.8)%*	*(1.6)%*
Variable Expense	(316)	(379)	(334)	(458)	(511)	*(10.3)%*	*(10.1)%*	*(7.5)%*	*(9.6)%*	*(9.9)%*
Gross profit	**2,750**	**3,359**	**4,141**	**4,321**	**4,644**	***89.7%***	***89.9%***	***92.5%***	***90.4%***	***90.1%***

Source: Everlink Revenue and COGS reports by line of business

Retail solutions:

- The Company enables card present point-of-sale transactions for merchants through host-to-host payment gateways for retailer and small to medium enterprises. Additionally, the Company enables in-app POS transactions.
- Variable expenses associated with this line of business are largely transaction related fees and pass through network interchange and switch fees. Transaction-related variable infrastructure costs are recorded as operating expenses, and not included in the gross margin calculation. Higher margin of 90.1% in TTM Jun-24 is largely a result of $131,000 in Mastercard brand registration revenue earned in December 2023.

Gross margin by line of business – ATM managed services (6/8)

Gross profit | ATM managed services

$'000	Reported FY21	Reported FY22	Reported FY23	Reported TTM Apr-24	Reported TTM Jun-24	% of revenue FY21	% of revenue FY22	% of revenue FY23	% of revenue TTM Apr-24	% of revenue TTM Jun-24
Transaction Processing Revenue	72	50	50	47	45	1.6%	1.0%	0.9%	0.8%	0.8%
Professional Services Revenue	808	771	1,760	1,134	811	18.2%	15.9%	33.0%	19.4%	13.7%
Pass Thru Network Transaction Fees	2	2	3	3	3	0.0%	0.0%	0.1%	0.1%	0.0%
Processing Related Services	281	259	383	442	465	6.3%	5.3%	7.2%	7.5%	7.8%
ATM Driving, Monitoring , IM, Other	1,912	1,904	1,935	1,944	1,970	42.9%	39.2%	36.3%	33.2%	33.2%
Financial Services OIF, DCC, Surcharge	90	107	118	126	131	2.0%	2.2%	2.2%	2.1%	2.2%
ATM Express Services	395	557	980	1,341	1,487	8.9%	11.5%	18.4%	22.9%	25.0%
Equipment Revenue - Re-Sale	638	995	210	211	259	14.3%	20.5%	3.9%	3.6%	4.4%
Pass Thru Other	3	-	-	1	1	0.1%	-	-	0.0%	0.0%
ATM EJ, RKL	287	300	319	336	347	6.4%	6.2%	6.0%	5.7%	5.8%
Professional Services IFRS15 Adjustment	(36)	(84)	(430)	275	420	(0.8)%	(1.7)%	(8.1)%	4.7%	7.1%
Revenue	4,452	4,863	5,328	5,859	5,940	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(1,075)	(1,592)	(1,339)	(1,571)	(1,792)	(24.1)%	(32.7)%	(25.1)%	(26.8)%	(30.2)%
Pass-Thru Expense - Networks, Freight	(2)	(3)	(4)	(5)	(4)	(0.0)%	(0.1)%	(0.1)%	(0.1)%	(0.1)%
FIS Variable Cost of Sales - AMS	2	-	10	10	10	0.0%	-	0.2%	0.2%	0.2%
Variable Expense	(1,075)	(1,595)	(1,334)	(1,566)	(1,786)	(24.1)%	(32.8)%	(25.0)%	(26.7)%	(30.1)%
Gross profit	**3,377**	**3,267**	**3,995**	**4,294**	**4,154**	**75.9%**	**67.2%**	**75.0%**	**73.3%**	**69.9%**

Source: Everlink Revenue and COGS reports by line of business

ATM managed services:

- The Company provides ATM managed services for customers domestically, including traditional ATM driving & monitoring services, white label ATM services, and Dynamic Currency Conversion for international transactions.
- The year-over-year revenue growth rate is ~10% from FY21 to FY23. In FY22, the Company executed higher ATM express hardware resales, leading to a negative impact on overall LOB gross margin due to the lower profitability of these resales compared to other revenue streams (e.g. ATM transactions, monitoring, etc.).

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Gross margin by line of business – Fraud management(7/8)

Gross profit | Fraud management	Reported					% of revenue				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Professional Services Revenue	47	199	273	273	278	2.0%	7.3%	8.5%	8.4%	8.0%
Fraud Monitoring	1,570	1,928	2,343	2,482	2,605	66.8%	71.3%	73.0%	76.0%	75.3%
Other Fraud Mngt Services	710	677	674	696	740	30.2%	25.0%	21.0%	21.3%	21.4%
Professional Services IFRS15 Adjustment	24	(98)	(82)	(185)	(162)	1.0%	(3.6)%	(2.6)%	(5.7)%	(4.7)%
Revenue	2,352	2,705	3,208	3,267	3,460	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(82)	(33)	(9)	(14)	(16)	(3.5)%	(1.2)%	(0.3)%	(0.4)%	(0.5)%
Co-op Financial Variable Cost - VCAS	-	(61)	(138)	(177)	(189)	-	(2.2)%	(4.3)%	(5.4)%	(5.5)%
Variable Expense	(82)	(94)	(147)	(191)	(205)	(3.5)%	(3.5)%	(4.6)%	(5.8)%	(5.9)%
Gross profit	**2,269**	**2,611**	**3,061**	**3,076**	**3,255**	**96.5%**	**96.5%**	**95.4%**	**94.2%**	**94.1%**

Source: Everlink Revenue and COGS reports by line of business

Fraud management:

- Fraud management involves helping clients safeguard their customers by identifying, preventing, and halting fraudulent activities across various payment channels. The Company has implemented eDetect, eDetect+, eScore and 3DS authentication fraud monitoring solutions to detect and prevent fraudulent activities on a real time basis.
- In TTM Jun-24, the Company achieved a revenue growth of 27.9% from FY22, largely due to the introduction of VCAS services and mandatory E-Score services on Visa and Mastercard debit cards and professional services projects.

Gross margin by line of business – Digital solutions (8/8)

Gross profit | Digital solutions	Reported					% of revenue				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Transaction Processing Revenue	-	3	127	358	553	-	3.6%	50.1%	50.3%	59.4%
Professional Services Revenue	119	13	83	72	76	105.9%	18.2%	32.7%	10.2%	8.2%
Pass Thru Network Transaction Fees	-	13	60	291	343	-	17.7%	23.6%	40.9%	36.8%
Processing Related Services	-	-	2	4	5	-	-	0.8%	0.6%	0.5%
Telecomm Recovery	-	-	-	-	0	-	-	-	-	0.0%
Professional Services IFRS15 Adjustment	(7)	44	(18)	(14)	(46)	(5.9)%	60.5%	(7.1)%	(2.0)%	(4.9)%
Revenue	112	73	253	712	932	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	(25)	-	(16)	(16)	(16)	(22.3)%	-	(6.2)%	(2.2)%	(1.7)%
Pass-Thru Expense - Networks, Freight	-	-	(50)	(195)	(345)	-	-	(19.7)%	(27.4)%	(37.1)%
Variable Expense	(25)	-	(66)	(211)	(361)	(22.3)%	-	(25.9)%	(29.6)%	(38.7)%
Gross profit	**87**	**73**	**188**	**501**	**571**	**77.7%**	**100.0%**	**74.1%**	**70.4%**	**61.3%**

Source: Everlink Revenue and COGS reports by line of business

Digital solutions:

- Digital solutions empower real-time payments for various purposes, including retail peer-to-peer (P2P) transactions, business (B2B/B2P) payments, ISO20022 payment gateways, and API integrations, such as facilitating Interac e-transfer services for financial institutions and fintechs.
- This is considered the Company's newest line of business and has displayed growth in the TTM June-24 period through two new customers. See OC #C for additional information.

06 Appendices

Internal financial statements reconciliation to audited financial statements (1/3)

Presented below is the reconciliation of internal financials to audited financial statements. The variances presented relate to reclass variances which are net to zero within operating expenses.

Income statement reconciliation	FY21			FY22			FY23		
$'000	Audited financial statements	Internal financial statements	Variance	Audited financial statements	Internal financial statements	Variance	Audited financial statements	Internal financial statements	Variance
Revenue	40,398	40,398	(0)	50,299	50,299	(0)	62,354	62,355	(1)
Compensation	(12,443)	(13,155)	712	(14,163)	(14,794)	631	(15,977)	(16,464)	487
Cost of goods sold	(7,600)	(7,599)	(1)	(10,703)	(10,703)	0	(13,351)	(13,351)	(0)
Data processing and equipment	(5,720)	(5,720)	(0)	(7,747)	(7,747)	(0)	(8,137)	(8,137)	0
Contracted staffing and services	(1,807)	(2,304)	497	(2,223)	(3,036)	813	(3,113)	(4,245)	1,132
Occupancy and office	(617)	(617)	0	(542)	(542)	(0)	(638)	(638)	(0)
Marketing, travel and other	(551)	(552)	1	(973)	(973)	0	(1,373)	(1,373)	(0)
Amortization of property and equipment	(1,406)	(1,142)	(264)	(1,272)	(1,139)	(133)	(993)	(993)	0
Amortization of intangible assets	(1,971)	(2,235)	264	(1,994)	(2,126)	132	(2,021)	(2,021)	0
Capitalized Development Costs	-	1,210	(1,210)	-	1,443	(1,443)	-	1,620	(1,620)
Interest expense on leases	(108)	(108)	0	(133)	(133)	(0)	(103)	(103)	(0)
Operating expenses	(32,223)	(32,223)	0	(39,750)	(39,750)	(0)	(45,706)	(45,705)	(1)
Operating income	**8,175**	**8,175**	**(0)**	**10,549**	**10,550**	**(1)**	**16,648**	**16,649**	**(1)**
Interest income	23	23	(0)	353	353	(0)	1,125	1,125	(0)
Income before income tax	**8,198**	**8,198**	**(0)**	**10,902**	**10,903**	**(1)**	**17,773**	**17,775**	**(2)**
Income tax expense	(2,150)	(2,150)	-	(3,223)	(3,224)	1	(4,143)	(4,143)	(0)
Net income for the year	**6,048**	**6,048**	**(0)**	**7,679**	**7,679**	**0**	**13,630**	**13,632**	**(2)**
Other comprehensive income									
Increase in fair value through other comprehensive income	179	179	0						
Related income tax expense	(24)	(23)	(1)						
Equity investments measured at FVTOCI	155	155	(0)						
Net income and comprehensive income for the year	**6,203**	**6,204**	**(1)**						

Source: Internal financial statements, Audited financial statements

Other comprehensive income:

- The Company holds an investment in Interac Corp., a private entity, which was acquired through the amalgamation of three entities of which the Company was a member of the Interac Association, an incorporated non-profit organization.
- As at December 31, 2021, the Company reported an unrealized fair value adjustment of $155,000, net of tax, in other comprehensive income. This investment is recognized at Fair Value Through Other Comprehensive Income (FVTOCI)

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Internal financial statements reconciliation to audited financial statements (2/3)

Presented below is the reconciliation of internal financials to audited financial statements.

Balance sheet reconciliation

$'000	31-Dec-21 Audited financial statements	31-Dec-21 Internal financial statements	31-Dec-21 Variance	31-Dec-22 Audited financial statements	31-Dec-22 Internal financial statements	31-Dec-22 Variance	31-Dec-23 Audited financial statements	31-Dec-23 Internal financial statements	31-Dec-23 Variance
Assets									
Cash and cash equivalents	10,743	10,743	(0)	12,332	12,332	0	12,515	12,515	0
Items in transit	12,326	12,326	0	16,296	16,296	(0)	25,288	25,288	0
Accounts receivable and other receivables	8,044	8,044	(0)	9,296	9,296	(0)	14,750	14,750	(0)
Unbilled revenue	934	934	0	1,114	1,114	(0)	609	609	0
Prepaid and other assets	3,653	3,653	(0)	4,838	4,838	(0)	4,469	4,469	(0)
Current assets	35,700	35,700	0	43,876	43,876	(0)	57,631	57,631	(0)
Intangible assets	8,092	8,713	621	8,067	8,067	0	8,433	8,433	(0)
Property and equipment	4,217	3,596	(621)	3,749	3,749	0	3,217	3,217	0
Deferred implementation costs	980	980	(0)	442	441	(1)	530	530	0
Prepaid and other assets	2,211	2,211	0	989	989	0	605	605	0
Investments	941	941	(0)	941	941	(0)	941	941	(0)
Goodwill	7,695	7,695	0	7,695	7,695	0	7,695	7,695	0
Non-current assets	24,136	24,135	(1)	21,883	21,883	0	21,421	21,421	0
Assets	**59,836**	**59,836**	**(0)**	**65,759**	**65,759**	**(0)**	**79,052**	**79,052**	**(0)**
Liabilities and Shareholder's equity									
Accounts payable and accrued liabilities	(4,281)	(4,281)	(0)	(5,969)	(5,969)	0	(6,495)	(6,495)	0
Payments held for third-party remittance	(12,260)	(12,260)	0	(16,257)	(16,257)	(0)	(25,168)	(25,168)	0
Contract liabilities	(2,183)	(2,183)	0	(3,625)	(3,625)	0	(3,268)	(3,268)	0
Current tax liability	(359)	(359)	0	(824)	(824)	(0)	(1,912)	(1,912)	0
Current portion of lease liabilities	(1,164)	(1,164)	0	(950)	(950)	0	(981)	(981)	(0)
Shareholder dividends payable	-		-	(8,500)	(8,500)	-	(10,000)	(10,000)	-
Current liabilities	(20,247)	(20,246)	1	(36,125)	(36,125)	(0)	(47,824)	(47,823)	1
Deferred tax liabilities	(1,695)	(1,694)	1	(1,795)	(1,795)	(0)	(1,770)	(1,770)	0
Lease liabilities	(3,595)	(3,595)	(0)	(2,564)	(2,564)	0	(1,582)	(1,582)	(0)
Long-term employee benefits	(328)	(328)	(0)	(343)	(343)	(0)	(622)	(622)	(0)
Contract liabilities	(4,037)	(4,037)	(0)	(3,319)	(3,319)	(0)	(2,011)	(2,011)	0
Non-current liabilities	(9,655)	(9,655)	(0)	(8,021)	(8,021)	(0)	(5,985)	(5,984)	1
Liabilities	(29,902)	(29,901)	1	(44,146)	(44,146)	(0)	(53,809)	(53,808)	1
Shareholders' deficiency	(29,934)	(29,934)	(0)	(21,613)	(21,613)	0	(25,243)	(25,244)	(1)
Liabilities and shareholders' deficiency	**(59,836)**	**(59,836)**	**0**	**(65,759)**	**(65,759)**	**0**	**(79,052)**	**(79,052)**	**0**

Source: Internal financial statements, Audited financial statements

Internal financial statements reconciliation to audited financial statements (3/3)

Presented below is the reconciliation of internal financials to audited financial statements.

Cash flow statement reconciliation												
	FY21				FY22				FY23			
	[A]	[B]	[C]	[A-(B+C)]	[A]	[B]	[C]	[A-(B+C)]	[A]	[B]	[C]	[A-(B+C)]
$'000	Audited financial statements	Internal financial statements	Reclass entries	Variance	Audited financial statements	Internal financial statements	Reclass entries	Variance	Audited financial statements	Internal financial statements	Reclass entries	Variance
Operating												
Net income for the year	6,048	6,204	(155)	(0)	7,679	7,679	-	0	13,630	13,632	-	(2)
Changes to operations not requiring cash payment				-				-				
Amortization of property and equipment	1,406	1,142	264	-	1,272	1,139	133	-	993	993	-	(0)
Amortization of intangible assets	1,971	2,235	(264)	(0)	1,994	2,126	(133)	1	2,021	2,021	-	(0)
Deferred tax liabilities	(82)	(59)	(23)	(0)	101	101	-	-	(26)	(26)	-	(0)
Loss on disposal of property and equipment	1	-	1	-	1	-	1	-	8	-	8	-
Changes to non-cash working capital balances												
Change in working capital	6,898	(4)	6,901	1	5,990	2,064	3,927	(1)	4,705	(4,140)	8,841	4
Cash flow from operations	16,242	9,518	6,723	1	17,037	13,109	3,928	0	21,331	12,480	8,849	2
Investing												
Acquisition of intangible assets	(3,724)	(3,158)	(566)	-	(771)	(545)	(226)	(0)	(1,109)	(1,102)	(8)	1
Acquisition of property, plant and equipment	(628)	(1,621)	993	-	(1,068)	(1,293)	225	-	(464)	(461)	-	(3)
Capitalized development costs	-	(1,056)	1,056	-	(936)	(936)	-	(0)	(1,284)	(1,284)	-	0
Purchase of Interac shares	(75)	(254)	179	(0)	-		-	-	-		-	-
Change in accounts payable for property and equipment	100		100	-	42	-	42	-	151	-	151	-
Cash flow from investing activities	(4,327)	(6,089)	1,762	(0)	(2,733)	(2,773)	41	(1)	(2,706)	(2,847)	143	(2)
Financing												
Principal payment of lease liabilities	(1,183)	1,519	(2,702)	-	(1,245)	(1,246)	-	1	(950)	(950)	-	(0)
Dividend	(5,650)	(5,649)	-	(1)	(7,500)	(7,500)	-	-	(8,500)	(8,500)	-	-
Return of capital	(1,350)	(1,351)	-	1	-		-	-	-		-	-
Cash flow from financing activities	(8,183)	(5,481)	(2,702)	(0)	(8,745)	(8,746)	-	1	(9,450)	(9,450)	-	(0)
Increase in cash and cash equivalents	3,732	(2,053)	5,784	1	5,559	1,589	3,969	0	9,175	183	8,992	0
Beginning balance of cash and cash equivalents	19,337	12,796	6,541	(0)	23,069	10,743	12,326	(0)	28,628	12,332	16,296	(0)
Ending balance of cash and cash equivalents	**23,069**	**10,743**	**12,325**	**1**	**28,628**	**12,332**	**16,296**	**(0)**	**37,803**	**12,515**	**25,288**	**(0)**

Source: Internal financial statements, Audited financial statements

Note: Items in transit is reclassed from change in working capital to opening and closing cash and cash equivalent balances to align with audited financial statement presentation

Billings report reconciliation to internal financial statements

Presented below is the reconciliation of billing reports to the internal financial statements. Significant adjustments to billed revenue include a reduction for pass through revenue and adjustments from deferred revenue or contract assets/liabilities on percentage of completion revenue contracts.

Billing report reconciliation

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Billed revenue	42,908	53,578	63,508	69,417	71,400
OIF, Interchange, DCC	535	987	1,478	1,663	1,740
Interac flash and In-app interchange	(3,116)	(4,278)	(5,740)	(6,359)	(6,685)
Revenue from settlement[1]	(2,581)	(3,291)	(4,262)	(4,696)	(4,945)
Revenue from deferred revenue	(493)	(723)	1,735	1,539	2,006
Revenue - accrued accounts receivable accounts	103	508	1,158	655	(22)
Chase residual	228	82	181	109	85
Revenue accruals in settlement liability	38	11	73	46	43
Adjustments per accounts receivable provision	18	130	0	0	0
Revenue recognized per biilling details	40,220	50,295	62,393	67,071	68,567
Revenue from financials & revenue by LOB	40,398	50,299	62,355	67,028	68,554
Unreconcilable differences[2]	(178)	(4)	39	42	13
Variance	**(0)**	**0**	**(0)**	**(0)**	**(0)**

Source: Historical financial statements, Management provided information
Note 1: Revenue from settlement includes 1.OIF, Interchange, DCC and 2. Interac flash and In-app interchange
Note 2: True difference in Billings report and Billings reconciliation source files.

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TTM Apr-24 to TTM Jun-24 QofE bridge

Presented below is a bridge from TTM Apr-24 to TTM Jun-24 pro forma adjusted EBITDA. Changes to EBITDA adjustments in the historical period are due to receipt of new and updated information, along with the universal change from using a YTD April 2024 to YTD June 2024 run-rate for various adjustments.

Quality of earnings | Bridge		TTM Apr-24 (As of Apr-24)					Jun-24 roll-forward change					TTM Jun-24 (YTD Apr-24 run-rate)					YTD Jun-24 run-rate change					TTM Jun-24 (As of Jun-24)				
$'000	Ref	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue, reported		**40,398**	**50,299**	**62,355**	**67,028**		**-**	**-**	**-**	**-**		**40,398**	**50,299**	**62,355**	**67,028**	**68,554**	**-**	**-**	**-**	**-**	**-**	**40,398**	**50,299**	**62,355**	**67,028**	**68,554**
Due diligence adjustments																										
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)		-	-	-	-		1,067	559	(2,272)	(2,533)	(2,395)	-	-	-	-	-	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913		-	-	-	-		-	193	702	913	1,099	-	-	-	-	-	-	193	702	913	1,099
Settlement services dispute	3	-	-	467	527		-	-	(367)	(156)		-	-	100	371	640	-	-	-	-	-	-	-	100	371	640
Due diligence adjustments		1,067	752	(1,103)	(1,093)	-	-	-	(367)	(156)	-	1,067	752	(1,470)	(1,249)	(655)	-	-	-	-	-	1,067	752	(1,470)	(1,249)	(655)
Revenue, due diligence adjusted		**41,466**	**51,051**	**61,252**	**65,935**	**-**	**-**	**-**	**(367)**	**(156)**	**-**	**41,466**	**51,051**	**60,885**	**65,779**	**67,899**	**-**	**-**	**-**	**-**	**-**	**41,466**	**51,051**	**60,885**	**65,779**	**67,899**
Pro forma adjustments																										
Net new/lost customers	14	4,050	3,854	2,716	1,454	-	-	-	-	-	-	4,050	3,854	2,716	1,454	824	250	250	250	167	125	4,300	4,104	2,967	1,621	949
Credit union MSA	15	911	937	1,003	1,030	-	0	0	0	0	-	911	937	1,003	1,030	950	-	-	-	-	-	911	937	1,003	1,030	950
Settlement services run-rate	18	(45)	(530)	(295)	(273)		-	77	445	234		(45)	(453)	150	(40)	(66)	-	-	-	-	-	(45)	(453)	150	(40)	(66)
New products, cards	20	2,344	2,037	1,543	968		-	-	-	-		2,344	2,037	1,543	968	676	146	146	146	97	73	2,490	2,183	1,688	1,065	749
New products, fraud management	21	241	200	148	101		-	-	-	-		241	200	148	101	77	37	37	37	25	19	278	237	185	126	96
ATM CDRS Fees	22	60	60	18	2		-	-	-	-		60	60	18	2	(4)	-	-	-	-	-	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1		-	-	-	-		(228)	(186)	(58)	1	30	-	-	-	-	-	(228)	(186)	(58)	1	30
Pro forma adjustments		7,333	6,373	5,075	3,282	-	0	77	445	234	-	7,333	6,449	5,520	3,516	2,487	434	434	434	289	217	7,766	6,883	5,953	3,805	2,704
Revenue, pro forma adjusted		**48,798**	**57,424**	**66,326**	**69,218**	**-**	**0**	**77**	**78**	**77**	**-**	**48,798**	**57,500**	**66,405**	**69,295**	**70,386**	**434**	**434**	**434**	**289**	**217**	**49,232**	**57,934**	**66,838**	**69,584**	**70,603**
EBITDA, reported		**11,661**	**13,948**	**19,766**	**21,631**	**-**	**-**	**-**	**-**	**-**	**-**	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**	**-**	**-**	**-**	**-**	**-**	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**
Due diligence adjustments																										
Mobile POS IFRS 15	1	1,067	559	(2,272)	(2,533)		-	-	-	-		1,067	559	(2,272)	(2,533)	(2,395)	-	-	-	-	-	1,067	559	(2,272)	(2,533)	(2,395)
Settlement interest income	2	-	193	702	913		-	-	-	-		-	193	702	913	1,099	-	-	-	-	-	-	193	702	913	1,099
Settlement services dispute	3	-	-	467	527		-	-	(367)	(156)		-	-	100	371	640	-	-	-	-	-	-	-	100	371	640
Out of period entries	4	30	78	(244)	(241)	-	-	-	-	-	-	30	78	(244)	(241)	(240)	-	-	-	-	-	30	78	(244)	(241)	(240)
Severance	5	-	20	104	236		-	-	-	(0)		-	20	104	236	236	-	-	-	-	-	-	20	104	236	236
Professional fees	6	-	-	-	-		-	-	-	-		-	-	-	-	150	-	-	-	-	-	-	-	-	-	150
Vacant positions	7	-	(342)	(218)	(145)		-	-	-	-		-	(342)	(218)	(145)	(112)	-	(0)	(0)	(0)	(0)	-	(342)	(218)	(145)	(112)
Data center relocation	8	19	243	81	64		-	-	-	-		19	243	81	64	19	-	-	-	-	-	19	243	81	64	19
HP lease	9	-	417	39	(0)		-	-	-	-		-	417	39	(0)	-	-	-	-	-	-	-	417	39	(0)	-
Bad debt expense	10	5	-	36	36		-	-	-	-		5	-	36	36	36	-	-	-	-	-	5	-	36	36	36
Non-operating expenses	11	29	(3)	6	13	-	-	-	-	-	-	29	(3)	6	13	12	-	-	-	-	-	29	(3)	6	13	12
Legal fees	12	28	167	(3)	(12)		-	-	-	-		28	167	(3)	(12)	(11)	-	-	-	-	-	28	167	(3)	(12)	(11)
Covid-19 related income/expenses	13	(237)	-	-	-	-	-	-	-	-	-	(237)	-	-	-	-	-	-	-	-	-	(237)	-	-	-	-
Due diligence adjustments		941	1,332	(1,302)	(1,141)	-	-	-	(367)	(157)	-	941	1,332	(1,668)	(1,298)	(566)	-	(0)	(0)	(0)	(0)	941	1,332	(1,669)	(1,298)	(566)
EBITDA, due diligence adjusted		**12,601**	**15,280**	**18,464**	**20,490**	**-**	**-**	**-**	**(367)**	**(157)**	**-**	**12,601**	**15,280**	**18,098**	**20,333**	**21,704**	**-**	**(0)**	**(0)**	**(0)**	**(0)**	**12,601**	**15,279**	**18,097**	**20,333**	**21,703**
Pro forma adjustments																										
Net new/lost customers	14	3,023	2,871	2,062	1,119	-	-	-	-	-	-	3,023	2,871	2,062	1,119	649	201	201	201	134	100	3,224	3,071	2,263	1,253	750
Credit union MSA	15	911	937	1,003	1,030	-	0	0	0	0	-	911	937	1,003	1,030	950	-	-	-	-	-	911	937	1,003	1,030	950
Data center facility costs	16	(1,638)	(1,509)	(982)	(854)		-	-	-	-		(1,638)	(1,509)	(982)	(854)	(709)	8	8	8	5	4	(1,630)	(1,501)	(974)	(848)	(705)
EConnect software maintenance run-rate expenses	17	(596)	(596)	(596)	(596)		-	-	-	-		(596)	(596)	(596)	(596)	(596)	-	-	-	-	-	(596)	(596)	(596)	(596)	(596)
Settlement services run-rate	18	(45)	(530)	(295)	(273)		-	77	445	234		(45)	(453)	150	(40)	(66)	-	-	-	-	-	(45)	(453)	150	(40)	(66)
Open positions	19	(223)	(223)	(223)	(223)		-	-	-	-		(223)	(223)	(223)	(223)	(223)	(0)	(0)	(0)	(0)	(0)	(224)	(224)	(224)	(224)	(224)
New products, cards	20	343	302	215	123		-	-	-	-		343	302	215	123	85	11	11	11	8	6	355	314	227	131	91
New products, fraud management	21	230	190	141	96		-	-	-	-		230	190	141	96	73	35	35	35	24	18	265	226	176	120	91
ATM CDRS Fees	22	60	60	18	2		-	-	-	-		60	60	18	2	(4)	-	-	-	-	-	60	60	18	2	(4)
Discontinued operations - Chase partnership	23	(228)	(186)	(58)	1		-	-	-	-		(228)	(186)	(58)	1	30	-	-	-	-	-	(228)	(186)	(58)	1	30
Visa VAP run-rate	24	(442)	(285)	(55)	-		-	-	-	-		(442)	(285)	(55)	-	-	(2)	(2)	(0)	-	-	(444)	(287)	(55)	-	-
Pro forma adjustments		1,395	1,031	1,229	425	-	0	77	445	234	-	1,395	1,108	1,674	659	190	253	253	255	170	128	1,648	1,361	1,930	829	318
EBITDA, pro forma adjusted		**13,996**	**16,311**	**19,694**	**20,915**	**-**	**0**	**77**	**78**	**77**	**-**	**13,996**	**16,388**	**19,772**	**20,992**	**21,894**	**253**	**253**	**255**	**170**	**127**	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
EBITDA margin, pro forma adjusted		*28.7%*	*28.4%*	*29.7%*	*30.2%*	-					-	*28.7%*	*28.5%*	*29.8%*	*30.3%*	*31.1%*	*58.5%*	*58.4%*	*58.8%*	*58.8%*	*58.8%*	*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*

Source: Internal financial statements

- **Jun-24 roll-forward updates:**
  - *QofE Adj. #3:* TTM Jun-24 roll-forward reflects updated terms of settlement between the Company and Interac as outlined in the Letter agreement dated July 1, 2024.
  - *QofE Adj. #18:* The Settlement services dispute QofE Adj. #3 update during the TTM Jun-24 roll-forward has revised the diligence adjusted settlement services revenue, thereby changing the base values for applying a run-rate and changing the quantum of this pro forma adjustment.
- **YTD Jun-24 run-rate update:** All adjustments which applied a YTD Apr-24 run-rate on a pro forma basis to the historical period have been updated to a YTD Jun-24 run-rate.

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Adjusted income statement (1/2)

Presented below is the adjusted income statement capturing adjustments from the quality of earnings analysis.

Adjusted income statement

$'000	Reported FY21	Reported FY22	Reported FY23	Reported TTM Apr-24	Reported TTM Jun-24
Revenue	40,398	50,299	62,355	67,028	68,554
Variable expense	(7,599)	(10,703)	(13,351)	(15,251)	(15,593)
Gross profit	**32,799**	**39,596**	**49,004**	**51,777**	**52,961**
Compensation	(13,312)	(15,131)	(16,943)	(17,074)	(17,132)
Equipment, data processing, infrastructure expense	(5,720)	(7,747)	(8,137)	(8,343)	(8,499)
Contract services	(2,148)	(2,699)	(3,766)	(4,337)	(4,771)
Depreciation and amortization expense	(3,377)	(3,265)	(3,014)	(3,073)	(3,052)
Occupancy and office expense	(617)	(542)	(638)	(652)	(637)
Other expense	658	470	247	260	347
Operating costs	(24,516)	(28,914)	(32,252)	(33,219)	(33,744)
Operating profit	**8,284**	**10,682**	**16,752**	**18,558**	**19,218**
Interest income	23	353	1,125	1,381	1,582
Interest expense	(108)	(133)	(103)	(93)	(87)
Income tax expense (recovery)	(2,150)	(3,224)	(4,143)	(4,632)	(4,727)
Profit after tax	6,048	7,679	13,632	15,214	15,985
Other comprehensive income	155	-	-	-	-
Net income / Adjusted EBTIDA	**6,204**	**7,679**	**13,632**	**15,214**	**15,985**
Depreciation and Amortization Expense	3,377	3,265	3,014	3,073	3,052
Income tax	2,150	3,224	4,143	4,632	4,727
Interest	85	(220)	(1,023)	(1,288)	(1,495)
Other Comprehensive Income	(155)	-	-	-	-
Reported EBITDA	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**

$'000	Due diligence adjustments FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue	1,067	752	(1,470)	(1,249)	(655)
Variable expense	30	-	(234)	(234)	(234)
Gross profit	**1,097**	**752**	**(1,704)**	**(1,483)**	**(889)**
Compensation	(219)	(244)	(124)	84	118
Equipment, data processing, infrastructure expense	19	660	120	64	19
Contract services	28	167	(3)	(12)	139
Depreciation and amortization expense	-	-	-	-	-
Occupancy and office expense	(19)	-	-	-	-
Other expense	33	(3)	42	49	48
Operating costs	(156)	580	35	185	323
Operating profit	**941**	**1,332**	**(1,669)**	**(1,298)**	**(566)**
Interest income	-	-	-	-	-
Interest expense	-	-	-	-	-
Income tax expense (recovery)	-	-	-	-	-
Profit after tax	941	1,332	(1,669)	(1,298)	(566)
Other comprehensive income	-	-	-	-	-
Net income / Adjusted EBTIDA	**941**	**1,332**	**(1,669)**	**(1,298)**	**(566)**

$'000	Pro forma adjustments FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue	7,766	6,883	5,953	3,805	2,704
Variable expense	(3,668)	(3,201)	(2,230)	(1,308)	(862)
Gross profit	**4,098**	**3,682**	**3,724**	**2,497**	**1,842**
Compensation	(224)	(224)	(224)	(224)	(224)
Equipment, data processing, infrastructure expense	(2,270)	(2,067)	(1,563)	(1,442)	(1,300)
Contract services	-	-	-	-	-
Depreciation and amortization expense	-	-	-	-	-
Occupancy and office expense	44	(30)	(7)	(3)	(1)
Other expense	-	-	-	-	-
Operating costs	(2,450)	(2,321)	(1,794)	(1,668)	(1,525)
Operating profit	**1,648**	**1,361**	**1,930**	**829**	**318**
Interest income	-	-	-	-	-
Interest expense	-	-	-	-	-
Income tax expense (recovery)	-	-	-	-	-
Profit after tax	1,648	1,361	1,930	829	318
Other comprehensive income	-	-	-	-	-
Net income / Adjusted EBTIDA	**1,648**	**1,361**	**1,930**	**829**	**318**

$'000	Pro forma adjusted EBITDA FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue	49,232	57,934	66,838	69,584	70,603
Variable expense	(11,238)	(13,904)	(15,814)	(16,793)	(16,689)
Gross profit	**37,994**	**44,030**	**51,024**	**52,791**	**53,914**
Compensation	(13,754)	(15,599)	(17,291)	(17,214)	(17,239)
Equipment, data processing, infrastructure expense	(7,970)	(9,154)	(9,581)	(9,720)	(9,780)
Contract services	(2,120)	(2,532)	(3,768)	(4,349)	(4,631)
Depreciation and amortization expense	-	-	-	-	-
Occupancy and office expense	(591)	(572)	(645)	(655)	(637)
Other expense	691	467	289	310	394
Operating costs	(23,745)	(27,389)	(30,997)	(31,629)	(31,893)
Operating profit	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**
Interest income	-	-	-	-	-
Interest expense	-	-	-	-	-
Income tax expense (recovery)	-	-	-	-	-
Profit after tax	14,249	16,641	20,027	21,162	22,021
Other comprehensive income	-	-	-	-	-
Net income / Adjusted EBTIDA	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**

$'000	*As a % of Revenue FY21*	*FY22*	*FY23*	*TTM Apr-24*	*TTM Jun-24*
Revenue	*100.0%*	*100.0%*	*100.0%*	*100.0%*	*100.0%*
Variable expense	*(22.8)%*	*(24.0)%*	*(23.7)%*	*(24.1)%*	*(23.6)%*
Gross profit	***77.2%***	***76.0%***	***76.3%***	***75.9%***	***76.4%***
Compensation	*(27.9)%*	*(26.9)%*	*(25.9)%*	*(24.7)%*	*(24.4)%*
Equipment, data processing, infrastructure expense	*(16.2)%*	*(15.8)%*	*(14.3)%*	*(14.0)%*	*(13.9)%*
Contract services	*(4.3)%*	*(4.4)%*	*(5.6)%*	*(6.3)%*	*(6.6)%*
Depreciation and amortization expense	-	-	-	-	-
Occupancy and office expense	*(1.2)%*	*(1.0)%*	*(1.0)%*	*(0.9)%*	*(0.9)%*
Other expense	*1.4%*	*0.8%*	*0.4%*	*0.4%*	*0.6%*
Operating costs	*(48.2)%*	*(47.3)%*	*(46.4)%*	*(45.5)%*	*(45.2)%*
Operating profit	***28.9%***	***28.7%***	***30.0%***	***30.4%***	***31.2%***
Interest income	-	-	-	-	-
Interest expense	-	-	-	-	-
Income tax expense (recovery)	-	-	-	-	-
Profit after tax	*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*
Other comprehensive income	-	-	-	-	-
Net income / Adjusted EBTIDA	***28.9%***	***28.7%***	***30.0%***	***30.4%***	***31.2%***

Source: Internal financial statements

- **Revenue:** Growth in revenue is primarily driven by increased transaction volumes resulting from higher consumer spending and usage of mobile POS payments after the Covid pandemic. In FY23, professional services revenue increased by $1.8 million from FY22, largely due to projects in ATM managed services and card issuance. E-hub money transfers, initiated in November 2023, represent a new revenue stream, pertaining to three clients for facilitating e-transfer bill payments in mobile apps and processing online payments and refunds. Despite Management's view of this as a growth area, it has been omitted from pro forma new product adjustments due to its brief history. Refer to QofE other considerations #C for further information.
- **Variable expenses:** Variable costs rise proportionally with transaction volume, reflecting an adjusted gross margin of ~76.3% in TTM June 2024. Pass-through revenues and expenses are funds held for customer reimbursement. Most pass-through revenue sources, such as transaction processing network fees, yield no margin, while the Company earns a small administrative fee at a 100% margin. Changes in transaction volume and mix related to pass through revenue results in minor fluctuations in gross margins.

Adjusted income statement (2/2)

Presented below is the adjusted income statement capturing adjustments from the quality of earnings analysis.

Adjusted income statement	Reported					Due diligence adjustments				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Revenue	40,398	50,299	62,355	67,028	68,554	1,067	752	(1,470)	(1,249)	(655)
Variable expense	(7,599)	(10,703)	(13,351)	(15,251)	(15,593)	30	-	(234)	(234)	(234)
Gross profit	**32,799**	**39,596**	**49,004**	**51,777**	**52,961**	**1,097**	**752**	**(1,704)**	**(1,483)**	**(889)**
Compensation	(13,312)	(15,131)	(16,943)	(17,074)	(17,132)	(219)	(244)	(124)	84	118
Equipment, data processing, infrastructure expense	(5,720)	(7,747)	(8,137)	(8,343)	(8,499)	19	660	120	64	19
Contract services	(2,148)	(2,699)	(3,766)	(4,337)	(4,771)	28	167	(3)	(12)	139
Depreciation and amortization expense	(3,377)	(3,265)	(3,014)	(3,073)	(3,052)	-	-	-	-	-
Occupancy and office expense	(617)	(542)	(638)	(652)	(637)	(19)	-	-	-	-
Other expense	658	470	247	260	347	33	(3)	42	49	48
Operating costs	(24,516)	(28,914)	(32,252)	(33,219)	(33,744)	(156)	580	35	185	323
Operating profit	**8,284**	**10,682**	**16,752**	**18,558**	**19,218**	**941**	**1,332**	**(1,669)**	**(1,298)**	**(566)**
Interest income	23	353	1,125	1,381	1,582	-	-	-	-	-
Interest expense	(108)	(133)	(103)	(93)	(87)	-	-	-	-	-
Income tax expense (recovery)	(2,150)	(3,224)	(4,143)	(4,632)	(4,727)	-	-	-	-	-
Profit after tax	6,048	7,679	13,632	15,214	15,985	941	1,332	(1,669)	(1,298)	(566)
Other comprehensive income	155	-	-	-	-	-	-	-	-	-
Net income / Adjusted EBTIDA	**6,204**	**7,679**	**13,632**	**15,214**	**15,985**	**941**	**1,332**	**(1,669)**	**(1,298)**	**(566)**
Depreciation and Amortization Expense	3,377	3,265	3,014	3,073	3,052					
Income tax	2,150	3,224	4,143	4,632	4,727					
Interest	85	(220)	(1,023)	(1,288)	(1,495)					
Other Comprehensive Income	(155)	-	-	-	-					
Reported EBITDA	**11,661**	**13,948**	**19,766**	**21,631**	**22,269**					

Adjusted income statement	Pro forma adjustments					Pro forma adjusted EBITDA					*As a % of Revenue*				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	*FY21*	*FY22*	*FY23*	*TTM Apr-24*	*TTM Jun-24*
Revenue	7,766	6,883	5,953	3,805	2,704	49,232	57,934	66,838	69,584	70,603	*100.0%*	*100.0%*	*100.0%*	*100.0%*	*100.0%*
Variable expense	(3,668)	(3,201)	(2,230)	(1,308)	(862)	(11,238)	(13,904)	(15,814)	(16,793)	(16,689)	*(22.8)%*	*(24.0)%*	*(23.7)%*	*(24.1)%*	*(23.6)%*
Gross profit	**4,098**	**3,682**	**3,724**	**2,497**	**1,842**	**37,994**	**44,030**	**51,024**	**52,791**	**53,914**	***77.2%***	***76.0%***	***76.3%***	***75.9%***	***76.4%***
Compensation	(224)	(224)	(224)	(224)	(224)	(13,754)	(15,599)	(17,291)	(17,214)	(17,239)	*(27.9)%*	*(26.9)%*	*(25.9)%*	*(24.7)%*	*(24.4)%*
Equipment, data processing, infrastructure expense	(2,270)	(2,067)	(1,563)	(1,442)	(1,300)	(7,970)	(9,154)	(9,581)	(9,720)	(9,780)	*(16.2)%*	*(15.8)%*	*(14.3)%*	*(14.0)%*	*(13.9)%*
Contract services	-	-	-	-	-	(2,120)	(2,532)	(3,768)	(4,349)	(4,631)	*(4.3)%*	*(4.4)%*	*(5.6)%*	*(6.3)%*	*(6.6)%*
Depreciation and amortization expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Occupancy and office expense	44	(30)	(7)	(3)	(1)	(591)	(572)	(645)	(655)	(637)	*(1.2)%*	*(1.0)%*	*(1.0)%*	*(0.9)%*	*(0.9)%*
Other expense	-	-	-	-	-	691	467	289	310	394	*1.4%*	*0.8%*	*0.4%*	*0.4%*	*0.6%*
Operating costs	(2,450)	(2,321)	(1,794)	(1,668)	(1,525)	(23,745)	(27,389)	(30,997)	(31,629)	(31,893)	*(48.2)%*	*(47.3)%*	*(46.4)%*	*(45.5)%*	*(45.2)%*
Operating profit	**1,648**	**1,361**	**1,930**	**829**	**318**	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**	***28.9%***	***28.7%***	***30.0%***	***30.4%***	***31.2%***
Interest income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest expense	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income tax expense (recovery)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Profit after tax	1,648	1,361	1,930	829	318	14,249	16,641	20,027	21,162	22,021	*28.9%*	*28.7%*	*30.0%*	*30.4%*	*31.2%*
Other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net income / Adjusted EBTIDA	**1,648**	**1,361**	**1,930**	**829**	**318**	**14,249**	**16,641**	**20,027**	**21,162**	**22,021**	***28.9%***	***28.7%***	***30.0%***	***30.4%***	***31.2%***

Source: Internal financial statements

- **Compensation:** The increase in compensation is attributed to both base salary per head increases (approximately 7.4% in FY22 and 4.3% in FY23[1]) and larger bonuses. The percentage of total compensation attributed to bonuses has increased from 9.7% in FY21 to 13.6% in TTM June 2024.
- **Equipment, data processing, infrastructure expense:** Increased expenses in equipment and software are driven by transaction volume, particularly increasing usage of ACI software due to increased transaction volume. Additionally, higher costs for the new data center services is reflected.
- **Contract services:** Increase in contract staffing expense by $2.5 million in TTM June 2024 from $2.1 million in FY21 can be attributed to the increase in the use of contractors for call center services and offshore development staff.
- **Other expense**: Increase in other expense can be primarily attributed to the increase in insurance expense due primarily to the rise in insurance premiums for errors and omissions and cyber liability.
- **Occupancy and office expense**: Includes rent expense and other office occupancy expense such as telephone and internet. Rent expense is relatively stable over the years at ~1.0% of revenue.

[1]Calculated based on an average of the ending FTEs for each of the 12 months in the fiscal period.

QofE adjustment #1 – Mobile POS IFRS 15 (1/7)

Actual annual average price per transaction for the Interac mobile point-of-sale contract is calculated based on reported volumes and billed revenue over the non-cancellable life-time of the contract (April 2020 to March 2024) which represents the applicable period for percentage of completion revenue recognition.

Average price over contract lifetime summary

$	Apr-20 to Mar-24	Apr-20 to Dec-20	Jan-21 to Dec-21	Jan-22 to Dec-22	Jan-23 to Dec-23	Jan-24 to Mar-24
Total EndtoEnd revenue	*40,393,961*	*4,491,241*	*7,746,063*	*10,556,704*	*13,896,652*	*3,703,301*
Total EndtoEnd quantity	*3,253,799,707*	*272,196,423*	*542,441,411*	*850,363,068*	*1,250,906,410*	*337,892,395*
Total EndtoEnd average price	***0.01241***	***0.01650***	***0.01428***	***0.01241***	***0.01111***	***0.01096***

Interac Token service provider volume and billing summary

$, #	FY21	FY22	FY23	TTM Mar-24
End-to-end, Billings	7,746,063	10,556,704	13,896,652	14,661,045
Provisioning and lifecycle, billings	1,129,384	1,298,199	1,576,478	1,549,060
Total transaction amount	8,875,447	11,854,903	15,473,130	16,210,105
Maint. & Support	(49,326)	98,000	63,000	63,000
Settlement Support	185,382	669,067	311,909	186,272
Service Level Availability Credit	(132,449)	(105,959)	(308,823)	(308,823)
Total	**8,879,054**	**12,516,011**	**15,539,216**	**16,150,554**

Mobile POS IFRS 15

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
IFRS 15 adj to processing, reported	(1,067)	(559)	2,272	2,762	2,765
Mobile tsp transactions pos, billings	7,746	10,557	13,897	14,924	12,415
EndtoEnd (ACQ), quantity (#'000)	*542,441*	*850,363*	*1,250,906*	*1,370,072*	*1,156,965*
EndtoEnd (ACQ), average price ($)	*0.01428*	*0.01241*	*0.01111*	*0.01096*	*0.01096*
Mobile tsp transactions pos- revenue, adjusted	7,746	10,557	13,897	13,772	11,405
IFRS 15 adj to processing, adjusted	-	0	(0)	229	370
Adjustment	**1,067**	**559**	**(2,272)**	**(2,533)**	**(2,395)**

Source (All): TSP Billing volume as at April 2024

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QofE adjustment #8,9,16 – Data center relocation (2/7)

In relation to the Company's data center relocation, the Company incurred higher one-time costs to facilitate the move, which is eliminated in QofE adjustments #7 and #8. Further, the higher pricing for the new location is reflected in QofE pro forma adjustment #15.

	Data center relocation costs	Reported					Due diligence adjustments					Diligence adjusted EBITDA					Pro forma adjustments					Pro forma adjusted EBITDA				
	$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
1	Data center relocation	(19)	(243)	(81)	(64)	(19)	19	243	81	64	19	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Data center relocation (QofE adjustment #8)	(19)	(243)	(81)	(64)	(19)	19	243	81	64	19	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Hp leased maintenance-hw and sw	-	(630)	(295)	(256)	(256)	-	417	39	(0)	-	-	(213)	(256)	(256)	(256)	-	-	-	-	-	-	(213)	(256)	(256)	(256)
	HP lease (QofE adjustment #9)	-	(630)	(295)	(256)	(256)	-	417	39	(0)	-	-	(213)	(256)	(256)	(256)	-	-	-	-	-	-	(213)	(256)	(256)	(256)
2	Data processing facility expense	(1,600)	(1,743)	(2,209)	(2,322)	(2,463)	-	-	-	-	-	(1,600)	(1,743)	(2,209)	(2,322)	(2,463)	(1,591)	(1,448)	(981)	(868)	(727)	(3,191)	(3,191)	(3,191)	(3,190)	(3,191)
	Disaster recovery services	(279)	(288)	(273)	(270)	(262)	-	-	-	-	-	(279)	(288)	(273)	(270)	(262)	1	10	(5)	(12)	(16)	(278)	(278)	(278)	(282)	(278)
	Telecom - infrastructure	(318)	(501)	(509)	(519)	(523)	-	-	-	-	-	(318)	(501)	(509)	(519)	(523)	(167)	16	24	35	38	(485)	(485)	(485)	(484)	(485)
	Hardware maintenance	(387)	(256)	(299)	(305)	(306)	-	-	-	-	-	(387)	(256)	(299)	(305)	(306)	82	(49)	(6)	(0)	1	(305)	(305)	(305)	(305)	(305)
	Internet/email service expense	(149)	(85)	(111)	(114)	(117)	-	-	-	-	-	(149)	(85)	(111)	(114)	(117)	32	(32)	(7)	(3)	(0)	(118)	(118)	(118)	(117)	(118)
	Teleconferencing charges	(21)	(11)	(8)	(8)	(8)	-	-	-	-	-	(21)	(11)	(8)	(8)	(8)	13	3	0	(0)	(0)	(8)	(8)	(8)	(9)	(8)
	Data center facility costs (QofE adjustment #16)	(2,754)	(2,884)	(3,410)	(3,539)	(3,680)	-	-	-	-	-	(2,754)	(2,884)	(3,410)	(3,539)	(3,680)	(1,630)	(1,501)	(974)	(848)	(705)	(4,385)	(4,385)	(4,385)	(4,387)	(4,385)
	Total	**(2,774)**	**(3,757)**	**(3,787)**	**(3,859)**	**(3,954)**	**19**	**660**	**120**	**64**	**19**	**(2,754)**	**(3,097)**	**(3,666)**	**(3,795)**	**(3,936)**	**(1,630)**	**(1,501)**	**(974)**	**(848)**	**(705)**	**(4,385)**	**(4,598)**	**(4,641)**	**(4,643)**	**(4,641)**

Source: General ledger details, internal financial statements

1

- Specifically identifiable one-time costs incurred in relation to the data center relocation are recorded in GL #571120. This pertains to labour, material costs for network reconfiguration, server setup, and Visa and Mastercard circuit installations. A small portion includes temporary operational costs for running all four data centers simultaneously to prevent downtime. All costs are removed in QofE adjustment #8.
- Additionally, the premature replacement of HP equipment, resulting from the timing of the relocation, led to a $198,000 write-off for lease costs. This along with concurrent maintenance costs for HP assets at all locations during the transition are removed in QofE adjustment #9.

2

- The data centers' operating costs will increase at the new locations. Therefore, the YTD June 2024 run-rate is adjusted to the historical period to account for this price increase. Non-recurring operational costs related to the move are implicitly eliminated through QofE pro forma adjustment #16.

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QofE adjustment #14a – New customers (3/7)

New customers are defined as customers whose initial revenue billing took place after January 2021. Significant new customers include Uni Financial Services and Technology Inc., Caisse Populaire Alliance Limitee, Ficanex Services LP, Stripe Payments Canada Ltd, and Canadian Tire Bank, in which any reoccurring revenue under long-term contract are included in QofE adjustment #14a.

New customers detail

	Billings					As a % of total				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
ATM managed services	-	-	448	691	745	-	-	0.7%	1.0%	1.0%
Card management	-	38	1,550	1,901	1,462	-	0.1%	2.4%	2.7%	2.0%
Fraud management	-	44	109	169	199	-	0.1%	0.2%	0.2%	0.3%
Mobile payments	-	-	4	4	4	-	-	0.0%	0.0%	0.0%
Payment network gateway	30	244	305	485	584	0.1%	0.5%	0.5%	0.7%	0.8%
Uni Financial Services and Technology Inc.	30	326	2,416	3,249	2,993	0.1%	0.6%	3.8%	4.7%	4.2%
ATM managed services	-	-	50	112	142	-	-	0.1%	0.2%	0.2%
Card management	-	-	688	822	898	-	-	1.1%	1.2%	1.3%
Fraud Management	-	-	27	42	51	-	-	0.0%	0.1%	0.1%
Mobile payments	-	-	0	3	3	-	-	0.0%	0.0%	0.0%
Payment Network Gateway	-	-	72	122	148	-	-	0.1%	0.2%	0.2%
Caisse Populaire Alliance Limitee	-	-	838	1,101	1,241	-	-	1.3%	1.6%	1.7%
Ficanex Services LP	-	241	1,087	955	993	-	0.4%	1.7%	1.4%	1.4%
Stripe Payments Canada, Ltd.	-	-	188	642	972	-	-	0.3%	0.9%	1.4%
FirstOntario Credit Union Limited	19	260	582	725	709	0.0%	0.5%	0.9%	1.0%	1.0%
Canadian Tire Bank	-	-	172	530	811	-	-	0.3%	0.8%	1.1%
Healthcare & Municipal Employees' Credit Union	72	73	220	194	181	0.2%	0.1%	0.3%	0.3%	0.3%
PayFacto Inc.	-	-	50	50	50	-	-	0.1%	0.1%	0.1%
Cineplex Entertainment LP	31	23	47	50	47	0.1%	0.0%	0.1%	0.1%	0.1%
PSP Services Inc.	91	3	(77)	(59)	42	0.2%	0.0%	(0.1)%	(0.1)%	0.1%
Lighthouse Credit Union Limited	-	-	-	-	35	-	-	-	-	0.0%
NFP Canada Corp	-	-	7	11	15	-	-	0.0%	0.0%	0.0%
Zum Rails	-	-	-	1	2	-	-	-	0.0%	0.0%
Concordia	-	-	-	-	-	-	-	-	-	-
Acceo	-	-	-	-	-	-	-	-	-	-
LocoMobi Inc	(0)	-	-	-	-	(0.0)%	-	-	-	-
Smart Solution	14	-	-	-	-	0.0%	-	-	-	-
Deer Island Credit Union	-	-	-	-	-	-	-	-	-	-
(blank)	-	-	-	-	5	-	-	-	-	0.0%
TD Bank	(0)	-	-	-	-	(0.0)%	-	-	-	-
New customers	256	926	5,530	7,449	8,095	0.6%	1.7%	8.7%	10.7%	11.3%
Existing customers	42,651	52,652	57,978	61,969	63,306	99.4%	98.3%	91.3%	89.3%	88.7%
Total	**42,908**	**53,578**	**63,508**	**69,417**	**71,400**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**

Source: Billing reports

QofE adjustment #14b – Terminated & lost customers (4/7)

Lost customers are defined as customers whose final revenue billing occurred prior to June 2024. Vars Investment Group and NetCo Financial, both ISO companies, were deemed unprofitable by the Company and subsequently terminated. Only First Credit Union and a few POS providers are lost customers of smaller scale.

Terminated & lost customers detail

	Billings					*As a % of total*				
$'000	**FY21**	**FY22**	**FY23**	**TTM Apr-24**	**TTM Jun-24**	***FY21***	***FY22***	***FY23***	***TTM Apr-24***	***TTM Jun-24***
Vars Investment Group	84	82	73	51	37	*0.2%*	*0.2%*	*0.1%*	*0.1%*	*0.1%*
NETCO Financial	78	80	45	23	16	*0.2%*	*0.1%*	*0.1%*	*0.0%*	*0.0%*
SecuTrans INC.	15	4	-	-	-	*0.0%*	*0.0%*	-	-	-
Canmor Inc.	14	14	1	-	-	*0.0%*	*0.0%*	*0.0%*	-	-
MB POS INC.	9	0	-	-	-	*0.0%*	*0.0%*	-	-	-
POSConnect Inc.	5	4	3	2	1	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Hi Data Inc.	(12)	-	-	-	-	*(0.0%)*	-	-	-	-
First Credit Union	33	31	27	19	15	*0.1%*	*0.1%*	*0.0%*	*0.0%*	*0.0%*
Smart Solution	14	-	-	-	-	*0.0%*	-	-	-	-
Others	524	398	197	133	111	*1.2%*	*0.7%*	*0.3%*	*0.2%*	*0.2%*
Lost customers	765	614	346	228	179	*1.8%*	*1.1%*	*0.5%*	*0.3%*	*0.3%*
Existing customers	42,143	52,964	63,161	69,189	71,221	*98.2%*	*98.9%*	*99.5%*	*99.7%*	*99.7%*
Total	**42,908**	**53,578**	**63,508**	**69,417**	**71,400**	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***

Source: Billing reports

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QofE adjustment #15 – Credit union MSA (5/7)

Credit union customers comprise of 50.2% of overall TTM June 2024 revenue, of which all are governed under the terms of the MSA.

Billings by customer group

Line of business	Billings FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	As a % of total FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Credit union	23,961	28,024	32,380	35,656	35,840	55.8%	52.3%	51.0%	51.4%	50.2%
Interac	8,978	12,617	15,464	16,372	16,880	20.9%	23.5%	24.4%	23.6%	23.6%
Retail host-to-host	5,159	7,065	9,447	10,555	11,282	12.0%	13.2%	14.9%	15.2%	15.8%
Banks	3,713	4,439	3,636	3,986	4,233	8.7%	8.3%	5.7%	5.7%	5.9%
Partners serving customer	54	271	1,135	1,000	1,038	0.1%	0.5%	1.8%	1.4%	1.5%
Retail ISO	791	996	1,100	1,140	1,140	1.8%	1.9%	1.7%	1.6%	1.6%
Digital	64	23	219	580	860	0.1%	0.0%	0.3%	0.8%	1.2%
White label ATM	188	142	120	117	113	0.4%	0.3%	0.2%	0.2%	0.2%
Other	(0)	-	7	11	15	(0.0%)	-	0.0%	0.0%	0.0%
Total	**42,908**	**53,578**	**63,508**	**69,417**	**71,400**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**

Credit union MSA Billings

$'000	Billings FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
ATM Managed Services	3,372	3,046	3,409	3,785	4,041
Card Issuance	6,455	9,698	12,302	14,683	14,342
Fraud Management	2,071	2,462	2,854	3,018	3,145
Merchant Services	(1)	(1)	-	-	-
Mobile	216	39	254	282	246
Payment Network Gateway	11,848	12,780	13,560	13,888	14,065
Total	**23,961**	**28,024**	**32,380**	**35,656**	**35,840**

Non-credit union MSA Billings

#,$'000	Billings FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Peace Hills Trust	24	23	22	22	23
Alterna Bank	16	16	16	16	16
Total	**40**	**39**	**38**	**38**	**38**

Note: Quantity and Average price are based on revenue item units (e.g. # of transactions). Nature of units vary by revenue item.

Source: Billing reports

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QofE adjustment #20 – New products, cards (6/7)

Several new card management products were introduced between January 2020 and June 2024, with relevant reoccurring revenue under long-term contract being adjusted in QofE adjustment #20. Revenue generated from these new products pertaining to new customers adjusted in QofE adjustment #14a is removed to avoid duplication in QofE adjustments 14a and 20.

New products | Card management	Billings					As a % of total				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Active products	6,675	9,814	11,639	13,464	12,715	*94.7%*	*95.5%*	*91.0%*	*87.1%*	*83.4%*
New products	375	467	1,148	2,000	2,531	*5.3%*	*4.5%*	*9.0%*	*12.9%*	*16.6%*
Card management	**7,050**	**10,281**	**12,787**	**15,465**	**15,246**	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***

Exclude new customers	Revenue				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Uni Financial Services and Technology Inc.	-	38	1,550	1,901	1,462
Caisse Populaire Alliance Limitee	-	-	688	822	898
FirstOntario Credit Union Limited	-	73	285	418	383
Healthcare & Municipal Employees' Credit Union	29	5	145	115	100
New customers, card revenue	**29**	**116**	**2,667**	**3,256**	**2,843**
Uni Financial Services and Technology Inc.	-	-	151	293	390
Caisse Populaire Alliance Limitee	-	-	90	185	232
FirstOntario Credit Union Limited	-	5	26	63	83
Healthcare & Municipal Employees' Credit Union	1	2	19	23	23
New products, cards adjustment pertaining to new customers	**1**	**8**	**286**	**564**	**728**
100% margin items	*-*	*-*	*38*	*91*	*151*
0% margin items	*1*	*8*	*248*	*472*	*578*

Source (All): Billing reports

QofE adjustment #21 – New products, fraud management (7/7)

Several new fraud management products were introduced between January 2020 and June 2024, with relevant reoccurring revenue under long-term contract being adjusted in QofE adjustment #21. Revenue generated from these new products pertaining to new customers adjusted in QofE adjustment #14a is removed to avoid duplication in QofE adjustments 14a and 21.

New products | Fraud management	Billings					As a % of total				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Active products	2,213	2,502	2,731	2,743	2,765	*98.0%*	*91.5%*	*84.8%*	*79.9%*	*77.4%*
New products	46	234	488	688	806	*2.0%*	*8.5%*	*15.2%*	*20.1%*	*22.6%*
Fraud Management	**2,259**	**2,736**	**3,219**	**3,430**	**3,571**	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***

Exclude new customers	Revenue				
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Uni Financial Services and Technology Inc.	-	44	109	169	199
Caisse Populaire Alliance Limitee	-	-	27	42	51
FirstOntario Credit Union Limited	-	1	20	27	32
Canadian Tire Bank	-	-	17	20	21
Healthcare & Municipal Employees' Credit Union	0	0	20	26	28
New customers, fraud revenue	**0**	**45**	**194**	**284**	**331**
Uni Financial Services and Technology Inc.	-	-	72	132	162
Caisse Populaire Alliance Limitee	-	-	4	19	27
FirstOntario Credit Union Limited	-	1	20	27	32
Canadian Tire Bank	-	-	17	20	21
Healthcare & Municipal Employees' Credit Union	0	0	20	26	28
New products, fraud adjustment pertaining to new customers	**0**	**1**	**133**	**224**	**270**

Source (All): Billing reports

Capital assets and intangibles profile

Below is a breakdown of the fixed asset and intangible assets cost, accumulated depreciation and net book value. On average, fixed assets are 72.8% depreciated with a majority pertaining to internally developed and externally purchased software and software licenses.

Fixed assets profile | June 2024

	As at 30-Jun-24			As a % of cost basis		
$'000	Cost Basis	Accumulated depreciation	Net Book Value	Cost Basis	Accumulated depreciation	Net Book Value
Lob software	8,500	(6,317)	2,184	100.0%	(74.3)%	25.7%
Leased assets	1,559	(704)	854	100.0%	(45.2)%	54.8%
Capitalized hardware implementation	996	(308)	688	100.0%	(31.0)%	69.0%
Building	1,637	(1,173)	464	100.0%	(71.6)%	28.4%
System software	1,148	(808)	340	100.0%	(70.4)%	29.6%
Network equipment	630	(382)	248	100.0%	(60.7)%	39.3%
Leaseholds	1,003	(794)	210	100.0%	(79.1)%	20.9%
Servers	1,109	(908)	202	100.0%	(81.8)%	18.2%
Laptops-pc	289	(229)	60	100.0%	(79.1)%	20.9%
Server software	1,885	(1,833)	52	100.0%	(97.2)%	2.8%
Pc software	37	(29)	8	100.0%	(78.7)%	21.3%
Telecom	38	(38)	0	100.0%	(98.8)%	1.2%
Furnitures & fixtures	191	(191)	0	100.0%	(99.8)%	0.2%
Printers	20	(20)	0	100.0%	(99.8)%	0.2%
Internal software	513	(513)	-	100.0%	(100.0)%	-
Total	**19,556**	**(14,246)**	**5,311**	**100.0%**	**(72.8)%**	**27.2%**

Source: Fixed Assets NBV - June 2024
Note: The table above excludes fixed and intangible WIP assets and internally developed capitalized software.

Capital expenditure

Below is a breakdown of YTD Jun-24 and FY22 to FY23 capital expenditures, delineated by internal development, data center, and infrastructure updates. Majority of capital expenditures in the FY22 to FY23 period pertain to the data center relocation and start-up costs for the new eConnect settlement and reporting system.

YTD Jun-24 capital expenditure	Capital expenditure									
$'000	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	YTD Apr-24	YTD Jun-24	YTD Apr-24	YTD Jun-24
Growth hardware	-	-	55	2	1	46	57	104	*6.5%*	*7.5%*
Replacement	-	3	25	14	-	-	41	41	*4.6%*	*2.9%*
Laptops	-	-	5	2	7	7	7	21	*0.8%*	*1.5%*
Department Reclass	-	-	-	-	-	-	-	-	-	-
Accruals	3	6	(7)	4	1	(8)	7	-	*0.8%*	-
Property, Plant and Equipment	3	9	78	22	9	45	112	166	*12.6%*	*11.9%*
Settlement/Reporting Systems	12	260	158	151	196	201	582	980	*65.6%*	*70.4%*
Growth software	-	47	50	37	29	4	135	167	*15.2%*	*12.0%*
AWS SetUp	-	27	13	10	7	7	51	66	*5.7%*	*4.7%*
Accruals	166	(163)	-	2	-	-	5	5	*0.5%*	*0.3%*
Replacement	-	4	1	(1)	-	7	4	11	*0.4%*	*0.8%*
Reclass	-	(1)	-	-	-	-	(1)	(1)	*(0.1%)*	*(0.1%)*
Intangible Assets	179	174	223	199	233	220	775	1,228	*87.4%*	*88.1%*
Total	**182**	**183**	**301**	**221**	**242**	**265**	**887**	**1,393**	***100.0%***	***100.0%***

Capital expenditure budget vs. reported	Budget		Reported		Variance	
$'000	FY22B	FY23B	FY22	FY23	FY22A vs. FY22B	FY23A vs. FY23B
Data center move purchases	250	40	251	9	1	(31)
Internal development	1,550	1,900	1,443	1,628	(107)	(272)
Infrastructure Updates	1,357	1,199	1,080	1,162	(277)	(37)
Capital expenditures - $	**3,157**	**3,139**	**2,775**	**2,799**	**(383)**	**(340)**
Data center move purchases	*7.9%*	*1.3%*	*9.1%*	*0.3%*	*(0.3%)*	*9.1%*
Internal development	*49.1%*	*60.5%*	*52.0%*	*58.2%*	*27.9%*	*79.9%*
Infrastructure Updates	*43.0%*	*38.2%*	*38.9%*	*41.5%*	*72.4%*	*11.0%*
Capital expenditures - %	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***

Source (All): Capex summary FY22 and FY23

YTD Jun-24 capital expenditure

- Fixed assets represent $166,000 or $11.9% of total YTD Jun-24 capital expenditure. This mainly includes $104,000 in growth expenditure and $41,000 in replacement costs for network equipment.
- Intangible assets comprise $1.2 million or 88.1% of total YTD Jun-24 capital expenditures. $980,000 in settlement/reporting systems consist of $877,000 in internally developed software and $103,000 in purchased software.
- Growth and maintenance capital expenditure within intangible assets primarily relate to internal development.

Capital expenditure budget vs. reported

- Approximately 58.2% of total expenditures in FY23 are allocated to internal development. These are primarily related to the implementation of new data center infrastructure and the EConnect operations reporting system software and server.
- Infrastructure updates pertain to the replacement of employee laptops and software tools, and accounting systems and hardware upgrades in the historical period.
- Data center move purchases relate to one-time expenditures made in relation to the relocation.

Capital expenditure – FY22 to FY23

Below is a breakdown of FY22 and FY23 fixed assets and intangible assets' continuity, from purchase, transfer in to use, to disposal/retirement.

	Fixed asset continuity schedule	Additions/(Transfer in to Use)		Disposals		Purchases/Capitalization		Reclass		Ending balance	
	$'000	FY22	FY23	FY22	FY23	FY22	FY23	FY22	FY23	31-Dec-22	31-Dec-23
1	Purchased Software - Wip	(1,969)	(715)	-	-	1,181	1,109	-	-	1,754	2,147
	Cap Hw Implementation - Wip	(357)	(639)	-	-	508	335	-	304	304	304
	Idsw - Wip	(850)	(377)	-	-	936	1,284	-	-	1,078	1,985
	Hardware - Wip	(1,653)	(70)	-	-	263	60	-	(15)	46	21
	Network Equipment - Wip	-	(69)	-	-	-	67	-	15	-	13
2	Purchased Non-Pc Software	845	715	(18)	(2,944)	-	-	(113)	-	12,991	10,762
	Capitalized Hw Implementation	357	639	-	-	-	-	-	-	357	996
	Customer Relationship	-	-	-	-	-	-	-	-	7,561	7,561
	Data Processing Equipment	369	50	(83)	(2,931)	-	-	-	-	4,517	1,636
	Furniture & Fixtures - General	-	-	-	(3)	-	-	-	-	194	191
	Idsw - Remarketed	850	377	-	-	-	-	-	-	23,801	24,178
	Leased Asset	1,559	-	-	-	-	-	-	(304)	1,559	1,255
	Leasehold Improvements	-	-	-	-	-	-	-	-	1,003	1,003
	Network Equipment	249	89	-	-	-	-	-	-	249	338
	Office Equipment - General	-	-	-	-	-	-	-	-	53	53
	Building Improvements - Rou	-	-	-	-	-	-	-	-	1,637	1,637
	Purchased System Software	600	-	(429)	(56)	-	-	-	-	1,204	1,148
	Cost	(0)	-	(529)	(5,933)	2,887	2,855	(113)	-	58,307	55,229
	Accumulated Depreciation	(3,291)	(3,014)	528	5,925	-	-	25	-	(46,490)	(43,579)
	Total	**(3,291)**	**(3,014)**	**(1)**	**(8)**	**2,887**	**2,855**	**(87)**	**-**	**11,817**	**11,650**
				3		4					

Additions/(Transfers in Use)

1. Hardware and software projects of $1.9 million in FY23 and $4.8 million in FY22 transitioned from work-in-process (WIP) to fully operational.
2. In June 2023, $517,000 is attributed to finalized customization and implementation of purchased software. In November 2023, $335,000 is associated with completed hardware implementation.

Disposals

3. In FY23, $5.9 million of asset disposals primarily consisted of $2.9 million in data processing equipment and $2.9 million in purchased non-PC software retirement, both occurring in November 2023.

Purchases/Capitalization

4. The Company acquired $2.9 million in software and hardware work in progress assets in both FY22 and FY23, with $2.5 million of the FY23 investment allocated to software assets.

Personnel analysis

Below is a breakdown of total compensation on a reported basis. Annual average salaries per employee have increased 7.4% in FY22 and 4.3% in FY23.

Personnel analysis | Reported					
$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Salaries & benefits per Income statement					
Salary compensation	(10,577)	(11,244)	(12,344)	(12,439)	(12,464)
Bonus compensation	(1,274)	(1,891)	(2,218)	(2,258)	(2,291)
Employer taxes	(706)	(807)	(880)	(897)	(916)
Benefits	(768)	(807)	(843)	(867)	(882)
Severance & related costs	(48)	(43)	(179)	(294)	(300)
Canada emergency wage subsidy	219	-	-	-	-
Compensation	**(13,155)**	**(14,794)**	**(16,464)**	**(16,755)**	**(16,852)**
Summary					
Salaries	(10,407)	(11,288)	(12,523)	(12,733)	(12,764)
Benefits	(768)	(807)	(843)	(867)	(882)
Taxes	(706)	(807)	(880)	(897)	(916)
Bonus	(1,274)	(1,891)	(2,218)	(2,258)	(2,291)
Salaries & benefits	**(13,155)**	**(14,794)**	**(16,464)**	**(16,755)**	**(16,852)**
As a % of total compensation					
Salaries	*79.1%*	*76.3%*	*76.1%*	*76.0%*	*75.7%*
Benefits	*5.8%*	*5.5%*	*5.1%*	*5.2%*	*5.2%*
Taxes	*5.4%*	*5.5%*	*5.3%*	*5.4%*	*5.4%*
Bonus	*9.7%*	*12.8%*	*13.5%*	*13.5%*	*13.6%*
Total	***100.0%***	***100.0%***	***100.0%***	***100.0%***	***100.0%***
As a % of salaries					
Salaries	*100.0%*	*100.0%*	*100.0%*	*100.0%*	*100.0%*
Benefits	*7.4%*	*7.2%*	*6.7%*	*6.8%*	*6.9%*
Taxes	*6.8%*	*7.2%*	*7.0%*	*7.0%*	*7.2%*
Bonus	*12.2%*	*16.8%*	*17.7%*	*17.7%*	*17.9%*
Total	***126.4%***	***131.1%***	***131.5%***	***131.6%***	***132.0%***
As a % of revenue					
Revenue	40,398	50,299	62,355	67,028	68,554
Salaries	*(25.8)%*	*(22.4)%*	*(20.1)%*	*(19.0)%*	*(18.6)%*
Benefits	*(1.9)%*	*(1.6)%*	*(1.4)%*	*(1.3)%*	*(1.3)%*
Taxes	*(1.7)%*	*(1.6)%*	*(1.4)%*	*(1.3)%*	*(1.3)%*
Bonus	*(3.2)%*	*(3.8)%*	*(3.6)%*	*(3.4)%*	*(3.3)%*
Total	***(32.6)%***	***(29.4)%***	***(26.4)%***	***(25.0)%***	***(24.6)%***
Average cost per employee ($'000)					
Headcount	108	109	116	115	116
Salaries	(97)	(104)	(108)	(111)	(110)
Benefits	(7)	(7)	(7)	(8)	(8)
Taxes	(7)	(7)	(8)	(8)	(8)
Bonus	(12)	(17)	(19)	(20)	(20)
Total	**(122)**	**(136)**	**(142)**	**(145)**	**(145)**

Source: Internal financial statements
Note: Headcount represents FTEs and calculated based on an average of the ending FTEs for each of the 12 months in the fiscal period.

Compensation:

- Base salary compensation accounts for $12.8 million in TTM Jun-24 which represents 75.7% of total compensation and 18.6% of total revenue. The rise in average employee cost from $97,000 to $110,000 is attributed to the replacement of departing senior staff at higher compensation rates and standard inflationary factors.
- The bonus structure consists of both short-term and long-term incentives. Short-term bonuses amount to $1.7 million in TTM June 2024 and are allocated to all employees, while long-term incentives totaling $558,000 are paid to executives. Long-term incentive compensation is earned annually based on predetermined financial and performance metrics and paid out after a 3-year vesting period.
- The Company incurred significant severance costs of $300,000 in TTM June 2024 due to terminations that occurred in FY23. Additionally, the Vice President of Operations and Client Services departed in February 2024. These expenses have been added back to the EBITDA through QofE adjustment #5.
- The Company received Canada emergency wage subsidy in FY21 as part of Covid-19 relief benefits. This has been excluded from EBITDA through QofE adjustment #13.
- Average headcount increased from 108 in FY21 to 116 in TTM June 2024 to support business growth.

Lease reconciliation

Below is the reconciliation of lease rent calculated as per lease agreements and the rent expense provided in income statement.

Lease summary per agreements

Type	Landlord	Tenant	Location	Date of agreement	Term	Start date	End date	Possession date	Sq ft.	Rent	Additional rent	Deposit	Rent free period
Office lease	OPTrust Office Inc. and 6763332 Canada Inc,	Everlink Payment Services Inc.	125 Commerce Valley Drive West, Markham, Ontario	12-Feb-16	10 yrs	1-Aug-16	31-Jul-26		Ground : 15,573 Concourse: 2,332 Total: 17905	**Ground floor:** Aug-16 to Jun-18: $23,359.5 /month Aug-18 to Jul-21: $24,008.38 /month Aug-21 to Jul-26: $24,657.25 /month **Concourse floor:** Aug-16 to Jul-18: $2,915 /month Aug-18 to Jul-21: $3,012.17 /month Aug-21 to Jul-26: $3,206.5 /month	Operating cost: $9.92 /sq.ft. Taxes: $4.14/sq.ft.	Advance rent :$53,398.96 Deposit: $56,521.29	
Additonal premises	Industrial Alliance Insurance & Financial Services Inc	Everlink Payment Services Inc.	125 Commerce Valley Drive West, Markham, Ontario	15-Jan-20	6 yrs	1-Aug-20	31-Jul-26		Concourse: 2083	$18 /sq.ft. /annum	Operating cost: $11.4psf Taxes: $3.99psf		
Sub lease	Everlink Payment Services Inc. (Sub landlord)	NFP Canada Corp (Sub tenant)	125 Commerce Valley Drive West, Markham, Ontario	19-Jun-23	2 yrs 7 months	1-Jan-24	30-Jul-26	1-Aug-23	2083	$5 /sq.ft. *2083 sq.ft. = $10,415 /annum (to be paid in monthly installments)	$16.39 psf (For FY23)	First & last month Net rent plus additional rent	1-Jan-24 to 30-Apr-24

Lease agreements to income statement reconciliation

$'000	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Per lease summary					
Basic rent	(366)	(372)	(372)	(372)	(372)
Operating costs	(201)	(201)	(201)	(219)	(228)
Property taxes	(82)	(82)	(82)	(82)	(81)
Sublet income	-	-	-	-	7
Rent per lease summary	(650)	(656)	(656)	(672)	(673)
Per Income statement					
Basic rent charges	(284)	(281)	(282)	(282)	(280)
Rent occupancy operating costs	(282)	(290)	(328)	(330)	(325)
Interest expense - property lease (ifrs16)	(73)	(60)	(47)	(42)	(40)
Rent per Income statement	(639)	(631)	(656)	(653)	(645)
Variance	**11**	**25**	**(0)**	**19**	**29**

Lease rent summary:

- The Company leased 17,905 sq. ft. of space for office premises beginning August 2016, divided into 15,573 sq. ft. of ground floor and 2,332 sq. ft. of concourse floor. Commencing August 2020 (signed in January 2020), the Company entered into a lease agreement for additional premises of 2,083 sq. ft.
- Due to the impact of Covid-19 in FY21, Management has determined that the additional space leased is redundant for business operations. As a result of vacant space, beginning in January 2024, a sublet agreement was established, allowing the Company to recover approximately 65% of the rent expense through subletting. Although the sublet lease begins in January 2024, the agreement includes a rent-free period from January 2024 to April 2024.

Source (All): Lease agreements

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Cash flow statement

The Company continues to increase cash flows as a percentage of EBITDA from increased volume in transaction switching services and effective working capital management.

Cash flow

$'000	Jan-23	Feb-23	Mar-23	Apr-23	May-23	Jun-23	Jul-23	Aug-23	Sep-23	Oct-23	Nov-23	Dec-23
Operating												
Net income	794	560	951	945	994	1,110	968	1,261	1,253	1,207	1,455	2,133
Non cash items	255	254	258	273	272	885	281	305	299	305	280	(679)
Change in working capital												
Items in transit	14,197	(10,047)	9,656	(1,576)	(15,424)	16,847	(15,849)	(7,188)	(1,174)	13,392	(8,844)	(2,982)
Accounts receivable and other receivables	1,768	(1,175)	(191)	(1,143)	(509)	1,890	(2,358)	(2,338)	(1,670)	(1,833)	4,108	(2,004)
Inventory	(39)	(78)	(36)	32	(63)	17	49	64	50	(62)	48	(85)
Prepaid expenses and other assets	407	322	(109)	426	244	215	(862)	315	391	402	(1,265)	370
Unbilled revenue	30	35	23	61	30	30	30	30	30	30	25	60
Accounts payable and accrued liabilities	46	311	91	348	71	24	672	789	(937)	729	(771)	(994)
Payments held for third party remittance	(14,243)	10,047	(9,672)	1,623	15,434	(16,841)	15,821	7,167	1,327	(13,509)	8,807	2,950
Contract liabilities	(106)	(207)	(139)	404	81	(146)	(108)	(84)	(313)	198	(43)	(1,392)
Deferred revenue	(40)	194	(24)	(60)	237	(260)	(82)	(47)	46	45	244	215
Payroll benefits taxes payable & accrued	181	(1,203)	17	149	22	19	178	289	208	290	178	(183)
Income tax payable	(386)	(380)	82	100	150	(473)	370	465	386	241	(435)	967
Change in working capital	1,816	(2,179)	(302)	364	274	1,323	(2,138)	(538)	(1,656)	(76)	2,051	(3,078)
Cash flow from operations	2,865	(1,365)	908	1,583	1,540	3,318	(890)	1,028	(104)	1,436	3,785	(1,624)
Investing												
Acquisition of intangible assets	(103)	(103)	(92)	(86)	(199)	(91)	(108)	(138)	(124)	(19)	(8)	(30)
Acquisition of property, plant and equipment	0	(112)	(42)	(26)	(52)	(61)	(27)	(38)	(34)	(29)	(39)	(1)
Capitalized development costs	(140)	(89)	(134)	(98)	(80)	(127)	(76)	(119)	(115)	(77)	(139)	(90)
Purchase of interac shares	-	-	-	-	-	-	-	-	-	-	-	-
Cash flow from investing activities	(243)	(305)	(268)	(210)	(330)	(280)	(211)	(296)	(273)	(125)	(187)	(120)
Financing												
Finance lease obligation - property lease	(27)	(27)	(27)	(27)	(27)	(27)	(27)	(27)	(27)	(27)	(28)	(28)
Finance lease obligation - leased equipment	(51)	(52)	(52)	(52)	(52)	(52)	(52)	(52)	(52)	(52)	(53)	(53)
Shareholder return of capital payable	-	(8,500)	-	-	-	-	-	-	-	-	-	10,000
Change in capital	-	-	-	-	-	-	-	-	-	-	-	-
Dividend paid	-	-	-	-	-	-	-	-	-	-	-	(10,000)
Cash flow from financing activities	(78)	(8,579)	(78)	(79)	(79)	(79)	(79)	(79)	(80)	(80)	(80)	(80)
Increase in cash and cash equivalents	2,544	(10,248)	561	1,294	1,131	2,959	(1,180)	653	(456)	1,231	3,518	(1,825)
Beginning balance of cash and cash equivalents	12,332	14,876	4,628	5,189	6,484	7,614	10,573	9,393	10,046	9,590	10,821	14,340
Ending balance of cash and cash equivalents	**14,876**	**4,628**	**5,189**	**6,484**	**7,614**	**10,573**	**9,393**	**10,046**	**9,590**	**10,821**	**14,340**	**12,515**
Net operating and investing cash flows	2,622	(1,669)	640	1,373	1,209	3,038	(1,101)	733	(376)	1,311	3,599	(1,744)
EBITDA, pro forma adjusted	**1,355**	**1,178**	**1,694**	**1,705**	**1,787**	**1,541**	**1,665**	**2,097**	**2,175**	**1,906**	**1,519**	**1,276**
Net cashflows as a % of EBITDA	*193.5%*	*(141.7%)*	*37.8%*	*80.5%*	*67.7%*	*197.1%*	*(66.2%)*	*34.9%*	*(17.3%)*	*68.8%*	*236.8%*	*(136.7%)*

$'000	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	FY21	FY22	FY23	TTM Apr-24	TTM Jun-24
Operating											
Net income	1,183	1,262	1,290	1,098	1,467	1,409	6,204	7,679	13,632	15,214	15,985
Non cash items	254	263	266	271	287	258	3,318	3,366	2,989	3,002	2,390
Change in working capital											
Items in transit	4,597	(2,305)	(12,167)	(624)	(2,362)	(4,742)	(5,785)	(3,969)	(8,992)	(31,721)	(40,248)
Accounts receivable and other receivables	(1,148)	3,991	(1,628)	534	(1,803)	2,593	(827)	(1,252)	(5,454)	(2,963)	(3,554)
Inventory	40	(1)	(135)	(24)	87	76	(134)	(197)	(103)	(103)	106
Prepaid expenses and other assets	419	(116)	376	196	301	248	(497)	234	856	685	774
Unbilled revenue	52	4	(23)	(2)	(7)	38	302	359	416	297	268
Accounts payable and accrued liabilities	559	1,281	(907)	38	(137)	285	408	835	380	555	607
Payments held for third party remittance	(4,607)	2,300	12,168	653	2,370	4,769	5,733	3,998	8,910	31,669	40,214
Contract liabilities	(256)	(209)	(38)	101	18	(98)	781	461	(1,855)	(2,209)	(2,224)
Deferred revenue	19	273	266	132	(173)	(35)	(174)	277	468	1,088	903
Payroll benefits taxes payable & accrued	269	(1,626)	(110)	222	(194)	154	43	853	146	(243)	(325)
Income tax payable	230	(1,266)	230	(25)	(350)	(270)	146	465	1,087	840	544
Change in working capital	175	2,326	(1,968)	1,201	(2,252)	3,019	(4)	2,064	(4,140)	(2,106)	(2,936)
Cash flow from operations	1,611	3,851	(412)	2,570	(498)	4,686	9,518	13,109	12,480	16,110	15,440
Investing											
Acquisition of intangible assets	(29)	(2)	(33)	(18)	(18)	(25)	(3,158)	(545)	(1,102)	(800)	(552)
Acquisition of property, plant and equipment	(3)	(9)	(78)	(22)	(9)	(45)	(1,621)	(1,293)	(461)	(393)	(334)
Capitalized development costs	(150)	(172)	(190)	(181)	(215)	(195)	(1,056)	(936)	(1,284)	(1,516)	(1,719)
Purchase of interac shares	-	-	-	-	0	-	(254)	-	-	-	0
Cash flow from investing activities	(182)	(183)	(301)	(221)	(242)	(265)	(6,089)	(2,773)	(2,847)	(2,709)	(2,605)
Financing											
Finance lease obligation - property lease	(28)	(28)	(28)	(28)	(28)	(28)	(293)	(312)	(325)	(330)	(332)
Finance lease obligation - leased equipment	(53)	(53)	(53)	(53)	(53)	(53)	1,811	(934)	(625)	(630)	(633)
Shareholder return of capital payable	-	(10,000)	-	-	-	-	-	8,500	1,500	-	-
Change in capital	-	-	-	-	-	-	(1,351)	-	-	-	-
Dividend paid	-	-	-	-	-	-	(5,649)	(16,000)	(10,000)	(10,000)	(10,000)
Cash flow from financing activities	(80)	(10,081)	(81)	(81)	(82)	(82)	(5,481)	(8,746)	(9,450)	(10,960)	(10,965)
Increase in cash and cash equivalents	1,349	(6,413)	(794)	2,267	(821)	4,339	(2,053)	1,589	183	2,441	1,869
Beginning balance of cash and cash equivalents	12,515	13,864	7,452	6,657	8,924	8,103	12,796	10,743	12,332	6,484	10,573
Ending balance of cash and cash equivalents	**13,864**	**7,452**	**6,657**	**8,924**	**8,103**	**12,443**	**10,743**	**12,332**	**12,515**	**8,924**	**12,443**
Net operating and investing cash flows	1,430	3,668	(713)	2,348	(739)	4,421	3,428	10,335	9,633	13,401	12,835
EBITDA, pro forma adjusted	**1,562**	**1,827**	**1,722**	**1,652**	**2,150**	**2,110**	**14,324**	**16,639**	**19,896**	**20,727**	**21,660**
Net cashflows as a % of EBITDA	*91.5%*	*200.8%*	*(41.4%)*	*142.1%*	*(34.4%)*	*209.5%*	*23.9%*	*62.1%*	*48.4%*	*64.7%*	*59.3%*

Source: Internal financial statements

Important notice

This report is provided to Everlink Payment Services Inc (“Client” or “You”) on a confidential basis pursuant to our engagement letter dated May 20, 2024 (“Engagement Letter”) and is subject in all respects to the terms and conditions of the Engagement Letter, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client’s benefit and its own use. KPMG LLP (“KPMG”) does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

KPMG approach

Our report makes reference to ‘KPMG Analysis’; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying‘ earnings and working capital is for indicative purposes only. We have sought to illustrate the effect on EBITDA/working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings/working capital for future periods may be affected by such items, which may be different from the historical items.

The last twelve months/LTM run rate analysis has been prepared for illustrative purposes. There is no authoritative literature or common standard with respect to the calculation of 'run rate' EBITDA, and therefore there is no basis on which to state whether, in the illustrative analysis of 'run rate‘ EBITDA, all appropriate and comparable adjustments have been made. We have set out in our report the basis on which items have been included in or excluded from the run rate calculations for particular years. It is for you to satisfy yourselves as to whether the items included or excluded are appropriate for your purposes. The decision as to what items should be included in or excluded from the calculation of 'run rate' EBITDA is highly judgmental; you may choose to interpret the information presented differently.

Some reporting sections contain links to supplementary data, such as Excel databooks. Access to such supplementary data is limited to the recipients of this report and may not be accessible by any third parties. Gaining access to areas within provided supplementary data or to any other online application of KPMG to where access was not granted is not allowed.

Scope of work (1/3)

Area	Description	Status	Comment
General	Understand the Company's financial statement preparation process, including: • Finance function, financial reporting framework, and management reporting relationships (including processes, timing, structure of financial reporting, and interaction with the information/accounting systems); and • Recent or contemplated changes in accounting principles, procedures, or estimates.	✓	• Completed
Quality of earnings	Propose adjustments to consolidated historical Earnings before Interest, Taxes, Depreciation and Amortization ("EBITDA") by considering: • The Company's proposed adjustments (i.e., Management, Pro forma, Due diligence and Run rate adjustments) including recent acquisitions, if any, restructuring initiatives, and other. • The impact of significant new and lost customer relationships and service offerings; • Pro forma impact of changes in headcount and vacancies, if any; • The impact from related party transactions, if any; • The impact of any changes in accounting policies (revenue recognition, provisions, management estimates, capitalization or adjusting entries on the reported results); and • Large, unusual, or non-recurring events or transactions that may have distorted results	✓	• Completed
Supporting analysis to Quality of Earnings	**Revenue analysis:** Obtain and read an analysis of the Company's revenue and inquire about: • Revenue by product, customer, geography (i.e., by province / other); and • Annual recurring revenue, retention rates, customer churn, length of relationship, etc.	✓	• Completed

Scope of work (2/3)

Area	Description	Status	Comment
Supporting analysis to Quality of Earnings (continued)	**Cost structure:** Obtain and read an analysis of the Company's operating expenses, commenting on: • Key components and trends of cost of revenue (i.e., software, data center, merchant service fees, marketing agreements, etc.); • Personnel expenses, including salaried and hourly labour, contractor costs, payroll-related costs, headcount, and average compensation costs by department (sales, marketing, general and administrative etc.); • Capitalization of employee expenses, software and development costs and commissions; and • Research and development and potential future costs savings.	✓	• Completed
Working capital	Obtain monthly details of the Company's consolidated working capital and analyze and comment on: • The composition of individual working capital accounts (e.g., trade receivables, accounts payable and accruals, etc.); • Monthly working capital trends, metrics, and seasonality; • Large, unusual, or non-operating items that may have affected normal working capital trends, (such as accruals for bonuses, capital accruals, month end vs quarter end differences, etc.); and • Understanding the accounting impact of allowance for uncollectible amounts and other accruals requiring judgment.	✓	• Completed
Supporting analysis to working capital	**Accounts receivable:** Obtain and read an analysis of the Company's accounts receivable and inquire about bad debt reserve, write-offs, adjustments, aging, and non-trade balances. **Prepaid expenses and other assets:** Obtain and read an analysis of the Company's prepaid and other assets and comment on unusual items, significant fluctuations, and the existence of other balances to be potentially excluded from working capital.	✓	• Completed

Scope of work (3/3)

Area	Description	Status	Comment
Supporting analysis to working capital (continued)	**Accounts payable, accrued liabilities, and other liabilities:** Obtain and read an analysis of the Company's accounts payables and accrued liabilities and inquire about: • Terms of trade with major vendors, aging analysis; • Accrued liabilities, other current and non-current liabilities; and • Deferred revenue/unearned revenue profile and recognition.	✓	• Completed
Capital expenditure requirements	Obtain and read an analysis of the Company's existing capital costs and inquire about: • Capitalized labour trends (labour, software development and commission); and • Other historical, deferred, and planned capital expenditures.	✓	• Completed
Net debt/debt-like items	• Summarize and comment on net debt items (on and off-balance sheet) presented by Management and other potential debt-like items; • Consider whether elements of working capital have the nature of and may be reclassified as net debt, and if so, summarize the potential impact of these adjustments on working capital and net debt; and • Commitment and contingencies	✓	• Completed
Audit work papers (if required)	Obtain and read audit working papers for the last two fiscal years and perform the following: • Comment on the nature and volume of audit differences (recorded and unrecorded adjustments), use of accounting estimates, any changes in accounting policies or methods; and • Read Management reports prepared by the external auditors and comment on control issues, and if applicable, discuss with auditor, accounting matters, or audit issues, if any.	✓	• Completed

Glossary of terms and abbreviations (1/2)

$'000	Thousands of Canadian Dollars
AASB	Auditing And Assurance Standards Board
AB	Alberta
ACI	Automated Clearing House
ACQ	Annual contract quantity
AML	Anti money laundering
AP	Accounts payable
API	Application Programming Interface
AR	Accounts receivable
ATM	Automated Teller Machine
B2B	Business-to-business
B2P	Business-to-people
BDO	Binder Dijker Otte
BHMI	Baldwin Hackett And Meeks, Inc.
CAF	Card Authorization Fee
CAGR	Compound annual growth rate
Capex	Capital expenditure
CERS	Canadian Emergency Rent Subsidies
CEWS	Canadian Emergency Wage Subsidies
Client	Everlink Payment Services Inc.
COGS	Cost of goods sold
Corp	Corporation
CUCA	Credit Union Central Alberta
CUCM	Credit Union Central Manitoba
CUCS	Credit Union Central Saskatchewan
DCC	Dynamic Currency Conversion
DIO	Days inventory outstanding
DMA	Direct Memory Access
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earnings before interest, tax, depreciation and amortization
EMV	Europay, Mastercard And Visa
ERP	Enterprise Resource Planning
FHM	From Host Maintenance
FS	Financial statements
FTE	Full-time equivalent
FVTOCI	Fair value through other comprehensive income
FYXX	Financial Year Ending Xx
FYXXA	Financial Year Ending Xx Actual
FYXXB	Financial Year Ending Xx Budget

Glossary of terms and abbreviations (2/2)

GL	General ledger
GM	General manager
GST	Goods And services tax
HP	Hewlett Packard
HPUX	Hewlett Packard Unix
HR	Human resources
HST	Harmonized sales tax
IAS	International Accounting Standards
IDSW	Internally developed software
IFRS	International Financial Reporting Standards
IMNA	Inter-Member Network Agreement
ISO	International Organization For Standardization
IT	Information technology
KPI	Key performance indicator
LLP	Limited Liability Partnership
LOB	Line Of Business
LTIP	Long-Term Incentive Plan
Management	Management of the Client
MAX	Maximum
MB	Manitoba
MIN	Minimum
MSA	Master Service Agreement
NWC	Net working capital
OC	Other considerations
OIF	Optional Issuer Fee
ON	Ontario
P2P	Peer-to-peer
PNG	Payment Network Gateway
POS	Point of sale
PP&E	Property, plant, And equipment
PSCU	Payment Systems for Credit Unions
QofE	Quality of earnings
ROU	Right of use
SLA	Service level agreement
STP	Single touch payroll
TSP	Token Service Provider
TTM	Trailing twelve months
USD	United States dollar
VAP	Visa Analytics Platform
VCAS	Visa Consumer Authentication Service
VP	Vice President
WIP	Work in progress
YOY	Year-over-year
YTD	Year-to-date

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